DUE DILIGENCE PACKAGE

Private Placement Variable Universal Life Insurance

3cStructures LLC

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INTRODUCTION

The information contained in this Due Diligence Package is not intended to be marketing material nor a solicitation, but rather a detailed explanation of the offering provided by 3cStructures LLC ("3cStructures"), and is solely intended for investment, legal, tax and other relevant professionals. 3cStructures' offerings are only available to Qualified Investors ("QIs") – those who:

- Are both Accredited Investors and Qualified Purchasers,
- Do not exclusively reside in the state of New York, and
- Have a current net worth in excess of $1 million, either alone or together with a spouse, excluding the value of the person's primary residence.

Customized Private Placement Memoranda ("PPMs") regarding the 3cStructures offerings will be provided prior to any purchase.

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EXECUTIVE SUMMARY

The goal of 3cStructures is to make Private Placement Variable Universal Life Insurance ("PPVUL") and Private Placement Variable Annuities ("PPVA") available to QIs in a manner that reduces or removes costs and expenses, creates price transparency, and increases the investment options and opportunities available to the QI's investment professional or financial advisor ("FA"). 3cStructures strives to eradicate investment offering limitations, opaque fee structures and hidden taxes contained in many traditional PPVA and PPVUL offerings, that often contribute to disparities between the actual investment returns experienced by a client and those which are initially illustrated.

3cStructures has developed structures and nurtured relationships that enable FAs to utilize these tax efficient strategies and provide their QI clients with opportunities beyond the account structures typically offered. Our approach to PPVA and PPVUL enables the FA to both nominate his or her own custodian and directly manage the PPVUL/PPVA policy's investments, rather than being limited to a finite list of insurance dedicated funds ("IDFs"), all while providing a low cost, transparent fee structure which minimizes or avoids state premium taxes and other taxes that are commonly overlooked.

This document is intended to be a "road map" to the 3cStructures PPVUL offerings.

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OVERVIEW

Oregon Single Member Limited Liability Companies

Under the 3cStructures approach, PPVUL policies are acquired by a QI indirectly through a single member limited liability company that is domiciled in Oregon (the "Oregon SMLLC"). An Oregon SMLLC is used because it is disregarded for federal income tax purposes yet recognized as a separate legal entity for state law purposes.

The Insurance Products

The 3cStructures offerings include two types of PPVULs, a modified endowment contract ("MEC") and a non-modified endowment contract ("non-MEC"). Both offerings provide tax advantages, but each possesses different rules or benefits, including: the taxation associated with withdrawals, benefits upon death, and cost.

Product Similarities, Variable Insurance

PPVUL policies have two main features: (i) the cash value (*i.e.*, the investment component), and (ii) a mortality component (the death benefit is the cash value plus the mortality component). While guarantees can exist with respect to the death benefit component, the value of the investment component fluctuates with the investment performance of the underlying assets that comprise the PPVUL policy's portfolio. In either case, these assets are held in a legally separate account referred to as a "Segregated Assets Plan." When a PPVUL policy is purchased and funded, the assets that are contributed to the PPVUL policy are invested and managed by the FA who has been nominated by the owner of the PPVUL policy and approved by 3cStructures and the life insurance company. The FA and owner agree on an investment approach for the policy, but the owner cannot select or control the individual investments the FA will select.

PPVUL MECs

Prior to distribution, the assets held within PPVUL MECs grow on a tax deferred basis. The death benefit provided by the life insurance component of a PPVUL MEC is commonly referred to as the "Net Amount at Risk" ("NAR") and, like other life insurance products, has an annual cost. The cost associated with the death benefit provided by the life insurance component is commonly referred to as the "Cost of Insurance" ("COI"). Life insurance has various estate planning benefits at death, which are discussed in greater detail on page 5.

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PPVUL non-MECs

As with PPVUL MECs, PPVUL non-MECs are life insurance products and therefore provide similar estate planning benefits at the death of the insured; however, PPVUL non-MECs are more expensive, because they require a higher ratio of NAR relative to the amount of the underlying investment within these policies. For this reason, while the rate charged for a given amount of death benefit may be the same, since more death benefit is generally required, the aggregate COI is typically higher. On the other hand, while typically more costly, PPVUL non-MECs possess liquidity enhancements during the policy owners' lifetime that are unavailable to PPVUL MECs. These liquidity enhancements are discussed in greater detail on page 6.

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TAXATION AND LEGAL STRUCTURE

Federal Tax Considerations

The federal tax advantages associated with PPVUL policies for both the policy holder and the beneficiaries of the death benefit have been well established under the U.S. Internal Revenue Code of 1986, as amended ("Code") and recognized by the courts and the Internal Revenue Service ("IRS") for many years.

The tax-deferred growth of assets held within a PPVUL policy enable the investments held within the policies' Segregated Assets Plans to appreciate much faster than they otherwise would if held in a traditional taxable account, net of tax, outside of a PPVUL policy.

Additional information regarding the federal tax aspects associated with the PPVUL policies can be found here:

- Definitions of "Life Insurance": Code Sections 7702 and 7702A;
- *Taxation of Death Benefit Proceeds*: Code Sections 101 and 7702(g) and Treas. Reg. § 101-1;
- *Diversification Rules*: Code Section 817, Treas. Reg. § 1.817-5 and Rev. Rul. 2005-7; and
- *Investor Control Prohibitions*: Rev. Rul. 2003-91, Rev. Rul. 2003-92, Rev. Rul. 2005-7 and Rev. Rul. 2007-7, PLR 9433030 and PLR 200420017.

PPVUL MEC

For PPVUL MEC policies, if a withdrawal is made, the amounts originally invested are deemed to be withdrawn last. Therefore, any unrecognized gain or income associated with the investments held in the PPVUL MEC policy will be taxable if distributed. Additionally, loans against a PPVUL MEC policy are deemed to be distributions and therefore also taxable. Upon the death of the insured, however, both the investments in the PPVUL MEC policy and the NAR will be paid as an insurance death benefit to the PPVUL MEC's beneficiary. There are no income taxes imposed upon the death benefit. In essence, any unrecognized gain or income associated with the investments held in the PPVUL MEC policy pass to the beneficiary tax free.

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PPVUL non-MEC

For PPVUL non-MECs, taxation upon death is the same as a PPVUL MEC policy; however, when making withdrawals from a PPVUL non-MEC policy, the amounts originally invested are deemed to be withdrawn first. Therefore, no taxation is imposed on withdrawals until the amount of the original investment is distributed. After withdrawing the original investment, rather than receiving further distributions, the QI, acting on behalf of the Oregon SMLLC, can instead receive "loans" from the remaining gains held within the PPVUL non-MEC policy. As a result, the QI can access a significant portion of the unrecognized gain held within the PPVUL non-MEC policy without recognizing taxes.

While the tax treatment described above has been recognized for decades, it is worth noting that these tax advantages could potentially change in the future.

State Tax Considerations

Recognizing that taxation can arise not only at the federal level, but also at the state or local level, 3cStructures has proactively structured its offerings to minimize, if not eliminate, the imposition of state premium and retaliatory taxes, as well as other fees and expenses, which might otherwise be levied. This is accomplished through the use of an Oregon SMLLC. Under the 3cStructures approach, once the Oregon SMLLC is established, 3cStructures helps facilitate the Oregon SMLLC's acquisition of a PPVUL policy from Advantage Life Puerto Rico A.I. ("Advantage Life"), a Puerto Rican domiciled insurance company that has elected to be classified as a U.S. domestic corporation under Code Section 953(d). This structure is important, as neither Oregon nor Puerto Rico impose premium taxes or other onerous taxes that might otherwise be imposed in different jurisdictions. In short, state premium and retaliatory taxes are avoided, because the Oregon SMLLC is characterized as a disregarded entity for U.S. federal income tax purposes but recognized as a separate legal entity from the QI for state law purposes.

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USING YOUR PREFERRED INVESTMENT MANAGER

Policy Investments

In traditional PPVUL products, the investment alternatives from which policy owners are permitted to select are limited to a small pool of insurance dedicated funds ("IDFs") that are made available on the insurance company's platform. Apart from often possessing mediocre investment performance, many of these IDFs are also commonly encumbered by layers of hidden fees and expenses – some of which commonly get shared with the insurance company itself, or even insurance producers.

The 3cStructures offerings avoid these conflicts of interest and the shortcomings associated with typical IDF offerings by empowering QIs and delinking the connection between the insurance company and the investments offered under a PPVUL policy. Rather than choosing solely among a limited pool of IDFs, under the 3cStructure, a QI nominates his or her preferred FA to directly manage the investment portfolio that is held in the PPVUL policy's Segregated Assets Plan. Under this approach, the QI is able to nominate his or her own FA who then manages the PPVUL policy's investment portfolio in a manner that is designed to meet the QI's specific needs and objectives.

In essence, rather than being limited to a finite universe of IDFs, the FA is able to also select among a virtually limitless universe of investments and construct a customized portfolio for the QI's policy. Not only does this approach provide an opportunity to obtain greater returns and lower volatility, it also offers the opportunity to dramatically reduce investment costs.

Prohibition on Investor Control

As a basic premise for a life insurance contract to qualify for tax deferral or exemption, the assets in the PPVUL policy's underlying Segregated Assets Plan must be legally owned by the insurance company and not by the owner of the policy. In order to meet this requirement, the QI and anyone acting on behalf of the Oregon SMLLC, will be prohibited from exercising, or attempting to exercise, any control or influence over the investments held within the PPVUL policy. For this reason, the PPVUL policy's investments are owned by Advantage Life and discretion over the management of those assets is vested with the FA that the QI nominates.

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Notwithstanding the prohibition on investor control, QIs are still be permitted to discuss their particular objectives and risk tolerances with their FA. In fact, such communications are oftentimes necessary for FAs to comply with any fiduciary duties that they may owe to the QI and the QI's Oregon SMLLC. In short, while the QI and the QI's Oregon SMLLC will be precluded from influencing individual security selection, they are permitted to establish guidelines for the FA to use in determining the appropriate structure and asset allocation for the PPVUL policy.

Diversification

In addition to the investor control restrictions, in order to retain the characterization as a "variable contract" under Section 817(d) of the Code, the PPVUL policy's investment portfolio must also be adequately diversified, as required by Section 817 of the Code and U.S. Treas. Reg. § 1.817-5. Specifically, a PPVUL policy's Segregated Assets Plan will only be considered adequately diversified if no more than:

- Fifty-five percent (55%) of the value of the total assets are in any one investment;
- Seventy percent (70%) of the value of the total assets are in any two investments;
- Eighty percent (80%) of the value of the total assets are in any three investments; and
- Ninety percent (90%) of the value of the total assets are in any four investments.

In other words, each PPVUL policy's Segregated Assets Plan must include at least five investments within the above parameters to satisfy the minimum diversification requirements; however, special rules apply in determining what constitutes a discrete investment and what does not. For example, in applying these percentages, all securities of the same issuer, all interests in the same real estate project, and all interests in the same commodity, are deemed to be a single investment. In contrast, each governmental agency or instrumentality is considered to be a separate issuer. Additionally, "look through" rules are generally applied to IDFs, which allow a single IDF to be characterized not as a single investment, but rather as an investment in each of the underlying securities that comprise the IDF.

Compliance with the diversification percentage requirements reflected above, are generally applied at the end of each calendar quarter, subject to a thirty (30) day

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grace period for portfolio adjustments to bring the PPVUL policy's investment portfolio into compliance.

LEGAL OVERVIEW

The legal structure utilized in the 3cStructures offerings was conceived and designed through the collaboration of our in-house legal expertise and that of a variety of outside legal experts who are recognized nationally in their given fields of specialty. Following is a summary explanation that provides an overview of the organizational architecture used in the 3cStructures offerings.

As previously mentioned, 3cStructures first files the necessary Articles of Organization to establish the Oregon SMLLC. The newly created Oregon SMLLC then engages various service providers and vendors that are necessary to facilitate the Oregon SMLLC's acquisition of a PPVUL policy on the life of the QI (*e.g.*, Puerto Rican legal counsel ("PR Legal Counsel"), a medical examiner and underwriter and 3cStructures. In connection with the QI's acquisition of the newly created Oregon SMLLC from 3cStructures, the QI will become the agent, and sole owner, of the Oregon SMLLC. In this way, the QI obtains complete control over the Oregon SMLLC's activities, including the acquisition of a PPVUL policy.

The QI will then engage the FA on behalf of the Oregon SMLLC, and the FA will enter into an agreement with Advantage Life using the FA's standard advisory agreement and a standardized rider used by Advantage Life (See Exhibit A), which details the FA's specific duties and obligations with respect to the Segregated Assets Plan that is associated with any PPVUL policies that will be acquired by the Oregon SMLLC. As discussed on page 8 above, the Segregated Assets Plan is required to be managed in accordance with the diversification requirements reflected in Treas. Reg. § 1.817-5, which has been promulgated under Section 817(h) of the Code.

In summary, each PPVUL's Segregated Assets Plan is a separately managed, separately accounted for "private fund" that is exempt from registration under the Investment Company Act of 1940 (the "40 Act") pursuant to the exemption contained in Section 3(c)(1) or Section 3(c)(7) thereof. The investments selected by the FA under each PPVUL's Segregated Assets Plan are measured against the diversification test by Advantage Life. If, at any time, it appears that a Segregated Assets Plan will not satisfy the diversification requirements imposed under Section

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817(h) of the Code, Advantage Life will notify the FA. If the FA fails to address the Segregated Assets Plan's lack of adequate diversification during the cure period afforded under the Code, Advantage Life will take unilateral action and resolve the matter to ensure compliance with the diversification requirements.

Investments selections will be made by the FA taking into account the QI's investment needs and objectives and the legal restrictions imposed by the Code and mandated by Advantage Life; however, neither the QI nor the QI's Oregon LLC will be permitted under any circumstances to direct or influence the individual investments of the Segregated Assets Plan.

The PPMs for the PPVUL policies contain affirmative representations that must be made expressly by the QI, acting on behalf of the QI's Oregon SMLLC, indicating that the QI and QI's Oregon SMLLC qualifies as an "accredited investor" or "qualified purchaser." If the FA is, or will be, investing all or any portion of a PPVUL's Segregated Assets Plan in a strategy or fund that imposes a performance fee, whether imposed by the FA or an underlying product manager, if the QI and QI's Oregon SMLLC does not satisfy the "qualified purchaser" requirements, the FA will be required to determine if the QI and the QI's Oregon SMLLC is a "qualified client" before investing in such strategy or fund.

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PROCESS AND LEGAL STRUCTURE

Operational Overview

Although variations exist depending upon (i) how the policy will be funded [*i.e.*, will it involve a tax free exchange from an existing policy pursuant to Section 1035 of the Code (a "1035 Exchange")], and (ii) other anomalous events or factors, the life cycle of a policy can generally be broken down into five phases. Each of these five phases is described in detail below and graphically represented in the table contained on Exhibit B.

Phase 1 – Client Introduction and Evaluation (See Exhibit C)

Typically, an ("FA") will initiate a discussion with his/her client ("Client") regarding the management of assets within an existing PPVUL policy or a PPVUL policy, which may be obtained in the future.

If the Client expresses an interest in acquiring a PPVUL policy (or exchanging an existing policy in a 1035 Exchange for a new PPVUL policy), the FA will assist the Client in determining whether the Client qualifies as a QI. This process should include an honest discussion regarding the Client's health status to determine the likelihood that a PPVUL policy can be underwritten, and if so, whether the PPVUL policy should be structured as a MEC or non-MEC. Additionally, if funding of the PPVUL policy will be accomplished through a 1035 Exchange, 3cStructures will request and review the existing policy (the "Legacy Policy") and coordinate with the FA to identify any investments held in the Legacy Policy, which may be less liquid and could potentially delay a 1035 Exchange.

Once the desired PPVUL policy type is identified, the FA begins working with the Client to gather the necessary documentation and information needed to obtain an illustration of the projected investment performance that can be anticipated, if a PPVUL policy is obtained. The FA and the Client will also discuss the Client's risk tolerance, expectations and other factors to determine the assumed rate of return that is reasonable expected, based upon these factors.

Once gathered, the FA forwards the necessary information and documentation to 3cStructures, which will then compile a summary report that reflects the projected returns and appreciation of the desired policy (the "Policy Illustration") (See Exhibit G for a Sample Policy Illustration Summary and Exhibit H for a list of the necessary documents and information needed to complete a Policy Illustration). If any errors

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in the Policy Illustration are identified, or if additional or modified Policy Illustrations are required, 3cStuctures will revise the Policy Illustration(s) to reflect the necessary modifications and provide an updated Policy Illustration to the FA for review with the Client. This process will continue until the Client and the FA are both satisfied with the Policy Illustration and the assumptions reflected therein.

Phase 2 – Risk Evaluation (See Exhibit D)

Following a review, and approval of, the final Illustration by the Client and the FA, 3cStructures will arrange an informal meeting or discussion with a group or individual who is experienced with life insurance underwriting ("Underwriting Consultant), in order to evaluate the likelihood of the insured's life being approved for a PPVUL Policy. If available, the initial findings or conclusions of the Underwriting Consultant will be communicated to the Client in order for the Client and the FA to evaluate whether the PPVUL Policy warrants further effort and consideration, or whether a PPVA policy should instead be considered.

3cStructures will then provide the FA and the Client with the necessary information and documentation regarding the 3cStructures offerings and the basis for utilizing an Oregon SMLLC to acquire a PPVUL policy, based upon the Client's health from Advantage Life. If the Client remains interested in acquiring a PPVUL policy and wishes to utilize the structure described by 3cStructures, copies of the following documentation will be provided for review and evaluation:

- The Articles of Organization for the Oregon SMLLC,
- The private placement memorandum ("PPM") associated with the acquisition of the applicable Oregon SMLLC (See Exhibit I),
- The proposed agreements between the Oregon SMLLC and (i) PR Legal Counsel (See Exhibit K and Exhibit L), (ii) 3cStructures (See Exhibit M), and (iii) any underwriters or other service providers necessary for the acquisition of a PPVUL policy on the life of the insured(s),
- The PPM associated with the desired PPVUL policy (See Exhibit O),
- The PPVUL policy (See Addendum A to Exhibit M),
- A copy of the Advantage Life application for the applicable PPVUL policy (See Exhibit N), and
- Any material documents required by Advantage Life in connection with the acquisition of a PPVUL policy on the Client's life by the Oregon SMLLC.

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Following review of the documents described above, if the Client remains interested in the acquisition of a PPVUL policy through the Oregon SMLLC structure, the Client will acquire the Oregon SMLLC from 3cStructures (hereinafter the "Client SMLLC"). Following the Client's acquisition of the Client SMLLC, 3cStructures will coordinate with (i) the Client, as agent and sole member of Client SMLLC, (ii) the FA, (iii) the medical examiner and underwriter, (iv) PR Legal Counsel, and (v) Advantage Life in order to facilitate the acquisition of the desired PPVUL policy on the Client's life. This process will include the completion of the application for a PPVUL policy (a "PPVUL Application"), as applicable, and any other related documentation that Advantage Life may require.

3cStructures will next coordinate with the Client and the medical examiner to schedule a medical exam for the Client. Following the completion of the Client's medical examination, the results will be provided to 3cStructures, which will submit the PPVUL Application and the results from the medical examination to the underwriter for review. After making its determination, the underwriter will inform 3cStructures of its decision.

If a favorable decision is made by the underwriter in connection with a Client's pursuit of a PPVUL policy, the completed PPVUL Application, as applicable, will be forwarded by 3cStructures to PR Legal Counsel, which will execute and submit the PPVUL Application on behalf of the Client SMLLC to Advantage Life. If the PPVUL Application is approved by Advantage Life, PR Legal Counsel and 3cStructures will be informed.

Phase 3 – Policy Issuance (See Exhibit E and Exhibit F)

Upon approval by Advantage Life, Advantage Life will issue the new PPVUL policy and forward a copy to PR Legal Counsel, who will provide a copy to the FA and the Client, acting on behalf of the Client SMLLC, and 3cStructures will coordinate the funding of the PPVUL policy. This process will vary depending upon whether or not funding will occur through a 1035 Exchange; however, in either instance, Advantage Life will establish a cash account for the newly issued PPVUL policy at Advantage International Banking Corporation ("Advantage Bank") to receive the funding for the newly issued PPVUL policy (the "Policy Cash Account").

If funding of the PPVUL policy will be accomplished through a 1035 Exchange, 3cStructures will coordinate with both the FA and the Legacy Policy's issuer prior to the issuance of the PPVUL policy to eliminate/mitigate reasonable issues associated with the transfer to the new PPVUL policy that is being acquired from

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Advantage Life. In an effort to avoid potential delays in the 1035 Exchange process, 3cStructures will request verification from the FA that any previously identified investments within the Legacy Policy, which may have possessed liquidity issues have been addressed. Following confirmation from the FA that the Legacy Policy's investments will pose no problems, 3cStructures will request and complete the necessary 1035 Exchange form (See Exhibit) and submit the completed 1035 Exchange form. If the current carrier requires the ownership of the current policy to be in the name of the Client SMLLC, Client will need to transfer ownership of his or her Legacy Policy to the Client SMLLC. Once this is completed, PR Counsel, acting on behalf of the Client SMLLC, will execute and submit the 1035 Exchange form to the Legacy Policy's issuer.

Upon approval by the Legacy Policy's issuer, the proceeds from the Legacy Policy will be wired electronically to Advantage Life, which will then forward the proceeds to the Policy Cash Account at Advantage Bank.

If funding of the PPVUL policy will not utilize a 1035 Exchange, 3cStructures will coordinate with the FA and the Client, acting on behalf of the Client SMLLC, to facilitate the funding of the newly issued PPVUL policy. Similar to the process in a 1035 Exchange, the Client will fund the newly issued PPVUL policy by electronically wiring funds to Advantage Life, on behalf of the Client SMLLC and Advantage Life will then forward the proceeds to the Policy Cash Account at Advantage Bank.

Whether through a 1035 Exchange or otherwise, upon confirmed receipt of funding and transfer to the Policy Cash Account, Advantage Life will issue the PPVUL policy and forward it to PR Counsel, who will provide a copy to the FA and the Client, acting on behalf of the Client SMLLC.

Representatives of Advantage Life will coordinate with the FA and a custodian selected by the FA (the "Custodian") to set up a brokerage account (the "Brokerage Account") for the PPVUL policy.

At this point, the FA will have discretion over the newly issued PPVUL policy's assets and will begin acquiring the investments necessary to establish the investment portfolio that will comprise the PPVUL policy's Segregated Assets Plan.

Phase 4 – Administration (See Exhibit B)

At this phase the PPVUL policy is in force. As the sole member and agent of the Client SMLLC, the Client will have the rights and responsibilities that are common

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with any PPVUL policy, and will be responsible for maintaining the Client SMLLC, unless or until the Client elects to dissolve the Client SMLLC.

The discretionary fees agreed to by the Client, acting on behalf of the Client SMLLC, and the FA will be charged against the Brokerage Account. Policy statements will show the Segregated Plan value net of these fees and any fees charged by the Custodian and Advantage Life.

In general, Advantage Life will charge the PPVUL policy with the associated insurance and administrative fees quarterly, starting at the inception of the PPVUL policy. If, however, additional premiums are made to the PPVUL policy, an additional charge, prorated to the next anniversary, will be imposed upon the additional premium or contribution.

Advantage Life will produce a quarterly statement, which will highlight the value of the PPVUL policy, the death benefit, and any insurance-based fees.

The Segregated Assets Plan will be held by the Custodian and managed by the FA. Quarterly policy statements will be provided by Advantage Life. The QI and the Client SMLLC are explicitly precluded from directing the individual securities within the Segregated Plan for the PPVUL policy (please see the section entitled "Prohibition on Investor Control" on page 7 above).

There are no surrender charges imposed by 3cStructures or on any of the PPVUL policies issued by Advantage Life. Withdrawals from a PPVUL policy may be subject to tax, as described in the section entitled "Taxation and Legal Structure" on page 5 above. Loans are only available from Non-MEC PPVUL policies. If a loan is requested, the FA will coordinate with Advantage Life. Loans provided by a Non-MEC PPVUL policy become an asset of the Non-MEC PPVUL policy. While there will be no net charge associated with such a loan, there will be a charge and crediting rate reflected on the quarterly statement provided by Advantage Life.

Phase 5 – Policy Termination (See Exhibit B)

PPVUL policies can be terminated by the Client SMLLC at any time with no surrender fee, although there may be adverse tax ramifications in doing so. Therefore, Clients are urged to coordinate with their FA, legal/tax advisor and Advantage before doing so.

Upon death of the insured, the death benefit will be distributed to the beneficiary(ies) of the policy. The stated amount of life insurance due and assets within the Segregated Assets Plan will be provided. Advantage Life will coordinate with the

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FA and the beneficiary(ies) in order to allow for an orderly liquidation of the holdings in the Segregated Assets Plan.

EXPECTED RESULTS

3cStructures will work with the FA to identify the policy structure that best satisfies the Client's needs and objectives and provide a Policy Illustration prior to the purchase of any PPVUL policy. The results reflected in any Policy Illustrations will, however, vary from the actual results experienced due to the assumptions used in the Policy Illustrations and fluctuations in the value of the investments in the Segregated Assets Plan that the FA manages. See Exhibit G for a sample Policy Illustration.

Please note, unlike other variable products in the marketplace, there is no revenue sharing between the FA responsible for the Segregated Assets Plan and either Advantage Life or 3cStructures. FAs are expected to comply with their fiduciary obligations to the Client, the Client SMLLC and Advantage Life under all of the 3cStructures offerings.

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RISKS AND REMEDIES

While there are risks inherent in all investment products, 3cStructures has worked to mitigate structural risk within its offerings. Nonetheless, there are still some inherent risks associated with the purchase of the products utilized in the 3cStructrues offerings, which remain. While it is virtually impossible to create a complete and totally exhaustive list of all risks; below are some which should be considered before purchasing.

Legislative/tax changes

There is always the worry that the tax benefits inherent within a structure or product will be removed by some future legislative, judicial or regulatory act or pronouncement. While this is possible, historically, many such changes are applied prospectively to new policies or products, while existing arrangements are grandfathered. Although there is a possibility that a change in the law could occur and negatively impact an existing policy, the probability is low.

Advantage Life goes out of Business – What Happens?

Given that the investments associated with each PPVUL policy are held separately in a Segregated Assets Plan, which precludes the creditors of Advantage Life or other policy holders from attaching those assets, should Advantage Life become insolvent, this event would have little to no impact upon the value of a PPVUL policy. Nonetheless, if Advantage were to go out of business, the owner of a PPVUL policy would have a few options. First, the owner could simply cancel the PPVUL policy and receive the proceeds associated with the PPVUL policy, which are managed by the FA and held with the Custodian. A second option would be for the owner of the PPVUL policy to simply transfer it from Advantage Life to another insurance provider (*e.g.*, through a 1035 Exchange). Lastly, the owner of the PPVUL policy could simply do nothing and allow the PPVUL policy to be transferred to the designated insurance receiver. Regardless, in each instance, the PPVUL policy's value should be unaffected.

Furthermore, Advantage Life reinsures all NAR in excess of $250,000. If in the rare event that the insured party named in a PPVUL policy were to die and Advantage Life was found to be insolvent before the beneficiary(ies) were paid, the NAR in excess of $250,000 would by paid by the reinsurer into a separate account for the benefit of the PPVUL policy's beneficiary(ies) (referred to as a "Synthetic Cut-

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through"), which further avoids claims by creditors of Advantage Life. A policy owner will, however, retain some level of creditor risk with respect to any NAR below the reinsured $250,000 threshold; however, this risk is limited, since it would apply solely to the NAR (as opposed to the value of the investments held in the Segregated Assets Plan), and therefore only apply if Advantage Life was insolvent at, or shortly following, the death of the insured. While it is important to consider this issue when making a decision, it is also important to understand that Advantage Life is required to maintain an adequate capital base and reserves under recognized actuarial requirements. Furthermore, given that PPVUL policies are often structured to minimize the amount of death benefit in order to maximize the cash value of the PPVUL's Segregated Assets Plan (which, again, is not subject to this risk), as the insured ages, the NAR commonly diminishes and may even reach zero upon attainment of the insured's actuarial life expectancy.

Maintenance of the Oregon Client SMLLC

Once the Client SMLLC and the PPVUL policy are obtained, 3cStructures suggests that the Client maintain the new Client SMLLC current with the state of Oregon, which will involve filing an annual return, paying the necessary annual report fee (currently $100) and paying any necessary fees to maintain an agent for service of legal process. If the Client's needs change in the future, as the sole member and agent of the Client SMLLC, the Client will be able to dissolve the Client SMLLC and have the PPVUL policy distributed to him/her. Please note, caution should be taken before amending the Client SMLLC or granting interests in the Client SMLLC to anyone else, as doing so would cause the Client SMLLC to cease being classified as a disregarded entity under U.S. federal tax laws. Therefore, if any changes are to be made, legal and tax assistance should be sought first.

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DISCLOSURE

The Oregon SMLLCs and Private Placement Deferred Variable Annuity and Variable Universal Life products are unregistered security products and are not subject to the same regulatory requirements as registered products. Therefore, they can only be made available to accredited investors and qualified purchasers ("Qualified Investors" or "QIs") as described by the Securities Act of 1933.

Private Placement Deferred Variable Annuity and Variable Universal Life products provide certain tax and insurance benefits. These products have an investment component, the value of which will fluctuate, and may be worth more or less than its original cost or investment. There are also administrative costs which will be deducted from the product's investments.

Purchases, withdrawals and death benefits may be subject to tax, which can vary by jurisdiction. It is recommended that these products be purchased in conjunction with tax and legal advice from trusted advisors. This document contains information which has been deemed accurate, but in no way should replace that advice.

The information in this document is intended for institutional use and is not, and is not intended to be, an investment offering, private placement memorandum, tax or legal advice, nor a contract. Any financial information contained within is purely hypothetical, and in no way predicts the future, guarantees any investment return, or creates a contract.

In order to purchase the Oregon SMLLC and the Private Placement Variable Insurance Products, a written contract must be executed. This process is described by a Private Placement Memorandum ("PPM") which will be provided prior to purchase. A proper consideration of the advantages and disadvantages of the Private Placement Deferred Variable Annuity and Variable Universal Life products should be made prior to investing. Please carefully read the PPM prior to investing.

Securities offered through The Leaders Group, Inc., Member FINRA/SIPC, 26 W Dry Creek Circle, Suite 800, Littleton, CO 80120, (303) 797-9080. 3cStructures LLC is not affiliated with The Leaders Group, Inc.

Segregated Assets Plan ("SAP") – Each policy will have investments held in a separate custodial account that will be owned by the insurance company's separate account, which is established to hold client funds. The SAP will be established by the QI's choice of Financial Advisor ("FA"). The FA will have the responsibility to manage the assets within the SAP and report on values on a quarterly basis to the insurance company.

Investor Control – Neither the underlying policy holder nor its agent are permitted to select any of the individual securities held within the SAP. If the policy holder (or its agent) does this, they are risking that the product may no longer qualify as life insurance and will lose its tax advantages status.

IRC 817(h)- 55/70/80/90 – The FA must diversify the investments within the SAP by allocating no more than 55% to one security, 70% to two, 80% to three, or more than 90% to four. If this rule is broken and not rectified within the applicable cure period, the product may no longer qualify as life insurance and will lose its tax advantages status.

Costs - There are costs to set up the Oregon SMLLC, underwriting and medical examination expenses, asset-based fees, and life insurance charges. There will also be custodial fees and fees due the FA to manage the assets within the policy. These costs will be disclosed and transparent to the prospective policy owner and FA prior to entering into the contract.

3cStructures offerings are available in TX, FL, MA, NY, OR. CT, PA, NJ, CO, GA, IL and CA (More to come)

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EXHIBIT A - ADVANTAGE LIFE STANDARDIZED ADVISORY AGREEMENT RIDER

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INVESTMENT MANAGER REPRESENTATION TO BE ATTACHED TO ADVISORY AGREEMENT FOR EACH POLICY

With respect to the management of the investments for Advantage Life Insurance Puerto Rico A.I. ("Advantage Life"), which are managed by _____ (the "Investment Manager"), the Investment Manager and any sub-manager will comply with the following:

(a) Except for general descriptions and guidelines of the investment policies as described in the Private Placement Memorandum, there is not, nor will there be, any direct or indirect prearrangement, plan or agreement between any Policy Owner (as such term is defined in the Policy, including any Policy Owner's advisers or representatives) and the Investment Manager (or any of its employees) regarding the investments to be made directly or indirectly on behalf of Advantage Life.

(b) The Investment Manager and its employees who are responsible for investment decisions will not accept investment recommendations or make any investment decisions on information regarding any investment received from the Policy Owner.

(c) No Policy Owner will have the right or be permitted to select or identify any particular investment to be made directly or indirectly within the discretionary account managed on behalf of Advantage Life.

(d) Investment of assets held in the account will be sufficiently diversified to comply with the requirements of United States Treasury Regulation section 817(h). The Investment Manager will keep no more than 55% of the asset value in one security or fund, no more than 70% in two securities or funds, no more than 80% in three securities or funds, and no more than 90% of the assets on four securities or funds.

(e) The Investment Manager will provide adequate liquidity in the account on a quarterly basis to permit the withdrawal and payment of all fees associated with the Policy. The Investment Manager shall be entitled to rely on the instructions of Advantage Life as to the amount of such fees.

_____
Investment Manager

EXHIBIT B - POLICY LIFE CYCLE

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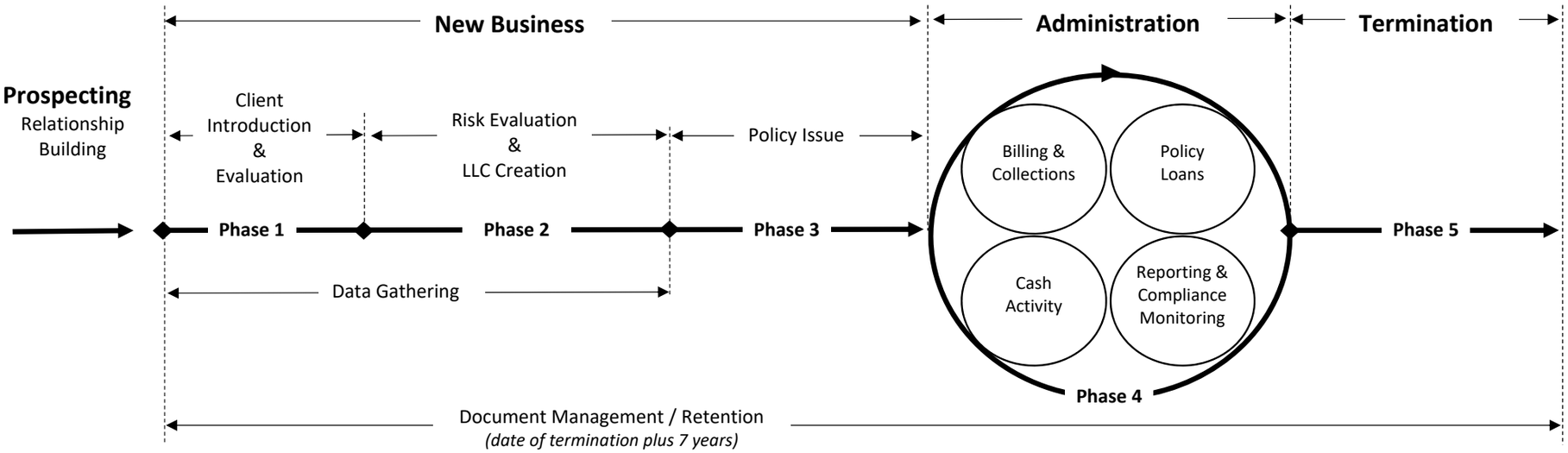
Policy Life Cycle



1. <u>Client Intro & Evaluation</u>
> Initial illustrations
> Initial KYC
> Initial Data Gathering
> Field Underwriting
> Determine Funding
--- 1035 Exchange
--- Original Issue

2. <u>Risk Evaluation & LLC Creation</u>:
> Policy Structure
> Illustration Iteration
> Medical Underwriting
> Establish Oregon LLC
> Financial Underwriting
> Reinsurance Underwriting
> Detail KYC / AML Review
> Organizational Structure Review
> Detail Data Gathering

3. <u>Policy Issue</u>:
> Sign Application
> Bind Reinsurance
> Establish Policy Cash Account
> Receive & Process Initial Premium
> Create & Deliver Policy

4. <u>Administration</u>: *(aka "Inforce")*
> Financial and Non-Financial Transactions
(i.e. withdrawal, change of address, etc.)
> Endorsements
(i.e. face increase, face decrease, change in DB option, etc.)
> Processing of Periodic Policy Charges
(i.e. COI, Administration, etc.)
> Monitoring Policy Compliance
> Recording and Reconciling Cash Activity *(including Investment Activity)*
> Processing Policy Loan Activity
(i.e. loan initiation, loan repayment, capitalization of loan interest, etc.)
> Creation and Distribution of Periodic Policy Reports

5. <u>Termination</u>:
> Death
> Surrender
> Cancelation

EXHIBIT C -
PHASE 1 - CLIENT INTRODUCTION & EVALUATION

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Phase 1 - Client Introduction & Evaluation

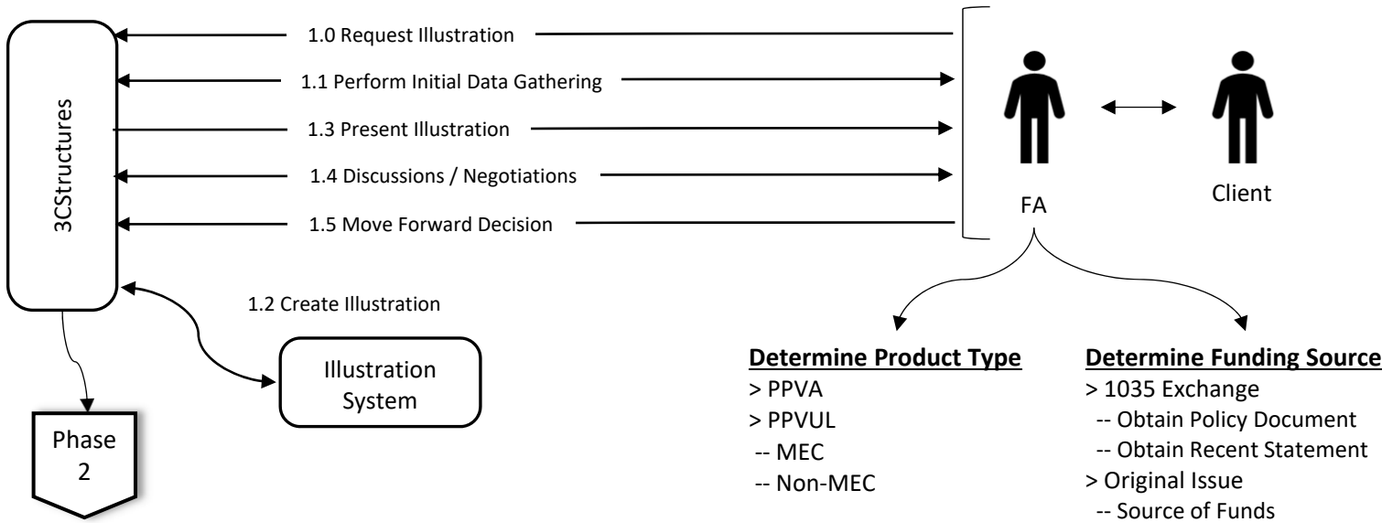

EXHIBIT D -
PHASE 2 - RISK EVALUATION & OREGON LLC CREATION

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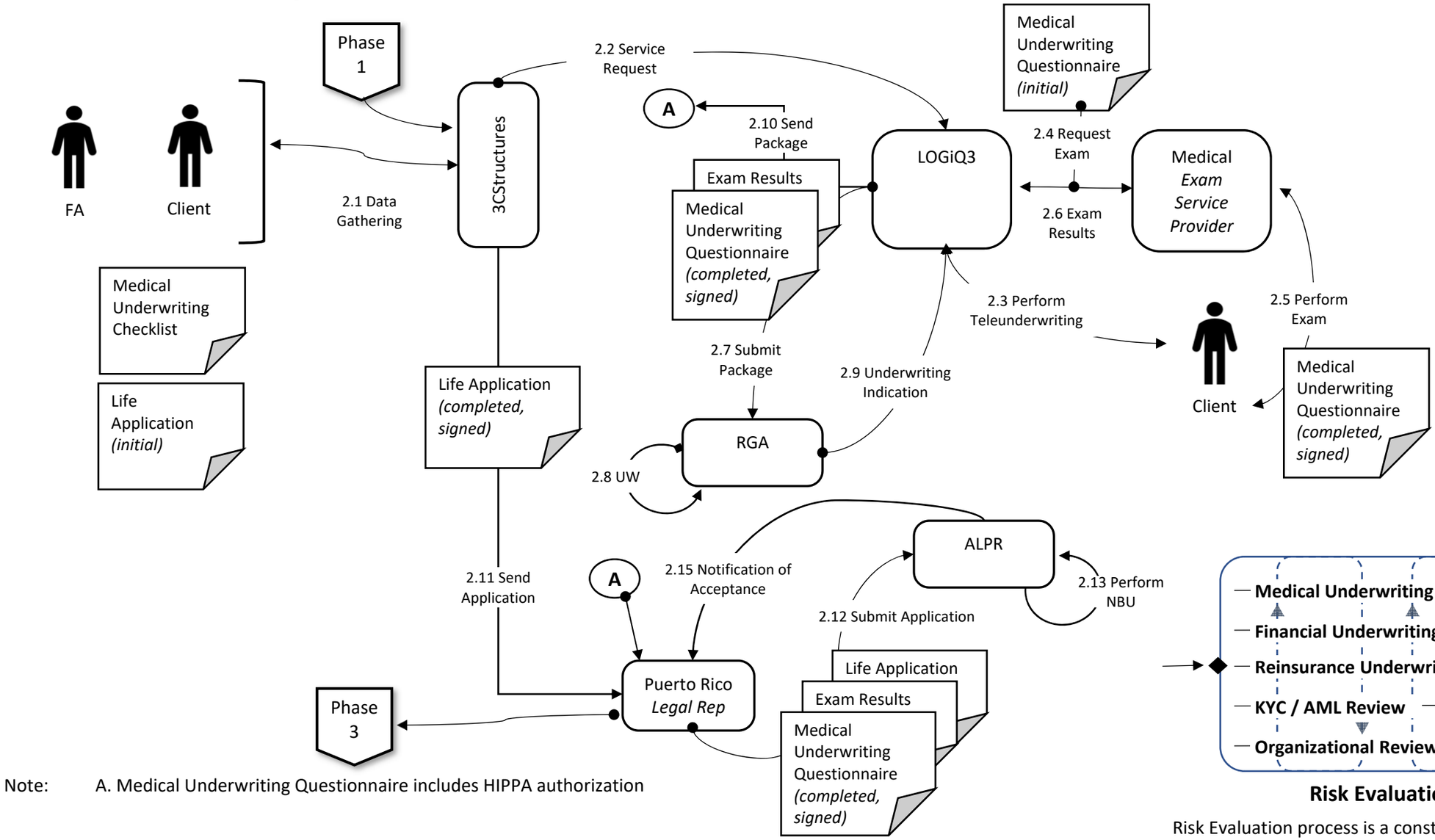
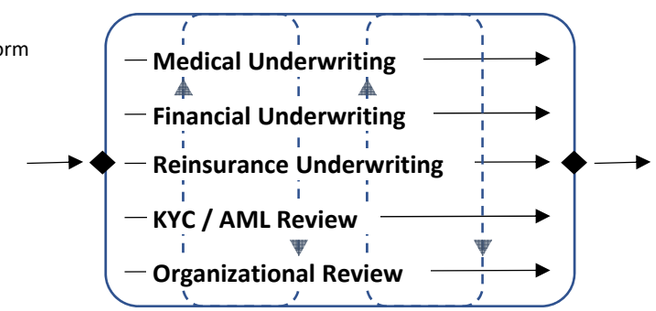
Phase 2 Life - Risk Evaluation & Oregon LLC Creation





Risk Evaluation

Risk Evaluation process is a constant feed-back loop

Note: A. Medical Underwriting Questionnaire includes HIPPA authorization

EXHIBIT E - PHASE 3 - POLICY ISSUE
(WITHOUT 1035 EXCHANGE)

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Phase 3 - Policy Issue

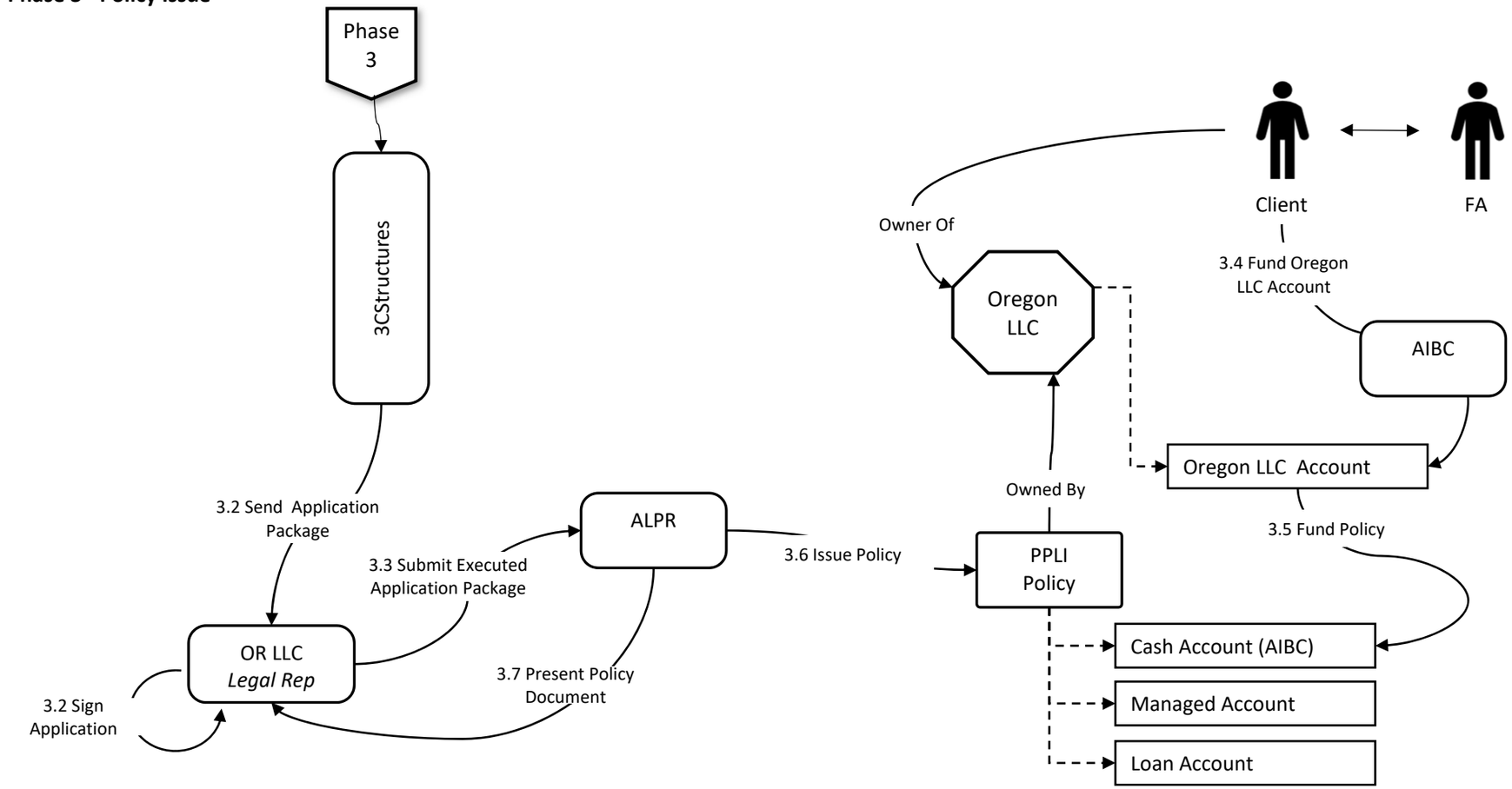

EXHIBIT F - PHASE 3 - POLICY ISSUE
(WITH 1035 EXCHANGE)

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Phase 3 - Policy Issue *(with a 1035 Exchange)*

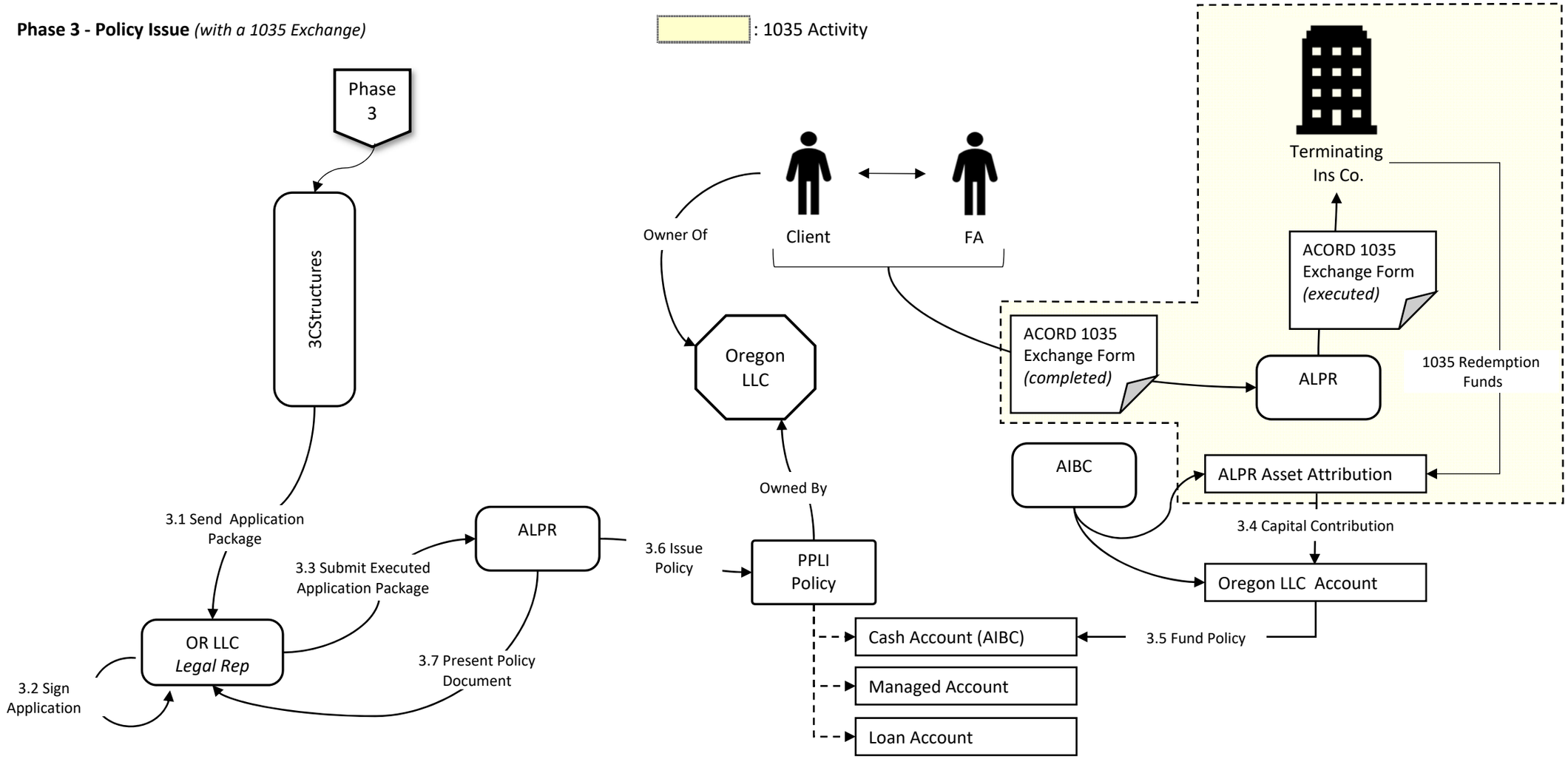

EXHIBIT G – SAMPLE POLICY ILLUSTRATION SUMMARY

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Private Placement Universal Life
Summary Report

Proposed Policy Date:	11 May 2019	**Client Name:**		**Initial Face Amount:**	65,246,594
Contact:	Financial Representative	**Date of Birth:**	Not Available	**Death Benefit Option:**	D (Variable)
Quote:	MNS39 B/D 3Pay $10m	**Client Age (ALB):**	38 Years	**Projection:**	Base
Special Quote:	Yes	**Underwriting Class:**	Male/Non-Nicotine/Std	**Initial Annualized Prem.:**	2,500,000.00
Charging structure:	ADV2-101Q	**Permanent Extra:**	No Rating	**Premium Mode:**	Annual
Currency:	USD	**Flat Extra:**	0.00 for 0 Year	**Initial Modal Premium:**	2,500,000.00
		Country/Region:	United States	**Lump Sum, Year One:**	0.00

Fund Projection

Year	Att. Age (EOY)	Net Deposit / Partial With.	Variable Basis 7.0000			1st Alternate Basis 8.0000			2nd Alternate Basis 7.0000		
			Fund Value	Surrender/ Endowment Value	Insurance Benefit	Fund Value	Surrender/ Endowment Value	Insurance Benefit	Fund Value	Surrender/ Endowment Value	Insurance Benefit
1	39	2,500,000.00	2,634,251	2,634,251	65,246,594	2,658,981	2,658,981	65,246,594	2,634,251	2,634,251	65,246,594
2	40	2,500,000.00	5,441,037	5,441,037	67,880,845	5,518,671	5,518,671	67,880,845	5,441,037	5,441,037	67,880,845
3	41	2,500,000.00	8,426,044	8,426,044	70,687,631	8,588,594	8,588,594	70,687,631	8,426,044	8,426,044	70,687,631
4	42	2,500,000.00	11,601,816	11,601,816	73,672,638	11,885,558	11,885,558	73,672,638	11,601,816	11,601,816	73,672,638
5	43	0.00	12,321,900	12,321,900	65,246,594	12,742,943	12,742,943	65,246,594	12,321,900	12,321,900	65,246,594
6	44	0.00	13,081,423	13,081,423	65,246,594	13,657,590	13,657,590	65,246,594	13,081,423	13,081,423	65,246,594
7	45	0.00	13,880,307	13,880,307	65,246,594	14,631,261	14,631,261	65,246,594	13,880,307	13,880,307	65,246,594
8	46	0.00	14,769,751	14,769,751	31,754,965	15,715,166	15,715,166	33,787,606	14,769,751	14,769,751	31,754,965
9	47	0.00	15,718,708	15,718,708	32,852,101	16,881,504	16,881,504	35,282,344	15,718,708	15,718,708	32,852,101
10	48	0.00	16,727,254	16,727,254	33,956,325	18,132,957	18,132,957	36,809,903	16,727,254	16,727,254	33,956,325
11	49	0.00	17,799,026	17,799,026	35,064,080	19,475,620	19,475,620	38,366,971	17,799,026	17,799,026	35,064,080
12	50	0.00	18,937,564	18,937,564	36,170,747	20,915,678	20,915,678	39,948,945	18,937,564	18,937,564	36,170,747
13	51	0.00	20,146,514	20,146,514	37,271,052	22,459,640	22,459,640	41,550,335	20,146,514	20,146,514	37,271,052
14	52	0.00	21,430,111	21,430,111	38,145,597	24,115,271	24,115,271	42,925,183	21,430,111	21,430,111	38,145,597
15	53	0.00	22,793,897	22,793,897	38,977,564	25,891,399	25,891,399	44,274,292	22,793,897	22,793,897	38,977,564
16	54	0.00	24,243,844	24,243,844	39,759,904	27,797,936	27,797,936	45,588,615	24,243,844	24,243,844	39,759,904
17	55	0.00	25,786,549	25,786,549	40,484,882	29,845,848	29,845,848	46,857,981	25,786,549	25,786,549	40,484,882
18	56	0.00	27,428,521	27,428,521	41,142,781	32,046,397	32,046,397	48,069,596	27,428,521	27,428,521	41,142,781
19	57	0.00	29,176,054	29,176,054	42,597,039	34,408,010	34,408,010	50,235,694	29,176,054	29,176,054	42,597,039
20	58	0.00	31,033,987	31,033,987	44,068,261	36,942,738	36,942,738	52,458,688	31,033,987	31,033,987	44,068,261
22	60	0.00	35,110,975	35,110,975	47,048,707	42,585,335	42,585,335	57,064,348	35,110,975	35,110,975	47,048,707
27	65	0.00	47,746,486	47,746,486	58,250,713	60,676,768	60,676,768	74,025,657	47,746,486	47,746,486	58,250,713
32	70	0.00	64,765,639	64,765,639	75,128,142	86,228,521	86,228,521	100,025,085	64,765,639	64,765,639	75,128,142
37	75	0.00	87,870,030	87,870,030	94,020,932	122,594,197	122,594,197	131,175,791	87,870,030	87,870,030	94,020,932
42	80	0.00	119,631,352	119,631,352	125,612,919	174,869,248	174,869,248	183,612,711	119,631,352	119,631,352	125,612,919
43	81	0.00	127,135,151	127,135,151	133,491,909	187,574,611	187,574,611	196,953,342	127,135,151	127,135,151	133,491,909
47	85	0.00	161,500,297	161,500,297	169,575,312	247,309,984	247,309,984	259,675,483	161,500,297	161,500,297	169,575,312
52	90	0.00	215,092,512	215,092,512	225,847,138	345,059,115	345,059,115	362,312,071	215,092,512	215,092,512	225,847,138
57	95	0.00	287,481,426	287,481,426	290,356,240	483,357,342	483,357,342	488,190,915	287,481,426	287,481,426	290,356,240
62	100	0.00	396,081,482	396,081,482	396,081,482	697,737,958	697,737,958	697,737,958	396,081,482	396,081,482	396,081,482

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Proposed Policy Date:	11 May 2019	**Client Name:**		**Initial Face Amount:**	65,246,594
Contact:	Financial Representative	**Date of Birth:**	Not Available	**Death Benefit Option:**	D (Variable)
Quote:	MNS39 B/D 3Pay $10m	**Client Age (ALB):**	38 Years	**Projection:**	Base
Special Quote:	Yes	**Underwriting Class:**	Male/Non-Nicotine/Std	**Initial Annualized Prem.:**	2,500,000.00
Charging structure:	ADV2-101Q	**Permanent Extra:**	No Rating	**Premium Mode:**	Annual
Currency:	USD	**Flat Extra:**	0.00 for 0 Year	**Initial Modal Premium:**	2,500,000.00
		Country/Region:	United States	**Lump Sum, Year One:**	0.00

Calculations Details

Year	Att. Age (EOY)	Premium Deposit During the Year	Deductions from Premium or Fund					Additions	Balances Variable Basis		
			Premium Charges	M&E Charges	Admin. & Other Charges	Cost of Insurance Charges	Total Charges	Gross Investment Returns	Fund Value	Surrender Charges	Surrender/ Endowment Value
1	39	2,500,000.00	6,000.00	8,953.91	0.00	24,135.58	39,089.48	173,340.80	2,634,251.31	0.00	2,634,251.31
2	40	2,500,000.00	0.00	18,461.72	0.00	32,255.42	50,717.13	357,503.29	5,441,037.47	0.00	5,441,037.47
3	41	2,500,000.00	0.00	28,570.93	0.00	39,744.41	68,315.34	553,321.76	8,426,043.88	0.00	8,426,043.88
4	42	2,500,000.00	0.00	39,323.98	0.00	46,521.81	85,845.80	761,618.22	11,601,816.30	0.00	11,601,816.30
5	43	0.00	0.00	41,758.57	0.00	46,947.34	88,705.91	808,789.29	12,321,899.69	0.00	12,321,899.69
6	44	0.00	0.00	44,343.25	0.00	54,950.67	99,293.93	858,817.44	13,081,423.20	0.00	13,081,423.20
7	45	0.00	0.00	47,064.70	0.00	65,536.19	112,600.90	911,484.27	13,880,306.57	0.00	13,880,306.57
8	46	0.00	0.00	49,997.28	0.00	29,090.17	79,087.45	968,532.06	14,769,751.18	0.00	14,769,751.18
9	47	0.00	0.00	53,213.84	0.00	28,658.43	81,872.27	1,030,829.56	15,718,708.47	0.00	15,718,708.47
10	48	0.00	0.00	56,630.60	0.00	31,833.65	88,464.25	1,097,009.67	16,727,253.89	0.00	16,727,253.89
11	49	0.00	0.00	60,261.74	0.00	35,308.09	95,569.83	1,167,341.48	17,799,025.54	0.00	17,799,025.54
12	50	0.00	0.00	64,119.83	0.00	39,408.62	103,528.45	1,242,066.83	18,937,563.92	0.00	18,937,563.92
13	51	0.00	0.00	68,217.42	0.00	44,260.39	112,477.81	1,321,428.25	20,146,514.35	0.00	20,146,514.35
14	52	0.00	0.00	72,567.95	0.00	49,523.44	122,091.38	1,405,687.92	21,430,110.89	0.00	21,430,110.89
15	53	0.00	0.00	77,188.77	0.00	54,212.81	131,401.57	1,495,187.49	22,793,896.81	0.00	22,793,896.81
16	54	0.00	0.00	82,099.75	0.00	58,265.46	140,365.22	1,590,312.59	24,243,844.17	0.00	24,243,844.17
17	55	0.00	0.00	87,322.80	0.00	61,460.63	148,783.44	1,691,488.58	25,786,549.32	0.00	25,786,549.32
18	56	0.00	0.00	92,880.83	0.00	64,304.37	157,185.20	1,799,156.65	27,428,520.77	0.00	27,428,520.77
19	57	0.00	0.00	98,798.00	0.00	67,449.53	166,247.54	1,913,780.80	29,176,054.03	0.00	29,176,054.03
20	58	0.00	0.00	105,090.95	0.00	72,650.57	177,741.52	2,035,674.05	31,033,986.56	0.00	31,033,986.56
22	60	0.00	0.00	118,897.61	0.00	82,893.86	201,791.48	2,303,113.62	35,110,975.11	0.00	35,110,975.11
27	65	0.00	0.00	161,732.07	0.00	136,837.40	298,569.46	3,132,704.54	47,746,486.37	0.00	47,746,486.37
32	70	0.00	0.00	219,431.28	0.00	211,435.57	430,866.85	4,250,176.40	64,765,639.28	0.00	64,765,639.28
37	75	0.00	0.00	297,572.18	0.00	219,633.39	517,205.57	5,764,079.47	87,870,030.23	0.00	87,870,030.23
42	80	0.00	0.00	405,237.54	0.00	343,738.84	748,976.38	7,849,327.27	119,631,351.77	0.00	119,631,351.77
43	81	0.00	0.00	430,736.84	0.00	408,460.29	839,197.13	8,342,996.46	127,135,151.10	0.00	127,135,151.10
47	85	0.00	0.00	547,668.12	0.00	785,982.96	1,333,651.08	10,606,340.67	161,500,297.36	0.00	161,500,297.36
52	90	0.00	0.00	730,650.25	0.00	1,710,123.21	2,440,773.46	14,146,287.48	215,092,512.37	0.00	215,092,512.37
57	95	0.00	0.00	973,521.95	0.00	742,039.08	1,715,561.03	18,857,431.48	287,481,425.78	0.00	287,481,425.78
62	100	0.00	0.00	1,339,542.91	0.00	0.00	1,339,542.91	25,952,982.83	396,081,481.61	0.00	396,081,481.61

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Proposed Policy Date:	11 May 2019	**Client Name:**		**Initial Face Amount:**	65,246,594
Contact:	Financial Representative	**Date of Birth:**	Not Available	**Death Benefit Option:**	D (Variable)
Quote:	MNS39 B/D 3Pay $10m	**Client Age (ALB):**	38 Years	**Projection:**	Base
Special Quote:	Yes	**Underwriting Class:**	Male/Non-Nicotine/Std	**Initial Annualized Prem.:**	2,500,000.00
Charging structure:	ADV2-101Q	**Permanent Extra:**	No Rating	**Premium Mode:**	Annual
Currency:	USD	**Flat Extra:**	0.00 for 0 Year	**Initial Modal Premium:**	2,500,000.00
		Country/Region:	United States	**Lump Sum, Year One:**	0.00

ROI Projection

Year	Att. Age	Net Deposit / Partial With.	Insurance Benefit Variable Basis 7.0000		Surrender / Endowment Value Variable Basis 7.0000		Surrender / Endowment Value 1st Alternate Basis 8.0000		Surrender / Endowment Value 2nd Alternate Basis 7.0000	
			Benefit	Annual ROI	Surr. Value	Annual ROI	Surr. Value	Annual ROI	Surr. Value	Annual ROI
1	39	2,500,000.00	65,246,594	2,509.9 %	2,634,251	5.4 %	2,658,981	6.4 %	2,634,251	5.4 %
2	40	2,500,000.00	67,880,845	373.5 %	5,441,037	5.8 %	5,518,671	6.8 %	5,441,037	5.8 %
3	41	2,500,000.00	70,687,631	165.0 %	8,426,044	5.9 %	8,588,594	6.9 %	8,426,044	5.9 %
4	42	2,500,000.00	73,672,638	98.9 %	11,601,816	6.0 %	11,885,558	7.0 %	11,601,816	6.0 %
5	43	0.00	65,246,594	63.8 %	12,321,900	6.1 %	12,742,943	7.1 %	12,321,900	6.1 %
6	44	0.00	65,246,594	48.5 %	13,081,423	6.1 %	13,657,590	7.1 %	13,081,423	6.1 %
7	45	0.00	65,246,594	38.9 %	13,880,307	6.1 %	14,631,261	7.1 %	13,880,307	6.1 %
8	46	0.00	31,754,965	19.1 %	14,769,751	6.1 %	15,715,166	7.2 %	14,769,751	6.1 %
9	47	0.00	32,852,101	16.9 %	15,718,708	6.2 %	16,881,504	7.2 %	15,718,708	6.2 %
10	48	0.00	33,956,325	15.3 %	16,727,254	6.2 %	18,132,957	7.2 %	16,727,254	6.2 %
11	49	0.00	35,064,080	14.0 %	17,799,026	6.2 %	19,475,620	7.2 %	17,799,026	6.2 %
12	50	0.00	36,170,747	12.9 %	18,937,564	6.2 %	20,915,678	7.2 %	18,937,564	6.2 %
13	51	0.00	37,271,052	12.0 %	20,146,514	6.3 %	22,459,640	7.3 %	20,146,514	6.3 %
14	52	0.00	38,145,597	11.2 %	21,430,111	6.3 %	24,115,271	7.3 %	21,430,111	6.3 %
15	53	0.00	38,977,564	10.6 %	22,793,897	6.3 %	25,891,399	7.3 %	22,793,897	6.3 %
16	54	0.00	39,759,904	9.9 %	24,243,844	6.3 %	27,797,936	7.3 %	24,243,844	6.3 %
17	55	0.00	40,484,882	9.4 %	25,786,549	6.3 %	29,845,848	7.3 %	25,786,549	6.3 %
18	56	0.00	41,142,781	8.9 %	27,428,521	6.3 %	32,046,397	7.3 %	27,428,521	6.3 %
19	57	0.00	42,597,039	8.6 %	29,176,054	6.3 %	34,408,010	7.3 %	29,176,054	6.3 %
20	58	0.00	44,068,261	8.3 %	31,033,987	6.3 %	36,942,738	7.3 %	31,033,987	6.3 %
22	60	0.00	47,048,707	7.8 %	35,110,975	6.3 %	42,585,335	7.3 %	35,110,975	6.3 %
27	65	0.00	58,250,713	7.1 %	47,746,486	6.3 %	60,676,768	7.3 %	47,746,486	6.3 %
32	70	0.00	75,128,142	6.8 %	64,765,639	6.3 %	86,228,521	7.3 %	64,765,639	6.3 %
37	75	0.00	94,020,932	6.5 %	87,870,030	6.3 %	122,594,197	7.3 %	87,870,030	6.3 %
42	80	0.00	125,612,919	6.4 %	119,631,352	6.3 %	174,869,248	7.3 %	119,631,352	6.3 %
43	81	0.00	133,491,909	6.4 %	127,135,151	6.3 %	187,574,611	7.3 %	127,135,151	6.3 %
47	85	0.00	169,575,312	6.4 %	161,500,297	6.3 %	247,309,984	7.3 %	161,500,297	6.3 %
52	90	0.00	225,847,138	6.4 %	215,092,512	6.3 %	345,059,115	7.3 %	215,092,512	6.3 %
57	95	0.00	290,356,240	6.3 %	287,481,426	6.2 %	483,357,342	7.2 %	287,481,426	6.2 %
62	100	0.00	396,081,482	6.3 %	396,081,482	6.3 %	697,737,958	7.3 %	396,081,482	6.3 %

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Proposed Policy Date:	11 May 2019	**Client Name:**		**Initial Face Amount:**	65,246,594
Contact:	Financial Representative	**Date of Birth:**	Not Available	**Death Benefit Option:**	D (Variable)
Quote:	MNS39 B/D 3Pay $10m	**Client Age (ALB):**	38 Years	**Projection:**	Base
Special Quote:	Yes	**Underwriting Class:**	Male/Non-Nicotine/Std	**Initial Annualized Prem.:**	2,500,000.00
Charging structure:	ADV2-101Q	**Permanent Extra:**	No Rating	**Premium Mode:**	Annual
Currency:	USD	**Flat Extra:**	0.00 for 0 Year	**Initial Modal Premium:**	2,500,000.00
		Country/Region:	United States	**Lump Sum, Year One:**	0.00

US Tax Compliance

Year	Att. Age (EOY)	Net Deposit / Partial With.	Variable Basis		CVAT	Guideline Premium Test			non-MEC	
			Insurance Benefit	Surrender/ Endowment Value	Compliant(N)	Cumulative Premiums		Maximum Cash Value Corridor Compliant(Y)	Cumulative Premiums	
						Single Compliant(Y)	Level Compliant(Y)		Compliant(Y)	Actual
1	39	2,500,000	65,246,594	2,634,251	16,076,323	8,582,829	2,518,394	26,098,638	2,500,000	2,500,000
2	40	2,500,000	67,880,845	5,441,037	17,311,851	8,946,632	5,041,569	27,152,338	5,000,000	5,000,000
3	41	2,500,000	70,687,631	8,426,044	18,656,871	9,353,561	7,572,490	28,275,053	7,500,000	7,500,000
4	42	2,500,000	73,672,638	11,601,816	20,119,622	9,807,777	10,114,152	30,317,958	10,000,000	10,000,000
5	43	0	65,246,594	12,321,900	18,432,626	8,462,440	12,214,836	27,646,862	12,500,000	10,000,000
6	44	0	65,246,594	13,081,423	19,062,148	8,462,440	14,217,532	28,491,962	15,000,000	10,000,000
7	45	0	65,246,594	13,880,307	19,706,605	8,462,440	16,122,123	29,390,358	17,500,000	10,000,000
8	46	0	31,754,965	14,769,751	9,912,427	2,306,795	16,596,162	14,769,751	17,500,000	10,000,000
9	47	0	32,852,101	15,718,708	10,595,682	2,524,986	17,066,149	15,718,708	17,500,000	10,000,000
10	48	0	33,956,325	16,727,254	11,314,116	2,754,942	17,530,784	16,727,254	17,500,000	10,000,000
11	49	0	35,064,080	17,799,026	12,069,519	2,996,525	17,988,548	17,799,026	17,500,000	10,000,000
12	50	0	36,170,747	18,937,564	12,861,002	3,249,275	18,437,753	18,937,564	17,500,000	10,000,000
13	51	0	37,271,052	20,146,514	13,687,209	3,512,397	18,876,515	20,146,514	17,500,000	10,000,000
14	52	0	38,145,597	21,430,111	14,464,595	3,731,751	19,293,976	21,430,111	17,500,000	10,000,000
15	53	0	38,977,564	22,793,897	15,256,141	3,950,138	19,687,143	22,793,897	17,500,000	10,000,000
16	54	0	39,759,904	24,243,844	16,057,240	4,164,921	20,052,804	24,243,844	17,500,000	10,000,000
17	55	0	40,484,882	25,786,549	16,861,609	4,372,936	20,387,528	25,786,549	17,500,000	10,000,000
18	56	0	41,142,781	27,428,521	17,662,617	4,570,102	20,687,549	27,428,521	17,500,000	10,000,000
19	57	0	42,597,039	29,176,054	18,839,778	5,021,776	20,986,056	29,176,054	17,500,000	10,000,000
20	58	0	44,068,261	31,033,987	20,072,350	5,498,201	21,281,899	31,033,987	17,500,000	10,000,000
22	60	0	47,048,707	35,110,975	22,707,810	6,525,211	21,860,081	35,110,975	17,500,000	10,000,000
27	65	0	58,250,713	47,746,486	32,183,687	10,975,898	23,541,662	47,746,486	17,500,000	10,000,000
32	70	0	75,128,142	64,765,639	46,896,477	18,960,005	26,364,940	64,765,639	17,500,000	10,000,000
37	75	0	94,020,932	87,870,030	65,534,604	29,453,714	30,961,786	87,870,030	17,500,000	10,000,000
42	80	0	125,612,919	119,631,352	96,267,381	49,799,107	39,080,621	119,631,352	17,500,000	10,000,000
43	81	0	133,491,909	127,135,151	104,017,373	55,239,334	41,575,521	127,135,151	17,500,000	10,000,000
47	85	0	169,575,312	161,500,297	140,120,924	81,605,166	55,958,115	161,500,297	17,500,000	10,000,000
52	90	0	225,847,138	215,092,512	197,290,236	126,272,184	90,467,482	215,092,512	17,500,000	10,000,000
57	95	0	290,356,240	287,481,426	265,142,827	181,158,966	166,098,672	287,481,426	17,500,000	10,000,000
62	100	0	396,081,482	396,081,482	396,081,482	279,171,183	608,381,779	396,081,482	17,500,000	10,000,000

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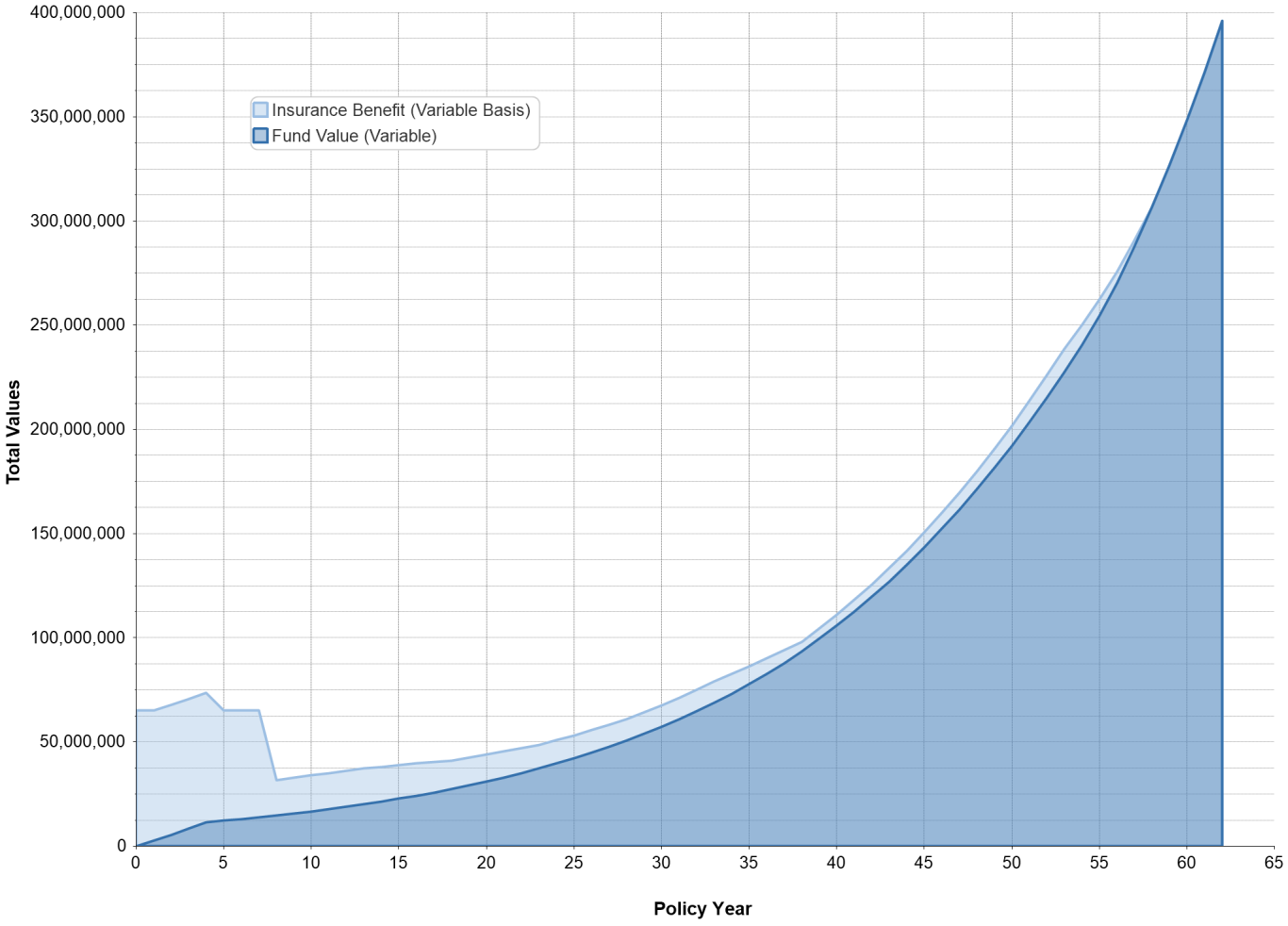
Proposed Policy Date:	11 May 2019	**Client Name:**		**Initial Face Amount:**	65,246,594
Contact:	Financial Representative	**Date of Birth:**	Not Available	**Death Benefit Option:**	D (Variable)
Quote:	MNS39 B/D 3Pay $10m	**Client Age (ALB):**	38 Years	**Projection:**	Base
Special Quote:	Yes	**Underwriting Class:**	Male/Non-Nicotine/Std	**Initial Annualized Prem.:**	2,500,000.00
Charging structure:	ADV2-101Q	**Permanent Extra:**	No Rating	**Premium Mode:**	Annual
Currency:	USD	**Flat Extra:**	0.00 for 0 Year	**Initial Modal Premium:**	2,500,000.00
		Country/Region:	United States	**Lump Sum, Year One:**	0.00

Projection of Fund Values (End of Year), Total Insurance Benefit



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Contact:	Financial Representative	**Date of Birth:**	Not Available	**Death Benefit Option:**	D (Variable)
Quote:	MNS39 B/D 3Pay $10m	**Client Age (ALB):**	38 Years	**Projection:**	Base
Special Quote:	Yes	**Underwriting Class:**	Male/Non-Nicotine/Std	**Initial Annualized Prem.:**	2,500,000.00
Charging structure:	ADV2-101Q	**Permanent Extra:**	No Rating	**Premium Mode:**	Annual
Currency:	USD	**Flat Extra:**	0.00 for 0 Year	**Initial Modal Premium:**	2,500,000.00
		Country/Region:	United States	**Lump Sum, Year One:**	0.00

Premium and Fund Charges Table

Years	**Share**	**From:** 0	**From:** 10,000,000	**From:** 25,000,000	**From:** 100,000,000	**From:** 1,000,000,000	**From:** 10,000,000,000
On First Year & Renewal Premiums (Annualized Rate)			Frequency: Annually		Timing: Beginning		
On Premiums	Insurer Setup Fee M&E / AMC	0.240 %	0.240 %	0.240 %	0.240 %	0.240 %	0.240 %
	Total	0.240 %	0.240 %	0.240 %	0.240 %	0.240 %	0.240 %
On Funds (Annualized Rate) Applies To: Funds			Frequency: Quarterly		Timing: Beginning		
Years (1+)	Insurer M&E / AMC - 1	0.350 %	0.350 %	0.350 %	0.350 %	0.350 %	0.350 %
	Total	0.350 %	0.350 %	0.350 %	0.350 %	0.350 %	0.350 %

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Charging Structure Algorithm: Layers

The columns that contain the rates for the charges are selected as the fund value grows. When the fund value crosses a threshold the rates in the next column only apply to the fund value amount that surpassed the threshold. This in effect blends the rates with the growth of the fund value. This would normally result in a smoother change overtime.

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Proposed Policy Date:	11 May 2019	**Client Name:**		**Initial Face Amount:**	65,246,594
Contact:	Financial Representative	**Date of Birth:**	Not Available	**Death Benefit Option:**	D (Variable)
Quote:	MNS39 B/D 3Pay $10m	**Client Age (ALB):**	38 Years	**Projection:**	Base
Special Quote:	Yes	**Underwriting Class:**	Male/Non-Nicotine/Std	**Initial Annualized Prem.:**	2,500,000.00
Charging structure:	ADV2-101Q	**Permanent Extra:**	No Rating	**Premium Mode:**	Annual
Currency:	USD	**Flat Extra:**	0.00 for 0 Year	**Initial Modal Premium:**	2,500,000.00
		Country/Region:	United States	**Lump Sum, Year One:**	0.00

Other Policy Charges Details

a) Policy Administration Fee

USD: 0
Frequency: Annually
Timing: End of Period

b) Surrender/Early Encashement Charge

Method: 2
% of fund: 0.000
Term: 1
Step: Annually

c) Charges Adjustments

Maximum Cumulative Premium Charges (USD): 6,000
Fee Scale Multiplier: 100.000 %
Minimum Annual Fund Charges (USD): None
Maximum Annual Fund Charges (USD): None

E. & O. E.

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Currency:	USD	**Permanent Extra:**	No Rating	**Premium Mode:**	Annual
		Flat Extra:	0.00 for 0 Year	**Initial Modal Premium:**	2,500,000.00
		Country/Region:	United States	**Lump Sum, Year One:**	0.00

Client(s) Information

Primary Insured

First Name:	
Last Name:	
Client Age:	38
Underwriting Class:	Male/Non-Nicotine/Standard
Mortality:	None
Phone Number:	
:	
Address:	United States

This summary is only an abbreviated version of the Detailed Report and is not a substitute for the Detailed Report. It provides selected policy values for your convenience. For more information, please refer to the Detailed Report.

This insurance proposal is presented for information purposes only. It is not an offer to provide insurance and will not form part of any policy that may be issued.

EXHIBIT H - DOCUMENTS AND INFORMATION FOR ILLUSTRATION

3cStructures LLC

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NECESSARY POLICY ILLUSTRATION INFORMATION AND DOCUMENTATION

Following is a list of the documentation and information that is needed in order to produce a performance illustration for a private placement deferred variable annuity ("DVA") or variable universal life ("VUL") insurance policy. Section I reflects that documentation and information that is relevant to both types of policies and Section II reflects that documentation and information that is uniquely applicable to VUL policies.

I. INFORMATION AND DOCUMENTATION APPLICABLE TO BOTH DVA AND VUL POLICIES:

1. Is the proposed insured/annuitant seeking to acquire a DVA policy or a VUL policy?

   ☐ DVA Policy
   ☐ VUL Policy

2. If the answer to question 1 above is a VUL policy, does the proposed insured wish to acquire a modified endowment contract (a "MEC") or a non-modified endowment contract (a "Non-MEC")?

   ☐ MEC
   ☐ Non-MEC
   ☐ N/A

3. Is the proposed insured/annuitant a U.S. Citizen?

   ☐ Yes
   ☐ No

4. Is the proposed insured/annuitant a resident of the United States?

   ☐ Yes
   ☐ No

5. What is the proposed insured's/annuitant's date of birth?

   Day _____ *(Enter 1 – 31)*
   Month _____ *(Enter 1 -12 (e.g., 2 for February)*
   Year _____ *(Enter full year (e.g., 19XX or 20XX))*

6. What is the proposed insured's/annuitant's gender?

   ☐ Male
   ☐ Female

7. Does the proposed insured/annuitant intend to fund any portion of the DVA/VUL policy with the proceeds of another policy through an exchange that qualifies under section 1035 of the U.S. Internal Revenue Code of 1986, as amended (the "Code")?

   ☐ Yes
   ☐ No

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8. If the answer to question 7 above is "Yes,"

(a) What is the approximate value of the policy that is being exchanged?

$ _____ *(Enter amount in U.S. Dollars)*

(b) Do you have a copy of the policy that will be exchanged?

- ☐ Yes
- ☐ No
- ☐ N/A

(c) Do you have, or have you requested, a copy of last policy statement? *(This will be necessary to provide an accurate comparison of the existing policy with the DVA or VUL policy being sought.)*

- ☐ Yes
- ☐ No
- ☐ N/A

(d) If a VUL policy is being sought, do you have, or have you requested, a copy of the associated in-force illustration? *(This will be necessary to provide an accurate comparison of the existing policy with the VUL policy being sought.)*

- ☐ Yes
- ☐ No
- ☐ N/A

9. How much does the proposed insured/annuitant wish to contribute to the policy in addition to any amounts reflected in Question 8(a) above?

$ _____ *(Enter amount in U.S. Dollars)*

10. What frequency and over what period does the proposed insured/annuitant wish to contribute the amounts reflected in Question 9 above?

- ☐ Quarterly
- ☐ Annually

_____ *(Enter number of quarters or years, as applicable)*

11. What is the assumed annual rate of return?

_____% *(Enter assumed annual rate of return (e.g., 7.0%)*

12. Does the insured/annuitant have any special or anticipated withdrawal plans for the DVA/VUL policy?

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II. INFORMATION AND DOCUMENTATION UNIQUE TO VUL POLICIES:

1. What is the general health of the proposed insured?

   - ☐ Preferred *(Exceptional health)*
   - ☐ Standard *(Normal health)*
   - ☐ Slightly Impaired *(Some health issues)*

2. Does the proposed insured smoke or otherwise use tobacco in any way?

   - ☐ Yes
   - ☐ No

3. If a Non-MEC VUL policy is being pursued, would the proposed insured wish to minimize the net amount at risk (the "NAR") to reduce the cost of insurance (the "COI") in order to better maximize the cash value of the policy?

   - ☐ Yes
   - ☐ No
   - ☐ N/A

4. If the answer to Question 3 immediately above is "Yes," does the proposed insured understand that the period of time over which contributions may be made to the VUL policy may be extended beyond that reflected in Question 10 of Section I above?

   - ☐ Yes
   - ☐ No
   - ☐ N/A

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EXHIBIT I - OR SMLLC PPM
FOR ACQUISITION OF VUL POLICY

3cStructures LLC

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CONFIDENTIAL PRIVATE PLACEMENT MEMORANDUM

Limited Liability Company Units
1,000.00 Units at a Per Unit Price of $ 7.00
Minimum Purchase: 1,000.00 Units
Minimum Offering Amount: $ 7,000.00
Maximum Offering Amount: $ 7,000.00

You have expressed a desire to obtain a private placement variable universal life ("VUL") assurance policy ("Policy"), that (i) may or may not be acquired in connection with a like-kind exchange of an existing policy pursuant to Section 1035 of the Internal Revenue Code of 1986, as amended (the "Code") (a "1035 Exchange"), (ii) permits the management of the assets held in the Policy by _____ (the "Financial Advisor"), and (iii) to the extent possible, eliminates or mitigates the impact of taxation.

To assist you in achieving the aforementioned goals, 3cStructures LLC ("3cStructures") has formed, or will form, the above captioned _____ limited liability company (the "Company") for the principle purpose of acquiring a Policy, which designates _____ as the insured party. 3cStructures will assist the Company in securing such a Policy from an issuing insurance company (the "Insurer") that, at the time of issuance (i) is subject to taxation in the United States or made an election to be treated as such under section 953(d) of the Code, (ii) holds the Policy's assets in an account or similar structure that is legally distinct or separate from the assets and liabilities of both those of the Insurer and those of other policies issued by the Insurer (a "Segregated Assets Plan"), and (iii) permits the management of the assets held in the Policy's Segregated Assets Plan by the Financial Advisor. Details regarding the Policy itself are contained in a separate private placement memorandum (the "VUL PPM"), which supplement this Private Placement Memorandum (the "Company PPM").

Below, we have addressed various frequently asked questions ("FAQs") concerning the Company and the mechanics associated with the Company's acquisition of a Policy. Please note, this Company `PPM does not constitute an offer to acquire a Policy. An offer to acquire a Policy may be only made by the completion of a Policy application by a representative of the Company. This Company PPM is made available solely to the party to whom it is expressly addressed and delivered (the "Addressee"). Distribution of this Company PPM to any person or entity other than the Addressee (or those persons whom the Addressee may engage for advice with respect thereto) is unauthorized and prohibited, and any reproduction of this Company PPM, in whole or in part or the disclosure of any of its contents to any persons other than the Addressee or his/her/its representative, without the express prior written consent of 3cStrucgtures is prohibited.

In certain instances, this Company PPM references actual governing documents regarding information concerning the rights and obligations of the Addressee, 3cStructures, the Financial Advisor, the Insurer and the Custodian. Copies of such documents are available at your request and will be provided to you upon execution of an engagement agreement with 3cStructures. If any conflict or ambiguity between the provisions of this Company PPM and the terms of the Policy, the terms and provisions of the Policy will control.

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FREQUENTLY ASKED QUESTIONS ("FAQS")

Question #1: ***What is the role of 3cStructures?***

3cStructures has developed both the structure and processes described herein, which permit the acquisition of a Policy in a tax efficient manner (whether newly issued or acquired through a 1035 Exchange) that provides for the management of the assets held within the Policy by the Financial Advisor. In this regard, 3cStructures' activities include the provision of various functions necessary to facilitate the Company's acquisition of a VUL Policy, including: (i) the establishment of legal and banking relationships necessary for the Company to acquire a Policy from the Insurer, (ii) the completion of (A) the application(s) for the Policy, and (B) various supporting agreements and documents associated with the Policy and the management of the assets held in the Policy's Segregated Assets Plan, (iii) the coordination of any necessary health or medical underwriting associated with the acquisition of a VUL Policy, and (iv) the coordination with the Financial Advisor and Custodian to accommodate both the funding of the Policy and the investment of the assets held in the Policy's Segregated Assets Plan.

Question #2: ***How is 3cStructures LLC compensated?***

3cStructures and/or its affiliates are compensated by you in connection with the creation and sale of the Company to you, and by the Insurer for the consulting and coordination services and activities performed in connection with the Policy, if issued. The costs and expenses associated with the Policy are reflected in the VUL PPM.

Question #3: ***Who is eligible to acquire and fund a Policy?***

Policies will only be issued in Puerto Rico, and only to a limited liability company ("Company") that is owned by one or more individuals who are Qualified Purchasers and an Accredited Investors (a "QI"). A Policy will only be issued if the aforementioned criteria are satisfied, and the party intended to serve as the insured individual satisfies the underwriting requirements mandated by the Insurer. Further details regarding Policy eligibility requirements are reflected in the VUL PPM.

Question #4: ***How much control over the Company, including its management and ownership, will I have after my acquisition of the Company?***

As the owner of the Company, you (and any other owns, if applicable) will have complete control over it following acquisition.

Question #5: ***How much control will the Company or I have over any investments held in the Segregated Assets Plan of a Policy?***

As required by Section 817(h) of the Code, neither you nor the Company are, or will be, permitted to control the selection, management or disposition of the individual investments held in the Policy's Segregated Assets Plan. Discretion over such matters will be the sole responsibility of the Financial Professional nominated by you, acting on behalf of the Company. Further details regarding these requirements can be found in the VUL PPM.

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DISCLOSURE

The Company and Private Placement Variable Universal Life products are unregistered security products and are not subject to the same regulatory requirements as registered products. Therefore, they can only be made available to accredited investors and qualified purchasers ("Qualified Investors" or "QIs") as described by the Securities Act of 1933.

Private Placement Variable Universal Life products provide certain tax benefits. Each product has an investment component, the value of which will fluctuate, and may be worth more or less than its original cost or investment.

Purchases and withdrawals may be subject to tax, which can vary by jurisdiction. It is recommended that these products be purchased in conjunction with tax and legal advice from trusted advisors. This document contains information which has been deemed accurate, but in no way should replace that advice.

The information in this document is intended for institutional use, and is not intended to be, an investment offering, private placement memorandum, tax or legal advice, nor a contract. Any financial information contained within is purely hypothetical, and in no way predicts the future, guarantees any investment return, or creates a contract.

In order to purchase the Company and the Private Placement Variable Universal Life products, a written contract must be executed. A proper consideration of the advantages and disadvantages of these products should be made prior to investing. Please carefully read the PPMs prior to investing.

Securities offered through The Leaders Group, Inc., Member FINRA/SIPC, 26 W Dry Creek Circle, Suite 800, Littleton, CO 80120, (303) 797-9080.

Segregated Assets Plan ("SAP") – Each policy will have investments held in a separate custodial account, which will be owned by the insurance company's separate account, which is established to hold client funds. The SAP will be established by the QI's nominated Financial Advisor ("FA"). The FA will have the responsibility to manage the assets within the SAP and report on values on a quarterly basis to the insurance company.

Investor Control – Neither the underlying policy holder nor its agent are permitted to select any of the individual securities held within the SAP. If the policy holder (or its agent) does this, they are risking that the product may no longer qualify as life insurance and will lose its tax advantages status.

IRC 817(h)- 55/70/80/90 – The FA must diversify the investments within the SAP by allocating no more than 55% to one security, 70% to two, 80% to three, or more than 90% to four. If this rule is broken and not rectified within the applicable cure period, the product may no longer qualify as life insurance and will lose its tax advantages status.

Costs - There are costs to set up the Company, underwriting and medical examination expenses, asset-based fees, and life insurance charges. There will also be custodial fees and fees due the FA to manage the assets within the policy. These costs will be disclosed and transparent to the prospective policy owner and FA prior to entering into the contract.

Minimum Death Benefit Qualification – In order for the Private Placement Variable Universal Life insurance products to qualify as life insurance under the federal tax laws, there will be a minimum death benefit required. This amount will differ by the type of product selected, client age, amount invested and whether the investment is coming from the exchange of an existing policy or the funding of a new or current policy. This amount will be shown in the policy illustration provided to the prospective policy owner.

Life insurance may not be able to be obtained, or may be quite expensive, depending on a prospective insured's health.

3cStructures offerings are available in TX, FL, MA, NY, OR, CT, PA, NJ, CO, GA, IL, MO, VA, AL, MS, UT and CA. (More to come).

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EXHIBIT J -
AGREEMENT WITH PUERTO RICAN LEGAL COUNSEL

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1108 Corporate Services LLC

B-7 Tabonuco Street, Suite 1108
Guaynabo, Puerto Rico 00968

July 29, 2019

BY EMAIL: sjensen@3cstructures.com

Mr. Sam Jensen
Managing Director
3C Structures
12838 E Kennedy Blvd., 1005
Tampa, Florida 33602

Re: **3cStructures LLC**

Dear Mr. Jensen:

Thank you for selecting 1108 Corporate Services LLC ("1108 Corporate Services") to act as agent to 3cStructures LLC ("3cStructures") in respect to certain Oregon limited liability companies 3cStructures will, from time to time, organize for the purpose of either (A) participating in certain U.S. Internal Revenue Code Section 1035 insurance policy exchanges related to U.S. private placement variable annuities, variable universal life polices and other insurance products ("1035 Exchanges) or (B) directly funding, through non-1035 Exchanges, the acquisition of private placement life insurance products issued in Puerto Rico by Advantage Life Puerto Rico A.I.) ("ALPR") or placing other types of insurance risks through insurance products issued by ALPR (the "Services").

The purpose of this letter is to set forth the scope, terms and conditions of your engagement of 1108 Corporate Services.

1108 Corporate Services will, from time to time, through 3cStructures, acting on behalf of various Oregon single member limited liability companies, receive applications for ALPR private placement insurance products. Such applications will be submitted by such Oregon single member limited liability companies as the proposed applicants of ALPR private placement insurance products. Upon receiving such applications through 3cStructures, 1108 Corporate Services will promptly forward the application packages to ALPR in San Juan, Puerto Rico. In respect to any such applications for private placement insurance products which are approved by ALPR and accepted for issuance by an Oregon limited liability company applicant and prospective owner, 1108 Corporate Services shall deliver the approved and accepted ALPR private placement insurance policy and supporting documents to 3C Structures promptly upon being received from ALPR in San Juan, Puerto Rico.

For our work above we will charge (i) a fixed fee of $150.00 for each application received from 3cStructures and forwarded to ALPR; and (ii) a fixed fee of $150.00 for each

P. +1 787.413.8883 E. pvidal@vnblegal.corn
B7 Tabonuco Street, Suite 1108, Guaynabo, Puerto Rico 00968
P.O. Box 366219 San Juan, Puerto Rico 00936-6219
Pedro I. Vidal-Cordero
@vnblegal #vnblegal
www.vnblegal.com

approved and accepted ALPR private placement insurance policy and supporting documents received from ALPR and delivered to 3cStructures.

3cStructures will be responsible for expenses which we may incur in connection with the performance of the Services. Without limiting the generality of the foregoing, and as applicable to the Services to be provided to 3cStructures acting on behalf of the Oregon single member limited liability companies it will establish, such expenses will generally include photocopies, messenger services, courier and overnight delivery charges, and related expenses. Additionally, it is our policy to request clients to directly pay any expenses related to services performed on your behalf by third parties.

Each month we will send an invoice statement containing two parts. The first part will set forth the fees for services rendered. The second part of the statement will include an itemized list of out-of-pocket expenditures referenced in the preceding paragraph.

Our invoices are due within thirty (30) days of delivery thereof. Payments for the Services should be made in the name of **Vidal, Nieves & Bauza LLC.**

All records, documents and data ("Documents") that we collect as part of our work on your behalf may be returned to 3cStructures upon completion of the Services.

We look forward to working with you.

Sincerely yours,

Pedro I. Vidal Cordero

I have read the foregoing letter and acknowledge that it accurately states the terms pursuant to which 3cStructures LLC has agreed to retain 1108 Corporate Services LLC in connection with the Services described therein.

By:_____ Date:_____

Sam Jensen

EXHIBIT K -
ENGAGEMENT OF PUERTO RICAN LEGAL COUNSEL

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SERVICE AGREEMENT

THIS SERVICE AGREEMENT (this "Agreement") is dated _____ ("Effective Date") and entered into by and between **1108 Corporate Services, LLC**, a limited liability company duly organized and existing pursuant to the laws of the Commonwealth of Puerto Rico (hereinafter referred to as the "Company"), and _____, a limited liability company duly organized and existing pursuant to the laws of the State of _____ (hereinafter referred to as the "LLC").

The subsequent recitals are hereby incorporated into and made a part of the resolutions adopted herein, including all defined terms referenced therein.

WHEREAS The LLC is a proposed applicant of a certain private placement life insurance policy and/or private placement variable annuity policy of Advantage Life Puerto Rico A.I., an international insurer company existing and duly organized pursuant to the laws of the Commonwealth of Puerto Rico ("ALPR"); and

WHEREAS The LLC and the Company are desirous of entering into an agreement whereby the LLC authorizes the Company and the Company agrees to receive and send applications for private placement insurance and annuity products of ALPR in accordance with the terms set forth herein.

NOW, THEREFORE, in consideration of the covenants and agreements herein contained, the Company and the LLC agree as follows:

1. The Company shall, through 3cStructures LLC, a limited liability company existing and organized pursuant to the laws of the State of Delaware, acting on behalf of the LLC, receive the LLC's application for its private placement variable universal life ("VUL") insurance policy of ALPR (hereinafter a "Policy").

2. The Company shall, upon receipt of the LLC's application for its private placement life insurance Policy of ALPR, promptly forward such application to ALPR at its office located at American International Plaza, 250 Muñoz Rivera Avenue, Suite 710, San Juan, Puerto Rico 00918.

3. In the event the LLC's application for private placement life insurance Policy is approved by ALPR and accepted for issuance by the LLC applicant and prospective owner, the Company shall deliver the approved and accepted application and supporting documents to 3cStructures, LLC promptly upon being received from ALPR.

4. This Agreement is intended to be governed by and construed in accordance with the laws of the Commonwealth of Puerto Rico.

IN WITNESS WHEREOF, this Agreement has been executed by the parties hereto on the date first above mentioned.

SIGNED for and on behalf of
1108 Corporate Services, LLC

By: _____
Authorized Signatory

SIGNED for and on behalf of

_____

By: _____
Authorized Signatory

EXHIBIT L -
3CSTRUCTURES AND OR SMLLC AGREEMENT FOR VUL

3cStructures LLC

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3cStructures LLC
Private Placement Variable Universal Life Insurance
Coordination and Facilitation Agreement

WHEREAS, 3cStructures LLC ("3cStructures) established _____ ("Company"), a(n) _____ Limited Liability Company, on _____ for the purpose of acquiring a private placement variable universal life ("PPVUL") policy;

WHEREAS, 3cStructures provides consulting and other services to coordinate and facilitate the acquisition of PPVUL policies;

WHEREAS, Company wishes to engage 3cStructures to coordinate and facilitate the acquisition of a PPVUL policy (the "Policy"),

NOW, THEREFORE, in consideration of the mutual agreements herein contained, 3cStructures and Company (the "Parties") hereby agree as follows:

I. SERVICES

At the direction of an authorized representative of the Company, 3cStructures will:

A. Coordinate with:

1. Company to obtain the information and documentation necessary to complete:

   (a) An application to obtain a Policy (a "Policy Application"), and

   (b) Any other documentation necessary for the Company to obtain a Policy, based upon the life of the party designated by the managing member(s) of the Company ("Insured");

2. The financial advisor ("FA") that is nominated by the Company, or the managing member(s) of the Company acting on behalf of the Company, to serve as the investment manager associated with any investments that will be acquired, or otherwise held, by the Policy, to:

   (a) Obtain the assumed rate of return and any other information or assumptions needed to complete an illustration reflecting the expected investment performance associated with the Policy,

   (b) Determine whether the Policy will be funded in whole or in part through the exchange of an existing policy in an exchange that satisfies the requirements reflected in Section 1035 of the Internal Revenue Code of 1986, as amended (a "1035 Exchange"), and

   (c) Assist in the logistics associated with the funding of the Policy, once issued;

3. Puerto Rican legal counsel ("PR Legal Counsel"), which has been engaged by, or on behalf of, the Company to represent the Company in the acquisition of a Policy; and

4. Advantage Life Puerto Rico A.I. ("Advantage Life") to facilitate the acquisition of a Policy; and

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B. Provide insurance underwriting preparation services, including:

1. Scheduling of medical examinations necessary for the Company to acquire a Policy, based upon the life of the Insured (the "Medical Examination"), and

2. Obtaining the results of the Medical Examination;

3. Providing the results of the Medical Examination and the completed Policy Application to the insurance underwriter and any other parties necessary for the Company to obtain a Policy, and

4. Obtaining the results from the insurance underwriter following its decision regarding the insurability of the Insured;

C. Complete, and, as necessary, revise, clarify or update:

1. the Policy Application;

2. Any associated documentation that Advantage Life may require for the Company to acquire a Policy, and

3. The form(s) necessary to complete a 1035 Exchange (the "1035 Exchange Form"), if applicable;

D. Forward the completed:

1. Policy Application to PR Legal Counsel for PR Legal Counsel's review, execution and submission to Advantage Life, and

2. 1035 Exchange Form, if applicable, to the insurance provider(s) that issued the policy(ies) that will be transferred in a 1035 Exchange (the "Legacy Insurer(s)), if any.

II. CONFIDENTIALITY

The information, documentation and services provided by 3cStructures on behalf of the Company shall be treated in confidence and shall not be disclosed to third persons, except as may be required by law, regulation, or legal process. Notwithstanding the foregoing, the Company, its owner, managing member(s) and any representatives or affiliates may disclose the identity of 3cStructures as a service provider that facilitated the acquisition of the Policy by the Company.

III. FEES

The Company understands that 3cStructures and/or its affiliates will receive compensation from Advantage Life and/or the Policy, if a Policy is ultimately issued to the Company and agrees to the payment of such fees to 3cStructures and/or its affiliates. Such fees shall encompass all of the fees and charges for the services provided by 3cStructures to, or on behalf of, the Company. 3cStructures represents and warrants that neither it, nor any of its affiliates, has, or will, receive any compensation from the FA or any of the investments selected by the FA for the Policy.

IV. LIMITATION OF LIABILITY; INDEMNIFICATION

3cStructures shall have no liability for its or any other person's or entity's acts or omissions except as shall arise out of 3cStructures's violation of its obligations hereunder or willful misfeasance, bad faith, or gross negligence in the performance of its duties hereunder.

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NO PART OF THE INFORMATION REFLECTED IN THIS DOCUMENT MAY BE DISCLOSED IN ANY MANNER TO A THIRD PARTY
WITHOUT THE PRIOR WRITTEN CONSENT OF 3CSTRUCTURES LLC.

The Company shall indemnify and hold harmless 3cStructures (including its employees, managers and members) from and against any loss, claim, liability, cost or other expense, including reasonable attorneys' fees and expenses that 3cStructures may incur in connection with the performance of its services hereunder to the extent any such loss, claim, liability, cost or other expense is a result of the willful misfeasance, bad faith, breach of fiduciary duty or negligence in the performance of any other party's responsibilities or duties to the Company.

Notwithstanding anything herein to the contrary, in no event shall any of the Parties be responsible to another Party or any third party for special, indirect, or consequential damages arising under or in connection with this Agreement. None of the Parties shall have any indemnification obligation in respect of a settlement entered into by another Party to which the first Party has not consented, such consent which shall not be unreasonably withheld or delayed. Nothing in this Agreement will constitute a waiver or limitation of any rights which the Parties may have that may not be legally waived or limited.

V. ASSIGNMENT/TERMINATION

This Agreement may not be assigned or transferred in any manner by the Company, except as expressly permitted by 3cStructures. This Agreement may be terminated by any of the Parties at any time without penalty upon written notice to the other Party. Termination is effective immediately on receipt of such notice by the other Parties or such later date as may be specified in such notice. Termination shall not affect liabilities or obligations incurred or arising from transactions under this Agreement prior to termination, including the provisions regarding arbitration, which shall survive termination of this Agreement. Upon termination, 3cStructures shall have no further obligation to provide the services described herein but shall continue to be entitled to any compensation or fees associated with the Policy, if issued.

VI. NOTICES

Any notice or other writing required or permitted by this Agreement shall be in writing and shall be transmitted by hand delivery, nationally recognized overnight delivery service, or certified mail, return receipt requested, postage prepaid, addressed as set forth below or to such other address as either party may designate in writing to the other party.

TO: **3cStructures LLC**

_____

_____

Attn: _____

TO: _____

_____

_____

Attn: _____

THIS DOCUMENT AND THE CONTENTS HEREIN ARE PROPRIETARY AND CONFIDENTIAL, AND NOT INTENDED TO SERVE AS LEGAL, TAX OR INVESTMENT ADVICE.
NO PART OF THE INFORMATION REFLECTED IN THIS DOCUMENT MAY BE DISCLOSED IN ANY MANNER TO A THIRD PARTY
WITHOUT THE PRIOR WRITTEN CONSENT OF 3CSTRUCTURES LLC.

VII. GOVERNING LAW

This Agreement shall be construed under the laws of the State of Texas in a manner consistent with the applicable rules and regulations thereunder.

VIII. ARBITRATION

To the extent not otherwise legally impermissible, any dispute involving the 3cStructures and the Company and/or the Policy, which relates to this Agreement and cannot be settled, shall be determined by an arbitration proceeding in Dallas, Texas. Such arbitration proceedings shall be held in accordance with the commercial rules, regulations and procedures then in effect of the American Arbitration association (the "Arbitration Rules"). Arbitration must be commenced by service of a written demand for arbitration or a written notice of intention to arbitrate upon the Parties to this Agreement and any other necessary parties. Any arbitration hereunder shall be before a panel of at least three arbitrators and the award of the panel shall be final. Judgment upon the award rendered may be entered in any court, state or federal, having jurisdiction and the Parties hereby submits themselves to the jurisdiction of any such court for the purpose of entering such judgment. The provision for arbitration shall not constitute a waiver of any rights under this Agreement except to the extent stated herein or under federal law. The cost of arbitration will be borne equally by the arbitrating parties.

IX. ENTIRE AGREEMENT/AMENDMENTS

This Agreement represents the entire agreement between the Parties on the date hereof with respect to the subject matter contained herein. This Agreement may not be changed orally, but rather only by an agreement in writing signed by the Parties.

IN WITNESS WHEREOF, the Parties have caused their duly authorized representatives to execute this agreement under seal on the day and year first above written.

Seller, 3cStructures LLC	_____
By: _____	By: _____
Name: _____	Name: _____
Title: _____	Title: Co-Founder of 3cStructures LLC and Authorized Representative of _____

THIS DOCUMENT AND THE CONTENTS HEREIN ARE PROPRIETARY AND CONFIDENTIAL, AND NOT INTENDED TO SERVE AS LEGAL, TAX OR INVESTMENT ADVICE.
NO PART OF THE INFORMATION REFLECTED IN THIS DOCUMENT MAY BE DISCLOSED IN ANY MANNER TO A THIRD PARTY
WITHOUT THE PRIOR WRITTEN CONSENT OF 3CSTRUCTURES LLC.

EXHIBIT M -
VUL PPM AND POLICY

3cStructures LLC

THIS DOCUMENT AND THE CONTENTS HEREIN ARE PROPRIETARY, CONFIDENTIAL AND SOLELY FOR INSTITUTIONAL PURPOSES.

NO PART OF THE INFORMATION REFLECTED IN THIS DOCUMENT MAY BE DISCLOSED IN ANY MANNER TO A THIRD PARTY WITHOUT THE PRIOR WRITTEN CONSENT OF 3CSTRUCTURES LLC.

INFORMATIONAL MEMORANDUM

ADVANTAGE LIFE PUERTO RICO A.I.

(Incorporated as an International Insurance Company under
Chapter 61 of the Insurance Code of the Commonwealth of Puerto Rico)

VARIABLE UNIVERSAL LIFE ASSURANCE POLICY

This Informational Memorandum contains basic information about the Variable Universal Life Assurance policy (the "Policy") offered for sale by Advantage Life Puerto Rico A.I. ("Advantage Life") that should be understood before purchasing. Please read this Informational Memorandum carefully and keep it for future reference.

The Policy is a complex insurance product with unique benefits and advantages. It is intended for long-term financial planning, not short-term savings or investment. The offer and sale of the Policy can only be made in the Commonwealth of Puerto Rico for persons or entities that reside outside of Puerto Rico.

The Policy is not protected by any Guarantee Fund or Insolvency Fund in Puerto Rico or elsewhere. The Policy is not insured by the Federal Deposit Insurance Corporation ("FDIC") and is not a bank deposit. The Policy may decrease in value because of poor investment results.

This Informational Memorandum is intended solely for the use of the person or entity requesting it. It describes a Policy that has not been approved or disapproved by the United States ("U.S.") Securities and Exchange Commission ("SEC") or any state or country securities, banking or insurance regulator or tax authority. This Informational Memorandum has not been approved or passed upon by any government agency for its accuracy or contents. It contains a summary of the provisions of several material documents. Please read the actual governing and supporting documents, copies of which are attached hereto or supplied upon request. Have your financial advisor contact Advantage Life with any questions.

Upon completion of all required application steps, the Policy will be issued by Advantage Life, which is incorporated and registered as an International Insurer Segregated Assets Plan Company under the laws of Puerto Rico and holds a Class 5 Authority pursuant to the provisions of Chapter 61 of the Insurance Code of Puerto Rico. Advantage Life is authorized to conduct insurance business in Puerto Rico with persons resident outside of Puerto Rico.

Upon issuance of the Policy, Advantage Life will establish a Segregated Assets Plan for the Policy. The assets and liabilities of each Policy's Segregated Assets Plan are legally segregated from the assets and liabilities of Advantage Life and from those of other segregated asset plans held within Advantage Life. The Policy's Segregated Assets Plan may not be charged with any liability of Advantage Life or other Advantage Life insurance policies or segregated assets plans.

Capitalized terms in this Informational Memorandum have the meaning given to them in the Policy, which is attached as Addendum A, if not otherwise defined herein. In the event of a conflict between the definition contained in this Informational Memorandum and that contained in the Policy, the definition contained in the Policy will apply.

The date of this Information Memorandum is September 6, 2019.

Advantage Life Puerto Rico A.I.
American International Plaza, Suite 710
250 Muñoz Rivera Avenue
San Juan, Puerto Rico 00918
+1 (787) 705-2900
www.advantagelife.com

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1.0 INTRODUCTION

This Informational Memorandum does not constitute an offer or solicitation to purchase an insurance policy or a security in any jurisdiction where such an offer or solicitation would be unlawful.

Policies issued by Advantage Life are not registered under the securities laws of the U.S. or any state or jurisdiction. Neither Advantage Life nor the Segregated Assets Plan of the Policy is a registered issuer under U.S. federal or state securities laws or the securities laws of any jurisdiction. Prospective purchasers of a Policy represent that they are both a "Qualified Purchaser" under Section 2(a)(51) of the Investment Company Act of 1940 ("40 Act") and an "Accredited Investor" within the meaning of Rule 501(a) of Regulation D promulgated under the U.S. Securities Act of 1933, as amended ("33 Act"). Furthermore, the Policy is appropriate for purchase only for those who do not need access to the Segregated Assets Plan Values except to the extent permitted under the Policy Loan, Withdrawal, or Surrender provisions of the Policy. By purchasing a Policy, the Owner(s) represent that they have sufficient financial resources to bear the investment risks associated with the Policy, up to and including a complete loss.

Application for, and issuance of, any Policy requires insurance underwriting and due diligence inquiries by Advantage Life. The Application for a Policy may be accepted or rejected by Advantage Life, who is not required to disclose to applicants its reasons for accepting or rejecting an Application.

All Policies are issued by Advantage Life in San Juan, Puerto Rico. Advantage Life does not deliver Policies to purchasers located outside of Puerto Rico. Advantage Life expects purchasers to appoint an attorney-in-fact or other authorized person to act on their behalf for the purpose of completing the Application for and accepting delivery of a Policy in Puerto Rico.

A prospective Owner should not construe the contents of this Informational Memorandum as legal or tax advice, and should consult their own advisors as to insurance, investment, tax, legal, economic and other matters concerning the Policy, its risks and its benefits. Individuals or legal entities who purchase a Policy may be subject to state or local taxes arising from the purchase of insurance or premiums paid to an insurance company. Advantage Life is not responsible for any tax liability accruing to any Policy Owner arising from the purchase or ownership of a Policy.

Advantage Life is a Puerto Rico corporation subject to Puerto Rico taxation. In addition to Puerto Rico tax, Advantage Life has made an irrevocable election under Section 953(d) of the Internal Revenue Code of 1986, as amended ("Code") to be taxed as a U.S. corporation. This election is important for prospective purchasers of a Policy to understand because of the complexity of U.S. taxation and required compliance with rules and regulations applicable to Advantage Life, its Policies and their Segregated Assets Plans, including:

- **FATCA:** Under the Foreign Account Tax Compliance Act ("FATCA"), Advantage Life is required to withhold applicable amounts from payments to non-U.S. Policy Owners.
- **Federal Excise Tax:** Policies issued by Advantage Life are not subject to the U.S. Federal Excise Tax ("FET") imposed by Section 4371 of the Code on premiums paid to non-U.S. insurance companies.
- **Income Source Withholding:** Advantage Life has a U.S. Tax Identification Number ("TIN") and provides U.S. payors a Form W-9 to document its exemption from any U.S. tax withholding obligation.
- **Investment Diversification:** Policies issued by Advantage Life are required to hold diversified investments as set out under Section 817(h) of the Code.
- **Investor Control:** Policy Owners are prohibited from controlling the purchase or sale of specific investments ("Investor Control") held by the Policy.
- **Life Insurance Qualification:** Advantage Life issues Policies that may or may not qualify as "Life Insurance" under Section 7702 of the Code**, depending on the requirements of the purchaser**.
- **Modified Endowment Contracts:** Certain Policies may be classified as a Modified Endowment Contract ("MEC") under Section 7702A of the Code.

Advantage Life is required to maintain full compliance with the applicable laws, rules and regulations set forth under the Bank Secrecy Act of 1970, also known as the Currency and Foreign Transactions Reporting Act, as amended (the "BSA"). Advantage Life is also subject to the provisions of the Uniting and Strengthening America by Providing Appropriate Tools Required to Intercept and Obstruct Terrorism (USA PATRIOT) Act of 2001, as amended ("USA PATRIOT Act"). To comply with these and other related rules and regulations, Advantage Life has established an Anti-Money Laundering ("AML") and Anti-Terrorism Financing Program in accordance with applicable directives of the Office of Foreign Asset Control of the U.S. Department of the Treasury ("OFAC") and recommendations of the Financial Action Task Force ("FATF").

Each Policy must have a qualified Investment Adviser and Custodian for the management and safekeeping of investments held within the Segregated Assets Plan. Investment Advisers and Custodians must comply with U.S. BSA and AML requirements described above. In addition, Investment Advisers must comply with the registration requirements of the SEC and the 40 Act, as applicable to the individual Investment Adviser. Policy Owners may recommend the selection or retention of an Investment Adviser and/or a Custodian to Advantage Life, who may accept or reject the Policy Owner's recommendation, at its sole discretion. Subject to limitations on Investor Control of Policy assets, Advantage Life will provide the investment guidelines, portfolio management strategy or investment guidance for managed accounts to the Policy Owner and will periodically inform the Policy Owner of the performance of the investments held by the Policy. Advantage Life expects the Policy Owner to notify Advantage Life if the Policy Owner believes the Investment Adviser and/or Custodian for their Policy becomes unfit to manage or hold in custody the Policy assets. In the event that Advantage Life becomes aware of regulatory or compliance risks, including reputational risks, arising from any Investment Adviser or Custodian, Advantage Life may modify or terminate a Policy's relationship with the Investment Adviser and/or Custodian at Advantage Life's sole discretion.

Advantage Life may open bank accounts and custody accounts with its affiliate, Advantage International Bank Corp., in addition to any third-party custody accounts. All Investment Adviser and Custodian charges are the responsibility of the Policy and its Segregated Assets Plan, and are not paid by Advantage Life. Advantage Life may seek reimbursement from a Policy for its expenses related to compliance with BSA, AML and OFAC requirements arising from Policy Investments or transactions that require Advantage Life to perform significant compliance-related work or expenditure with third-party compliance services providers.

Advantage Life will not evaluate the investment performance of any Investment Adviser or investments selected for the Policy by the Investment Adviser. Advantage Life makes no claims, guarantees, representations, warranties or projections concerning any Investments or their expected returns or future performance. The Segregated Assets Plan Value, the Surrender Value and any Death Benefit greater than the Specified Amount under this Policy may increase or decrease at any time depending upon the performance of the Investments in which the Segregated Assets Plan are invested, the expenses chargeable under the Policy and/or the amount of any Outstanding Policy Debt. No minimum investment performance or investment value is guaranteed. None of the values or any amount of Death Benefit greater than the Specified Amount is guaranteed. The Owner(s) and Beneficiary(ies) of each Policy bear all risks of poor investment performance.

All Policies pay a Death Benefit. The Death Benefit amount that is funded by other than a Policy's Segregated Assets Plan Value is payable in return for a periodic mortality risk charge ("Cost of Insurance"). No Policy's Segregated Assets Plan is liable for the obligations of any other Policy, any other Policy's Segregated Assets Plan, or Advantage Life's General Account. Mortality reinsurance purchased by Advantage Life for a specific Policy will be credited to the Segregated Assets Plan of the Policy when collected.

2.0 DEFINITIONS

Capitalized terms in this Informational Memorandum have the meaning given to them in the Policy, which is attached as Addendum A, if not otherwise defined herein. In the event of a conflict between the definition contained in this Informational Memorandum and that contained in the Policy, the definition contained in the Policy shall control.

3.0 SUMMARY OF THE PURCHASE

3.1 The Purchase.

Advantage Life is offering a Policy for sale which is intended to qualify as a life insurance contract under the laws of the Commonwealth of Puerto Rico and the Code, although Advantage Life does not guarantee any particular tax result under the laws of any jurisdiction. The Policy provides both life insurance and investment features intended to comply with Section 7702(a) of the Code.

3.2 The Insurer.

Advantage Life is incorporated and registered as an International Insurer Segregated Assets Plan Company under the laws of Puerto Rico and holds a Class 5 Authority pursuant to the provisions of Chapter 61 of the Insurance Code of Puerto Rico. Advantage Life is authorized to conduct insurance business in Puerto Rico with persons resident outside of Puerto Rico. It operates as a Segregated Assets Plan Company in which the assets and liabilities held in a segregated assets plan are legally segregated from the assets and liabilities of Advantage Life and those of its other segregated asset plans. As a result, the assets of one Policy's segregated assets plan may not be charged with any liability of Advantage Life, another Policy or another Policy's segregated assets plan.

3.3 Tax Status of Advantage.

Advantage Life has made an irrevocable election under Section 953(d) of the Code to be treated as a U.S. corporation for U.S. federal income tax purposes. While this means that Advantage Life is subject to U.S. corporate income tax, the Investments of a tax-qualified Policy's Segregated Assets Plan are generally not subject to U.S. or Puerto Rico tax. Advantage Life is not subject to tax withholding obligations under FATCA with respect to U.S. taxpaying Owners with U.S. source income. Advantage Life may be required under FATCA to withhold funds from payments made to non-U.S. taxpaying Owners. For this reason, prospective purchasers should obtain professional tax and financial advice in connection with their evaluation of the Policy.

3.4 The Policy.

The Policy is a non-participating, variable universal life assurance policy that provides insurance coverage on the life of the Assured(s) and enables growth in value over time by allowing the broadest possible range of eligible Investments and choice of third-party Investment Adviser. The Policy is long-term in nature, but includes Surrender, Withdrawal and Policy Loan provisions that allow the Owner to access the Policy's value prior to payment of its Death Benefit Proceeds or it reaching its Maturity Date.

The Policy is not protected by any Guarantee Fund or Insolvency Fund in Puerto Rico or elsewhere.

Additional Premiums may be payable into the Policy from time to time that comply with applicable limitations on the amount and timing of Additional Premium payments under the "guideline premium test/cash value corridor test," as described in section 7702 of the Code, if applicable.

The Policy is a variable policy because the Segregated Assets Plan Value will increase or decrease depending upon the investment experience of the particular securities into which Policy Premiums and the Segregated Assets Plan Value are invested and the expenses chargeable under the Policy. The Segregated Assets Plan Value, the Withdrawal and Surrender Values and a portion of the amount of Death Benefit Proceeds will vary based on the performance of the invested assets as well as other factors or events such as the existence of Policy Loans, Withdrawals or the payment of Periodic Deductions to Advantage Life for the Underwriting Charge and Administration Expense, taxes or other Costs Attributable to the Policy. The Policy does not provide any guaranteed minimum Surrender Value and the Owner(s) and Beneficiary(ies) ultimately bear the entire investment risk. If the Segregated Assets Plan Value is insufficient to pay Periodic Deductions and other amounts properly chargeable against the Policy, the Policy may terminate or lapse with no recoverable value.

Advantage Life will deposit the Initial Premium and any Additional Premiums less the Establishment Fee, Periodic Deductions, Underwriting Charges and Costs Attributable to the Policy into the Policy's Segregated

Assets Plan. An Investment Adviser nominated by the Owner and approved by Advantage Life will determine the asset allocation and select suitable Investments for the Policy. Alternatively, the Owner may request allocations into one or more IDFs approved by Advantage Life.

The Death Benefit becomes payable upon the death of the Relevant Life Assured while the Policy is in force and according to its terms. The Policy is in force after underwriting of the Application, receipt of the Initial Premium and compliance with Policy terms and conditions. The Owner selects from two Death Benefit choices, Option A or Option B, made during the life of the Relevant Life Assured. Regardless of the option chosen, if no changes are made to the Policy, the Death Benefit will not be less than the Specified Amount as shown in the Declaration Page of the Policy, less any Outstanding Policy Debt. The amount payable can be via a lump sum or paid out over time, using an annuity issued by Advantage Life.

Option A is the greater of:

(i) the Specified Amount or

(ii) the value of the Segregated Assets Plan on the prior quarterly valuation date multiplied by a percentage set by the Code and stated in the Policy.

Option B is the greater of

(i) the sum of the Specified Amount and the Segregated Assets Plan Value, or

(i) the value of the Segregated Assets Plan on the prior quarterly valuation date multiplied by a percentage set by the Code and stated in the Policy.

3.5 Prospective Owners.

Advantage Life expects that prospective Owners to obtain professional advice as to the purchase of a Policy from a qualified financial and/or tax advisor. To be eligible to purchase the Policy, each prospective Owner must be both a Qualified Purchaser under Section 2(a)(51) of the 40 Act and an Accredited Investor within the meaning of Rule 501(a) of Regulation D of the 33 Act.

The AML and other laws and regulations of the U.S. and Puerto Rico require financial service providers to undertake substantial due diligence on potential clients. Thus, Advantage Life requires prospective Owners to provide due diligence information as specified in the Application. As part of this due diligence exercise, Advantage Life inquires about the source of the Premiums paid for the Policy among other information obtained from the prospective purchaser or third-party sources.

Neither the Policy nor the Segregated Assets Plan is registered under the securities laws of any jurisdiction. Consequently, each Policy is offered for sale on a private placement basis only to those persons who, with their advisors, have sufficient business or financial experience to evaluate the benefits and risks associated with the investment of significant Premiums.

3.6 Owner.

The Owner(s) is the natural or non-natural person(s) so named in the Declaration Page of the Policy, or as subsequently changed, and all rights, title, interest and obligations under the Policy vest in such Owner(s).

3.7 Beneficiaries.

The Owner may designate one or more Beneficiaries to receive any amounts payable as provided in the Policy.

3.8 Investment Advisers.

The Owner must nominate and Advantage Life may approve the appointment of one or more Investment Advisers who are qualified to select and manage Investments made by the Policy's Segregated Assets Plan. Alternatively, the Owner may allocate Investments into one or more IDFs approved by Advantage Life. Advantage Life reserves the right in our sole discretion at any time to discontinue its approval of Investment Advisers, Custodians and forms of Investment.

3.9 Investment Management.

In general, Investment Advisers will enter into individual investment management agreements for each Policy account under their control. The investment management agreements will include provisions requiring the Investment Adviser(s) to ensure that Investments held within the Segregated Assets Plans under their control meet the diversification requirements of Section 817(h) of the Code. Investment Advisers must also maintain independence and not allow any instances of Investor Control by Policy Owners or Beneficiaries over the selection or management of the securities held within their Policy's Segregated Assets Plan. The prohibition on Investor Control means the Policy Owners or Beneficiary is not permitted to select, identify or recommend any particular Investment held within the Segregated Assets Plan, nor will the Policy Owners or Beneficiary be permitted to contact Advantage Life, any Investment Adviser or any Fund Manager for purpose of directing the purchase or sale of any particular Investment or group of Investments.

Advantage Life monitors Policies for compliance with diversification requirements and Investor Control prohibitions. Advantage Life will take action to comply with all applicable law and regulation if it discovers any instances of prohibited Investor Control within the Investments held by a Policy.

Advantage Life provides no assurance that the investment objectives of a Segregated Assets Plan will be met. Advantage Life does not make recommendations to the Owner as to the selection or retention of Investment Advisers or the allocation of assets among IDFs, nor does Advantage Life evaluate the investment performance of any Investment Adviser, IDF or Fund Manager.

3.10 Custodian of Segregated Assets Plan Investments.

Each Segregated Assets Plan is a separate account established by Advantage Life pursuant to the laws of Puerto Rico, which uses one or more Custodians nominated by the Owner and appointed by Advantage Life to hold the Policy assets, which are owned by Advantage Life. Advantage Life may establish Policy accounts with its affiliate, Advantage International Bank Corp., or any other qualified Custodian, without the consent of the Owner. Advantage Life will debit custody accounts for amounts owed by the Policy to Advantage Life or other service providers.

3.11 Tax Considerations of Owner.

Prospective Owners should read carefully the section of this Informational Memorandum entitled "U.S. Tax Considerations" appearing on page 17. All prospective Owners are urged to consult qualified tax advisors regarding the tax consequences of the acquisition and ownership of the Policy in their particular circumstances. Existing U.S. federal tax laws that can affect the Policy may change at any time.

In general, a prospective Owner's tax advisor should address issues including whether:

(i) The Policy qualifies as a "life insurance contract" under Section 7702(a) of the Code and local law;

(ii) There is deferral of U.S. taxation on the income or gains within the Segregated Assets Plan prior to any distribution;

(iii) The Death Benefit is excludable from the income of the Policy's Beneficiary(ies) for tax purposes;

(iv) U.S. federal excise tax is payable for purchasing the Policy;

(v) Any U.S. state self-procurement tax is payable for purchasing the Policy;

(vi) U.S. federal income taxation applies when accessing values in the Policy via Withdrawals, Surrender or Policy Loans;

(vii) Investments comply with the diversification requirements under Section 817(h) of the Code and the associated regulations;

(viii) Investor Control prohibition is not breached;

(ix) Advantage Life is recognized as the owner of the assets held within the Segregated Assets Plan;

(x) Additional Premiums may be paid into the Policy without violating section 7702 or 7702(a) of the Code;

(xi) Interest credited on any Policy Loan is taxable or amounts paid for the Cost of Insurance are deductible;

(xii) The Policy is or is not a MEC, which generally enjoys less favorable U.S. tax treatment than a Policy that is not a MEC;

(xiii) Reporting of the Policy to the IRS or the Department of Treasury is or is not required; and

(xiv) Tax withholding is or is not required with respect to payments of U.S. source income on Investments held within the Segregated Assets Plan.

4.0 THE POLICY

Prospective Owners should carefully read the Policy (See Addendum A), including the Declaration Page and should not rely only on the Overview of the Policy reflected in this Informational Memorandum.

4.1 The Segregated Assets Plan.

All Premiums received by Advantage Life, less the Policy charges payable to Advantage Life, are credited to a Segregated Assets Plan (frequently referred to as a separate account or protected cell) established for the Policy by Advantage Life and held in a specific, non-commingled bank or securities account. Each Segregated Assets Plan is set up pursuant to the Governing Law and its assets and liabilities are separate from those of all other segregated assets plans of Advantage Life and from Advantage Life's General Account. Reinsurance purchased on a Policy by Advantage Life is an asset of Advantage Life; however, reinsurance recoveries for a specific Policy will be credited to its Segregated Assets Plan.

Advantage Life is the legal owner of all assets held within the Segregated Assets Plan. The Owner does not own or have any rights to any particular Investment therein nor does the Owner have the right to direct particular Investments therein.

Premiums paid with respect to a Policy will be credited to the Segregated Assets Plan after payment to Advantage Life of applicable fees and charges then due. Thereafter, Advantage Life will deduct all fees and charges then due under the Policy from the cash or Investments held within the Segregated Assets Plan.

Except for payment of the Net Amount at Risk ("NAR"), Advantage Life has no obligation whatsoever to use any of its property or assets to satisfy any Withdrawal, Surrender or Death Benefit paid under the Policy, nor are Investments held within the Segregated Assets Plan exposed to liabilities of Advantage Life or other segregated assets plans of other policies.

4.2 U.S. Tax Considerations of Owners.

The Owner's professional advisor should determine, for U.S. federal income tax purposes, whether:

(i) the Policy is structured and managed as a "life insurance contract" and meets the requirements of Code Section 7702(a);

(ii) the Policy is or is not a MEC;

(iii) the assets held within the Segregated Assets Plan and managed by the Investment Adviser or IDF are being invested so as to meet the diversification requirements of Code Section 817(h);

(iv) the Investments by the Investment Adviser or Fund Manager are being managed so as to not violate Investor Control prohibitions; and

(v) the Policy is providing the intended tax deferral or exclusion from income.

Details on tax considerations appear below.

4.3 Modification of a Policy

Advantage Life reserves the right to modify the Policy at any time and from time to time as Advantage Life determines in its discretion to be necessary for the Policy to qualify under U.S. federal tax law as a life insurance contract.

4.4 Premium Payments.

Premiums are paid to initiate coverage and to keep the Policy in force. The Policy provides flexibility as to both the timing and amount of Premium payments, subject to certain limitations arising from compliance with U.S. federal tax law.

In general, for the Policy to qualify as a "life insurance contract" under U.S. federal income tax law, the Policy must at all times satisfy the "guideline premium test/cash value corridor test," as specified in Section 7702 of the Code. The Policy must have a minimum Death Benefit that is designed to satisfy the U.S. tax law requirements by periodically adjusting the Death Benefit, based on the Policy values, to the extent necessary to preserve qualification of the Policy as a life insurance contract.

Advantage Life reserves the right to refuse Premiums and return paid Premiums without interest, if such Premiums would disqualify the Policy from treatment as a life insurance contract under the Code, or from favorable tax treatment under the Code. Advantage Life reserves the right to reject any Premium in its absolute discretion, including where the possible effect would be to raise issues about the status of the Policy or the Segregated Assets Plan under securities, tax or other laws or if such Premium payment would increase the Net Amount at Risk in excess of the Maximum Net Amount at Risk as stated in the Declaration Page of the Policy. In addition, Advantage Life requires ongoing client due diligence information regarding the Policy Owner and the Assured in order to comply with all AML requirements of the BSA and related laws. Advantage Life is prohibited by law from receiving from or making payment to any individual that has not provided up-to-date verification of identity, residence and other information required to fully comply with the BSA and attendant requirements.

4.5 Policy Charges.

Fees and charges imposed on the Policy by Advantage Life are detailed in the Policy and include the following:

(i) Establishment Fee**s**: The amount(s) deducted from the Initial Premium on the Issue Date and, if applicable, on each Additional Premium when paid into the Policy. The applicable percentage amount is shown in the Declaration Page of the Policy. Establishment Fees, when due and payable, are withdrawn from Premiums received by Advantage Life.

(ii) Administration Expense**:** The annual amount charged for Policy administration, which is calculated based on applicable percentage applied to the Segregated Assets Plan Value and Periodic Deduction Period shown in the Declaration Page of the Policy. Administration Expense, when due and payable, is withdrawn from the Segregated Assets Plan by Advantage Life.

(iii) Cost of Insurance**:** The annual mortality risk charge collected for that portion of the Death Benefit under the Policy represented by the Net Amount at Risk, as determined by the applicable table of charges included in the Policy. Cost of Insurance, when due and payable, is withdrawn from the Segregated Assets Plan by Advantage Life.

(iv) **Taxes:** Taxes imposed on Advantage Life directly attributable to the Policy and not to Advantage Life as a whole. Taxes, when due and payable, are withdrawn from the Segregated Assets Plan by Advantage Life.

(v) Surrender Charge**s:** The amounts due and payable to Advantage Life upon Surrender of the Policy. The applicable percentage is shown in the Declaration Page of the Policy. Surrender Charges, when due and payable, are withdrawn from the Segregated Assets Plan by Advantage Life.

(vi) Withdrawal Charge**s:** The amounts due and payable to Advantage Life upon a Withdrawal from the Policy. The applicable percentage is shown in the Declaration Page of the Policy. Withdrawal Charges, when due and payable, are withdrawn from the Segregated Assets Plan by Advantage Life.

(vii) **Non-Routine Expenses:** The amounts due and payable to Advantage Life for any extraordinary expense borne by Advantage Life in connection with the administration of the Policy including legal, accounting, actuarial, tax, investment and other expenses specific to the Policy. Non-Routine Expenses, when due and payable, are withdrawn from the Segregated Assets Plan by Advantage Life.

Other expenses borne directly by the Segregated Assets Plan and charged to financial accounts owned by Advantage Life on behalf of the Segregated Assets Plan may include investment advisory fees, custodian fees, securities transfer taxes, document charges and other fees and expenses customary for the management and safekeeping of financial assets. In general, Advantage Life expects the Investment Adviser, Custodian and/or Fund Manager to apply these charges directly to, and withdraw the payments due from, the accounts under their control and not to invoice Advantage Life for separate payment. Owners are strictly prohibited from making any payment with respect to Policy activity directly to any third-party service provider without the express written permission of Advantage Life.

4.6 Maximum Net Amount at Risk.

When a Policy is issued, Advantage Life determines the Maximum Net Amount at Risk based upon information provided by the Owner and the Assured(s) and states it in the Declaration Page of the Policy. The Net Amount at Risk is equal to the chosen Death Benefit (Option A or Option B) minus the Segregated Assets Plan Value.

For Death Benefit Option A, Advantage Life's NAR is the greater of:

- any portion of the Specified Amount greater than the current Segregated Assets Plan Value; or
- any amount of an IRS-established multiple of the Segregated Assets Plan Value that is greater than the current Segregated Assets Plan Value.

This is because Death Benefit Option A is the greater of:

- the Specified Amount, and
- the IRS-established multiple of the Segregated Assets Plan Value.

For Death Benefit Option B, Advantage Life's NAR is likely to be the Specified Amount itself (since the Death Benefit is the sum of that Specified Amount and the current Segregated Assets Plan Value).

This is because Death Benefit Option B is the greater of:

- the sum of:
  - the Specified Amount and
  - the Segregated Assets Plan Value, and
- the IRS-established multiple of the Segregated Assets Plan Value.

4.7 Policy Loans.

After the first Policy anniversary, except as otherwise provided in the Policy, and only with the consent of any Irrevocable Beneficiary(ies), the Owner may borrow cash from the Segregated Assets Plan against the Surrender Value of the Policy (a "Policy Loan"). Policy Owners may request Policy Loans through Advantage Life. All Policy Loans are made pursuant to a Policy Loan Agreement. New Policy Loans will not be made to the extent such Policy Loan would, when added to the amount of any outstanding Policy Loans, exceed ninety percent (90%) of the then current Surrender Value.

Policy Loans will be held as assets within the Segregated Assets Plan, which will collect in advance the Policy Loan Interest Rate charged for the Policy Loan as stated in the Policy Loan Agreement. The Policy Loan will also be credited with the Loan Collateral Account Crediting Rate stated in the Policy Loan Agreement, which reduces the net cost to the borrower for the Policy Loan. However, the Loan Collateral Account Crediting Rate may be less than the rate of return on other invested assets, which can affect the investment performance of the Segregated Assets Plan.

Advantage Life does not apply an additional asset-based charge for Policy Loans held as assets within Segregated Assets Plans. However, Advantage Life reserves the right to apply reasonable additional per-transaction charges to Policies to reimburse its processing costs, including required BSA/AML compliance procedures.

Unless otherwise agreed in writing, any payments made by the Owner to Advantage Life while a Policy Loan is outstanding will be applied in this order: first as repayment of any accrued but unpaid Policy Loan Interest; second, as a repayment of Policy Loan principal; and third, as a payment of Additional Premium.

4.8 Governing Law, Insurer Redomestication and Merger.

Advantage Life is subject to the laws and the exclusive jurisdiction of the Commonwealth of Puerto Rico (the "Governing Law"). The Policy issued by Advantage Life is intended to qualify as a "life insurance contract" under U.S. law and the Governing Law. Advantage Life may change its domicile country, and thereby the Governing Law at any time in its discretion, without obtaining the consent of the Owner, so long as the laws of the new domicile provide for a Segregated Assets Plan or the functional equivalent. Similarly, Advantage Life may merge, consolidate or otherwise combine with another insurer, so long as the surviving entity provides for a Segregated Assets Plan or the functional equivalent.

5.0 PROSPECTIVE POLICY OWNERS

A prospective Owner must meet the requirements described below under the section entitled "Eligibility of the Owner." A prospective Assured must meet the requirements described below under the section entitled "Eligibility of the Assured." Upon receipt of a duly completed Application, Advantage Life will determine in its discretion whether to issue a Policy to a prospective Owner.

5.1 Issuance Procedures.

Issuance of a Policy involves the following steps:

(i) Application: The prospective Owner(s) and Assured(s) must complete and deliver an Application to Advantage Life's Home Office. The information contained therein will allow Advantage Life to conduct underwriting and otherwise verify eligibility to acquire a Policy. A prospective Owner's choices include designating the Beneficiary(ies) of the Policy.

In compliance with the rules imposed under the Health Insurance Portability and Accountability Act of 1996, as amended ("HIPAA"), each prospective Owner and Assured must authorize attending physicians, insurance companies, reporting agencies, hospitals, clinics and other medical providers and facilities to release to Advantage Life and any affiliates, reinsurer(s), underwriting agents, underwriting delegates, third party administrators, physicians, legal representatives and any other person designated by us for such purpose, any information they may have as to diagnosis, treatment and prognosis of any physical or mental condition including drug and/or alcohol abuse and/or any other information (including financial statements) relating to each prospective Owner and Assured.

(ii) Due Diligence Requirements: Under U.S. and Puerto Rico AML and counter-terrorist financing laws and regulations, Advantage Life, must undertake due diligence on prospective customers, counterparties and vendors. As a part of these requirements, all prospective Owners must complete the Due Diligence Requirements sections within the Application and provide the supporting documentation specified therein. Advantage Life will verify the information provided

using third-party sources and other methods to ensure that no Policy is issued or other transaction is completed that would violate any applicable BSA/AML and OFAC law, rule or regulation.

(iii) Offer to Issue: Upon completion of underwriting and due diligence, including securing facultative reinsurance coverage commitment(s), Advantage Life will offer or decline to offer a Policy to the prospective Owner. If an offer to issue is made, an offer letter or equivalent will be sent to the prospective Owner or the Owner's advisor outlining the offer terms.

(iv) Payment of Consideration: If the prospective purchaser accepts Advantage Life's offer to issue a Policy, the Initial Premium must be paid and received within the time period indicated in the offer letter. Payment of the Initial Premium must be made in free and clear funds as a condition precedent to the Policy becoming effective. If Advantage Life agrees to accept an Initial Premium In-Kind, it is considered received upon the receipt of an acceptable valuation of, and evidence of clear title to, the assets taken In-Kind. All Policies will be issued and delivered by Advantage Life from, and all Premiums must be paid at, Advantage Life's Home Office unless otherwise agreed between Advantage Life and the purchaser.

5.2 Eligibility of the Owner.

Purchase of the Policy is suitable only for persons of substantial financial means and investment sophistication. Prospective Owners must represent in writing that they have sufficient financial understanding and experience in the area of variable insurance, either alone or together with their professional financial, tax and/or legal advisors, to evaluate the merits and risks of purchasing the Policy. Advantage Life reserves the right to reject any prospective Owner's Application.

A Policy will be sold only to a prospective Owner who qualifies under the U.S. federal securities laws as both a "Qualified Purchaser" under Section 2(a)(51) of the 40 Act and an "Accredited Investor" within the meaning of Rule 501(a) of Regulation D promulgated under the 33 Act. A prospective Owner will be required to represent and warrant that they meet these requirements.

The determination of whether a prospective Owner is a "Qualified Purchaser" and "Accredited Investor" is based upon a number of legal issues as applied to specific factual scenarios. A prospective Owner should discuss these issues with their legal advisor to determine their particular classification under these provisions.

U.S. federal securities laws may impose additional restrictions and requirements on the eligibility to acquire a Policy. Advantage Life reserves the right, in its discretion, to reject the Application of any person for any reason, including if Advantage Life believes that ownership of a Policy by such person would not be suitable.

These standards are minimum eligibility requirements. The satisfaction of such standards by a prospective Owner does not necessarily mean that the Policy is a suitable purchase for such prospective Owner.

5.3 Eligibility of the Assured.

Each Policy must have at least one individual person whose life is assured by the Policy. To become an Assured under the Policy, a person must:

(i) be named as the Assured in the Application;

(ii) submit all evidence of insurability required by and satisfactory to Advantage Life; and

(iii) provide Advantage Life with irrevocable consent to be named as the Assured

A person or entity can purchase a Policy on the life of another person if the Owner has an insurable interest in the life of that Assured and the Assured consents. Whether an insurable interest exists will be determined in each case by Advantage Life and its reinsurers, subject to applicable laws. Generally, a person has an insurable interest in another's life if he or she can reasonably expect to benefit from that person's continued life and, conversely, if he or she would suffer financial loss on the person's death.

Advantage Life purchases reinsurance to transfer most of the mortality risk it assumes through the issuance of life insurance contracts. In general, Advantage Life will obtain reinsurance from one or more sources prior to Policy issuance. Advantage Life shares underwriting information with reinsurers in the normal course of business. Advantage Life may base its underwriting decision for a particular proposed Assured based on its discussions of the life expectancy of the Assured with a reinsurer. Advantage Life may decline to offer a Policy based on its discussions with reinsurers.

5.4 The Owner and Beneficiary(ies).

The Owner is the owner of the Policy and remains so unless and until Advantage Life approves a transfer of ownership. The Owner holds all rights and responsibilities of ownership pertaining to the Policy, including but not limited to, choosing the Beneficiary(ies), changing the Beneficiary(ies), assigning the Policy, determining Premium payments and taking Policy Loans. Until the death of the Relevant Life Assured, the interests of the Beneficiary(ies) in the Policy is(are) contingent. An Irrevocable Beneficiary may not be changed without his or her consent. A change of Beneficiary(ies) will not be effective until confirmed by Advantage Life.

6.0 POLICY INVESTMENTS

6.1 Policy Investments.

The Policy's Investments are held within a Segregated Assets Plan and are the property of the Policy. Neither the applicant nor the Owner has ownership or voting rights with respect to, or may otherwise exercise control over, Investments held within the Segregated Assets Plan. The applicant and the Owner agree not to in any way attempt to influence or control the Investments selected for the Segregated Assets Plan by the Investment Adviser or by a Fund Manager of an IDF.

6.2 Restrictions on Communications Regarding Investments.

The Owner acknowledges that the Investment Adviser and/or the Fund Manager of any IDF must exercise its own discretion in selecting Investments held within the Segregated Assets Plan, and that any exercise of control over Policy Investments by the Owner or Beneficiary may cause the Policy to become taxable in the U.S. and void the contract of insurance. The Owner further acknowledges that Advantage Life has not nor will it make any investment recommendations or otherwise act to manage the Investments held by the Policy.

The Owner further acknowledges that, except for establishing guidelines for the allocation of Investments held within the Segregated Assets Plan, the Owner will not select, identify or recommend, nor will it contact its Investment Adviser, Advantage Life or the Fund Manager of an IDF for the purpose of influencing, any particular Investments to be made directly or indirectly for the Segregated Assets Plan. The Owner may, however, review the investment guidelines and asset allocation plan(s) for a Policy's Segregated Assets Plan with Advantage Life and the appointed Investment Adviser. The Owner may request changes to investment guidelines, asset allocation plans or selection of third-party Investment Advisers, which Advantage Life may or may not enact, in its sole discretion.

In general, the Policy's Investment Adviser will be required to comply with the following Investment terms and conditions:

(i) Investment of assets will be sufficiently diversified consistent with the requirements applicable to variable contracts under U.S. Treasury Regulation Section 1.817-5. Assets of any investment fund relying on a "look through" basis for purposes of meeting such diversification requirements should independently meet such diversification requirements.

(ii) Advantage Life will not accept specific investment recommendations, nor make any investment decisions, regarding direct or indirect investments (other than approved IDFs) for the Segregated Assets Plan that are based, in whole or in part, on requests made by any Owner or Beneficiary or their representative.

(iii) No Owner or Beneficiary, nor their respective employees, consultants or representatives will have the right, or be permitted, to select for purchase or sale any particular investment to be held directly or indirectly within the Segregated Assets Plan.

(iv) The Investment Adviser will not invest the Segregated Assets Plan assets directly or indirectly on a basis that is substantially similar in material respects, in terms of the specific Investments and in terms of the percentage of the Investments or account that each of those securities represents, to any other Investments managed by the Investment Adviser or its affiliates that is available to the public within the context of U.S. Treasury Regulation Section 1.817-5.

7.0 THE INSURER

7.1 Insurance Regulation in Puerto Rico.

Puerto Rico is an unincorporated territory of the U.S. that is ultimately controlled by the U.S. government.

Chapter 61 of the Puerto Rico Insurance Code established the International Insurance Center in Puerto Rico, enabling insurers to cover risks in and out of Puerto Rico under a secure and flexible regulatory scheme comparable to other established insurance domiciles. Companies operating within the Puerto Rico International Insurance Center are regulated by the Office of the Commissioner of Insurance.

For a company to carry on an insurance business within the International Insurance Center, it must be licensed by the Commissioner of Insurance. The licensing process requires that the company file a complete business plan with the Commissioner and the licensee is limited to conducting the business described in that plan. All changes in the plan must be approved by the Office of the Commissioner of Insurance. License applications must include lists of all shareholders, directors and officers of the applicant. The Office of the Commissioner of Insurance must be notified of any subsequent changes therein. Licensees are required to maintain minimum levels of capital and surplus; to operate in a safe and sound manner; to comply with all applicable U.S. and Puerto Rico laws and regulations; and to file periodic financial reports including audited annual financial statements with the Office of the Commissioner.

7.2 Advantage Life.

Advantage Life is incorporated and registered as an International Insurer Segregated Assets Plan Company under the laws of Puerto Rico and holds a Class 5 Authority pursuant to the provisions of Chapter 61 of the Insurance Code of Puerto Rico. Advantage Life is authorized to conduct insurance business in Puerto Rico with persons resident outside of Puerto Rico.

Advantage Life's offices are located at: American International Plaza, Suite 710, 250 Muñoz Rivera Avenue, San Juan, Puerto Rico 00918. The telephone number is +1 (787) 705-2900 and the facsimile number is +1 (787) 756-5830.

Advantage Life has appointed Advantage Insurance Services LLC as its insurance manager. Advantage Insurance Services LLC's offices are located at: American International Plaza, Suite 710, 250 Muñoz Rivera Avenue, San Juan, Puerto Rico 00918. Employees of the insurance manager operate Advantage Life.

As of the date of this Memorandum there are no legal proceedings pending to which Advantage Life is a party or any legal proceedings threatened against Advantage Life.

Advantage Life is not licensed to transact business in the United States.

Advantage Life has made an irrevocable election under Section 953(d) of the Code to be taxed as a U.S. corporation for U.S. federal tax purposes. Advantage Life complies with all applicable U.S. tax requirements within the Code.

7.3 Banking Services.

Advantage Life engages third-party banks and an affiliated bank, Advantage International Bank Corp., to provide general banking services to the company and to act as Custodian of the Segregated Assets Plans. In general, applicable bank fees and charges are paid directly from accounts held by a Segregated Assets Plan.

7.4 Safe Custodial Arrangements.

All assets held within a Segregated Assets Plan are kept separate from the general assets of Advantage Life and the assets of all other segregated asset plans. Advantage Life may appoint one or more professional custodians, including Advantage International Bank Corp., to provide custodial services to a Segregated Assets Plan. Custodian fees and charges are generally paid directly by the Segregated Assets Plan by withdrawal from the relevant account.

7.5 Legal Counsel.

Vidal, Nieves & Bauzá LLC serves as legal counsel to Advantage Life in respect of Puerto Rico law.

7.6 Auditors.

Advantage Life's appointed auditor is Ernst & Young LLP. Auditors of Puerto Rico licensed insurers must be approved by the Office of the Commissioner of Insurance.

7.7 Management Services.

Advantage Life is managed by Advantage Insurance Services LLC ("AIS"), a Puerto Rico company under common control with Advantage Life. AIS provides underwriting, Policy issuance, accounting, claim handling and administration services to Advantage Life. AIS manages other insurance companies under common control with and independent of Advantage Life.

8.0 NOTICES, FINANCIAL REPORTS & VALUATIONS

8.1 Notices, Requests and Elections.

To be effective, all notices, requests and elections by the Owner or any other person under the Policy must be in writing, signed by such person and recorded by Advantage Life at its Home Office at which time they will become effective as of the date of the request. Notices, requests and elections may be sent by facsimile communication or email transmission to Advantage Life's Home Office and Advantage Life shall be entitled to rely on such communications as being genuine. Any notice or report required to be given by Advantage Life to the Owner or any other person will be deemed given when delivered to such person or such person's authorized representative at a location within Puerto Rico or when made available to such person from a location within Puerto Rico by means of password protected internet access.

8.2 Reports to Owners.

Within forty-five days after each Quarterly Valuation Date, a Policy Statement will be made available to the Owner showing:

(i) Premiums received by Advantage Life since the last Policy Statement;

(ii) Periodic Deductions, Costs Attributable to the Policy and other costs since the last Policy Statement;

(iii) Interest charged and credited with respect to Policy Loans;

(iv) The estimated Surrender Value; and

(v) Other pertinent information deemed relevant by Advantage Life or as required by law.

Owners may request that Advantage Life make duplicate Policy Statements available to their designated representatives and advisors.

8.3 Valuations.

Valuations are generally based on the fair market value of the assets of a Segregated Assets Plan. Securities listed on a national securities exchange are generally valued at the last reported sale price. Securities traded in the over-the-counter markets or listed securities for which no trade is reported on the relevant date generally are valued at the last reported "bid" price on that date. Other methods of valuation may be used if Advantage Life believes the resulting valuation better reflects the fair market value of the asset. Specific methods of valuation, which may differ from those noted above, may also be set forth in the offering documents or term sheets of particular Investments.

Prospective Owners should be aware that uncertainties as to the valuation of assets in a Segregated Assets Plan could adversely affect the valuation and taxation of a Policy. Absent bad faith or manifest error, Advantage Life's determinations or acceptance of value are conclusive and binding on all Owners and Beneficiaries. Values are expressed in U.S. currency and any assets or liabilities denominated in other currencies are converted at prevailing exchange rates as determined by Advantage Life.

Advantage Life may rely on the valuation of Investments reported by third-party valuation agents, the Investment Adviser, Custodian or Fund Manager. Advantage Life may at its discretion, but is under no obligation to, audit, monitor or otherwise review such valuations, and make any adjustments that it deems to be appropriate. The value of the Segregated Assets Plan will increase or decrease depending upon the performance of the Investments.

9.0 RISK FACTORS

Some of the risks that should be evaluated by prospective Owners, their financial advisor and/or tax counsel include:

9.1 Credit Risk.

This includes the creditworthiness of:

(i) Advantage Life;

(ii) The Policy Custodian(s); and

(iii) Advantage Life's reinsurers.

Reinsurance of the Policy is an asset of Advantage Life; however, reinsurance recoveries are credited to the Segregated Assets Plan.

9.2 Investment Risk.

Investments involve market risk from the type of investment, individual investees, market segments, governments and economic conditions. Investment Advisers and Fund Managers should determine the suitability of Investments in light of the investment guidelines and allocation plan for the Policy's Segregated Assets Plan.

There may be certain restrictions on the transfer, entrance and exit with respect to certain Investments that significantly affect the ability to liquidate or transfer such Investments. Certain Investments may have lock-ups or gates affecting the entry or exit therefrom. The Investment Adviser should carefully review the rights and limitations of particular Investments held within the Segregated Assets Plan and the Owner should do the same for any IDFs selected by the Owner.

9.3 Investment Management Risk.

The quality of the management, the asset selection and the investment techniques of Investment Advisers nominated by the Owner and of Fund Managers of chosen IDFs present investment management risk. Advantage Life does not make recommendations as to the selection of Investment Advisers or IDFs, the allocation of assets among Investments, or Investments in particular securities or categories of securities, nor will Advantage Life evaluate the investment performance of any Investment Adviser, IDF, Fund Manager or the Investments themselves.

9.4 U.S. Federal Tax Risk.

As described more fully in Section 10.0 below, the Policy has been structured to qualify as a life insurance contract for income tax purposes under current U.S. federal tax laws and current interpretations of U.S. Department of the Treasury regulations. Both the Policy and the Segregated Assets Plan will be administered in a manner intended to comply with the Code; however, official guidance from the IRS regarding the application of Code provisions dealing with the qualification of custom designed insurance policies as a "life insurance contract" for U.S. federal income tax purposes is limited, and the guidance does not address all features of the Policy. In the absence of definitive guidance, there is some uncertainty as to whether the Policy would be deemed by the IRS or the courts to qualify as a life insurance contract. Because of this uncertainty, no representation is made by Advantage Life as to the U.S. federal income tax treatment of a purchase of the Policy or its future operation. Furthermore, no representation can be made by Advantage Life regarding the likelihood that current U.S. federal income tax laws, regulations or interpretations thereof will not be changed in the future, or whether any such changes would adversely affect the Policy. Prospective purchasers of a Policy should obtain professional tax advice as to the risks of future taxation of the Policy.

9.5 State Tax Risk.

Certain states in the U.S. impose taxes on premiums paid by their residents to acquire life insurance from an insurance company that does not do business in that state, even if the residents acquire such life insurance outside of that state. The payment of any such state surplus-lines or self-procurement premium tax is the responsibility of the Owner and not Advantage Life.

Due to the inherent complexity and uncertainties relating to the tax laws of any specific jurisdiction, Advantage Life makes no representations or warranties regarding the U.S. federal income tax treatment of the purchase of a Policy or the taxation relating to the Policy in any other jurisdiction. Moreover, no representation can be made by Advantage Life regarding the likelihood that current U.S. federal income tax laws, regulations or official interpretations thereof will continue or will not be changed in the future (possibly with retroactive effect) or whether such changes would affect the Policy.

Prospective Owners should obtain professional tax advice regarding the U.S. federal, state and local tax as well as non-U.S. tax consequences of acquisition and ownership of a Policy in their particular circumstances. Advantage Life reserves the right, but does not have the obligation, to make changes to the Policy that it deems to be necessary or appropriate to maintain favorable U.S. income tax treatment of the Policy.

9.6 Insurance Regulatory Risk.

Advantage Life is not regulated by any insurance regulatory authority in the U.S. and is licensed to transact the business of insurance only in and from the Commonwealth of Puerto Rico. The insurance laws of various jurisdictions around the world purport to regulate the offer, sale, issuance and delivery of insurance and annuity products by insurance companies that are not licensed or otherwise authorized to transact the business of insurance in such jurisdictions and which are operating outside such jurisdictions. Advantage Life conducts its activities from Puerto Rico and subject solely to the laws of the Commonwealth of Puerto Rico. Advantage Life further intends to conduct its future activities with respect to Owners and Beneficiaries who are resident in other jurisdictions in a manner that does not implicate their laws or violate their laws relating to the regulation of insurance companies conducting business from outside their jurisdictions. Nevertheless, it is possible that one or more insurance regulatory bodies may assert that Advantage Life or its insurance products are subject to regulation in its jurisdiction or that Advantage Life has violated their insurance laws by transacting the business of insurance without having become properly qualified.

9.7 Risks of Variable Policies.

The investment of Premiums and investment income in the Segregated Assets Plan will be subject to various risks including the possibility of complete loss of the Investment. The Segregated Asset Plan Value, a portion of the Death Benefit greater than the Specified Amount or the duration of the Policy will increase or decrease depending upon the Investments held within the Segregated Asset Plan, events such as

Withdrawals or Policy Loans and the expenses chargeable under the Policy. The Policy does not provide any guaranteed minimum Segregated Asset Plan Value or Surrender Value.

9.8 Foreign Risk.

Assets invested in securities of foreign investees may be adversely affected by changes in foreign governments, by other economic and political events, by fluctuations in the value of foreign currency and by foreign taxes, which might not affect U.S. investments or entities.

9.9 Risks of Purchasing a Restricted Transfer Policy.

A Policy may not be transferred without Advantage Life's consent and each Policy contains a prohibition to that effect. Even if this consent were obtained, there is no known market for a Policy. Therefore, Owners must view their purchase of the Policy as a long-term commitment of capital unless they make Withdrawals from the Policy, Surrender the Policy or take Policy Loans, which events may result in adverse financial and tax consequences for the Owner as well as give rise to transaction charges.

Under current U.S. tax law, Section 1035 of the Code permits the exchange of one insurer's life policy for another insurer's life policy, which would involve the surrender of the existing life policy without realizing any gain, if the rules set forth in that Section are followed. This tax-free exchange provision extends to the exchange of a life insurance policy for another life insurance policy or an annuity contract. However, U.S. tax legislation authorizes the issuance of regulations and legal guidance that would deny tax-free treatment under Section 1035 to exchanges of insurance policies that have the effect of transferring property to a non-U.S. person. Advantage Life cannot predict whether, or when, such regulations will be issued or, if issued, whether such regulations would apply to an exchange of a Policy for a life insurance policy issued by another insurer.

9.10 Enforceability of Claims Against the Insurer.

The Policy is governed by the laws of the Commonwealth of Puerto Rico without regard to the conflicts of laws principles thereof. Any legal suit, action or proceeding arising out of or relating to the Policy is subject to the exclusive jurisdiction of the courts of Puerto Rico. By purchasing the Policy and accepting the benefits thereunder, the Owner(s) and Beneficiary(ies), as well as any other person claiming a benefit under the Policy, consent to the jurisdiction of the courts of the Commonwealth of Puerto Rico to resolve all claims or disputes relating to the Policy. Accordingly, such persons may be required to file any such claims in the courts of the Commonwealth of Puerto Rico to obtain relief.

Advantage Life may not have assets in any other jurisdictions available to satisfy any potential claims of the Owner(s) or Beneficiary(ies) or any other person claiming a benefit under the Policy. For execution or enforcement of any judgment or award against Advantage Life, it may be necessary for such persons to institute legal proceedings in the Commonwealth of Puerto Rico.

9.11 Claims Under Securities and Insurance Laws.

Although Advantage Life believes that it is not subject to foreign, federal, or state securities laws, it is possible that foreign securities or insurance regulators or other parties could claim that Advantage Life has violated such securities or insurance laws in connection with the offer and sale of a Policy. If such a claim were successfully asserted, the remedies and compliance could involve considerable expense and penalties to Advantage Life, which could result in adverse consequences to Advantage Life and perhaps to Owners.

9.12 Continuation Risk.

Advantage Life reserves the right to terminate the Policy and unwind its Segregated Assets Plan if continuation of the Policy becomes unlawful or its economic purpose becomes substantially frustrated by revisions to the Code, securities law or Governing Law or the then current interpretations thereof. Advantage Life may also terminate the Policy and unwind its Segregated Assets Plan if the Owner or Beneficiary has controlled the selection of any particular investment for the Segregated Assets Plan in contravention of the Investor Control prohibition.

9.13 Cost of Remediation.

Policy Owners are responsible for any costs of legal and/or tax remediation for the Policy, including those costs and expenses associated with any tax, penalties, fees or other expenses or liabilities for which the Owner may become responsible.

10.0 U.S. TAX CONSIDERATIONS

The following general summary of the principal U.S. federal income tax implications of the acquisition and ownership of a Policy by an Owner who is subject to U.S. taxation is intended for informational purposes only. Prospective U.S. purchasers should obtain professional tax advice regarding their particular circumstances. This summary does not address estate, inheritance or gift tax matters. Owners that are trusts and Owners who may be subject to the alternative minimum tax may be subject to special rules that are not described in this summary.

Advantage Life does not guarantee the tax results of any Owner or Beneficiary. No representation can be made that current law will continue as it is now or be interpreted in the same manner as it is now by relevant taxing authorities. Changes may occur that apply to the Policy, possibly with retroactive effect.

Advantage Life reserves the right, but has no duty, to make changes to the Policy that it deems necessary to preserve the expected U.S. federal income tax results of ownership of the Policy.

10.1 Taxation of Advantage Life.

Advantage Life has made a Code Section 953(d) tax election and elected to be treated as a U.S. person for U.S. tax purposes. Under existing U.S. tax law, Advantage Life does not expect to incur any federal income taxes on the income or gains within the Segregated Assets Plans. Based upon this expectation, Advantage Life does not impose a charge on the Segregated Assets Plans for U.S. federal income taxes. If tax laws change, and Advantage Life is required to pay tax on some or all of the income and gains earned by the Segregated Assets Plans, Advantage Life may impose a charge on the Owner for those taxes. Advantage Life currently pays local franchise and corporate income taxes in Puerto Rico but is not obligated to pay any premium tax to Puerto Rico.

10.2 Taxes on Assets Held by Segregated Assets Plans.

Any U.S. or Puerto Rico taxes that are imposed on Advantage Life's Investments held within the Segregated Assets Plans will be charged against the Segregated Assets Plan holding the Investment. Owners should consider and discuss with their tax advisor the possible effect of foreign taxes upon securities in which the Segregated Assets Plan may invest.

10.3 Qualification as Life Insurance.

Section 7702 of the Code provides the general rules for determining whether a contract constitutes a "life insurance contract" for U.S. federal income tax purposes. Under Section 7702 of the Code, in order to so qualify as life insurance, a Policy must:

(i) be treated as life insurance under applicable law; and

(ii) meet either:

(A) the "cash value accumulation test" or

(B) the "guideline premium test/cash value corridor test," as set forth in Sections 7702(c) and 7702(d) of the Code.

Advantage Life's Puerto Rico legal advisers have advised that the Policy qualifies as life insurance under the Commonwealth of Puerto Rico law, thus meeting the applicable law prong of the test under Section 7702 of the Code.

The "cash value accumulation test" and the "guideline premium/cash corridor test" require that the Death Benefit of a Policy maintain a certain actuarial relationship to the amount of Premiums contributed to the

Policy as well as the cash value of the Policy while it remains in force. Each of these two tests represents a separate and alternative means for a Policy to qualify as life insurance for U.S. federal income tax purposes.

The Death Benefit for each Policy as established at the time a Policy is issued must meet the cash value accumulation test or the "guideline premium test/cash corridor test." Therefore, we believe the Policy will be characterized as a "life insurance contract" under Section 7702(a) of the Code.

U.S. Treasury Department guidance regarding the application of U.S. tax provisions dealing with the qualification of variable life insurance policies as a "life insurance contract" for U.S. federal income tax purposes is limited and such limited guidance does not address all features of the Policy. In the absence of definitive guidance, there is necessarily some uncertainty regarding the U.S. tax treatment of the Policy. Advantage Life makes no representations and provides no warranties as to the U.S. federal income tax treatment of the purchase or ownership of the Policy..

10.4 Qualification as a Variable Contract.

Section 817(d) of the Code defines a "variable contract" to include a contract:

(i) which provides for the allocation of all or part of the amounts received under the contract to an account which, pursuant to State law or regulation, is segregated from the general asset accounts of the insurance company;

(ii) which is a "life insurance contract;" and

(iii) under which the amount of the Death Benefit (or the period of coverage) is adjusted on the basis of the investment return and the market value of the segregated asset account.

Advantage Life administers the Segregated Assets Plan as if the Policy constitutes a "variable contract" as defined by Section 817(d) of the Code, which imposes certain further requirements in addition to the general provisions that apply to life insurance contracts. In particular, Advantage Life monitors Investments made by the Investment Adviser for the Segregated Assets Plan for compliance with the diversification rules of Section 817(h) of the Code and the Investor Control prohibition, discussed in greater detail in Sections 10.5 and 10.7 below, respectively.

10.5 Modified Endowment Contract.

Under Section 7702A of the Code, a Policy will be considered a MEC if it:

(i) Is entered into after June 21, 1988, and

(ii) Fails the 7-pay test under subsection 7702A(b) of the Code.

A life insurance policy fails to meet the 7-pay test if the accumulated premiums paid at any time during the first seven policy years exceeds the sum of the net level premiums that would have been paid on or before such time if the policy provided for paid-up future benefits after the payment of seven level annual premiums, as determined on the basis set out within the above referenced subsection.

Generally, a MEC policy is characterized by a premium that is paid as a single payment and a policy that is not a MEC is characterized by a premium that is paid over a period of time.

The treatment of death benefit proceeds from a U.S. federal income taxation perspective under Section 101 of the Code as described in Section 10.8 below, will apply irrespective of whether a Policy is a MEC or not a MEC. The treatment of payments made from a Policy to the Owner as a Withdrawal, Surrender or Policy Loan may be treated differently for U.S. federal income tax purposes depending on whether the Policy is a MEC or not a MEC.

10.6 Asset Diversification Requirements.

Under Section 817(d) of the Code, each segregated asset account of a variable life insurance contract must be adequately diversified within certain parameters detailed under that Code section and U.S. Treasury Regulations Section 1.817-5. In general, these provisions provide that a segregated asset account will be considered adequately diversified if the account invests no more than:

(i) Fifty-five percent (55%) of the value of the total assets of the account in any one investment;

(ii) Seventy percent (70%) of the value of the total assets of the account in any two investments;

(iii) Eighty percent (80%) of the value of the total assets of the account in any three investments; and

(iv) Ninety percent (90%) of the value of the total assets of the account in any four investments.

The effect of these requirements is that each segregated asset account of a variable contract must include at least five investments within the above parameters to meet the minimum diversification requirements. In applying these percentages, all securities of the same issuer, all interests in the same real estate project, and all interests in the same commodity, are deemed to be a single investment. Each governmental agency or instrumentality is considered to be a separate issuer. These diversification percentages are generally applied at the end of each calendar quarter, subject to a thirty (30) day grace period for portfolio adjustments to bring the account into compliance.

Through the investment guidelines associated with its appointment, the Segregated Assets Plan, or for an IDF the Fund Manager, has responsibility for compliance with these diversification requirements. Advantage Life monitors Investment Advisers and IDF Fund Managers for compliance with these diversification requirements; however, Advantage Life does not guarantee such compliance and the risk of failure to comply with such provisions is borne by the Owner and Beneficiary.

10.7 Prohibition on Investor Control.

Advantage Life is the legal and beneficial owner of all assets held within a Policy's Segregated Assets Plan. Policy Owners, Assureds and Beneficiaries do not own and may not control Investments held in a Policy's Segregated Assets Plan. Any action taken by a Policy Owner, Assured or Beneficiary to select individual investments, exercise voting rights or other options, or extract cash or other value from Policy Investments(other than through Policy Loan, Withdrawals and/or Surrender) is strictly prohibited. Breach of this prohibition may result in the invalidation of the Policy as a "life insurance contract" under the Code and may subject the Policy to federal income tax, penalties and interest. Advantage Life may terminate a Policy and unwind its Segregated Assets Plan if it believes that there has been a material breach of the Investor Control prohibition.

Policy Owners may nominate qualified Investment Adviser(s) to be appointed by Advantage Life to manage the Investments. In general, Advantage Life will accept the nomination if the Investment Adviser is licensed in its jurisdiction, utilizes an established Custodian and represents that it has the knowledge, resources and capabilities required to manage the Investments including compliance with the prohibition on Investor Control.

Policy Owners may select individual IDFs approved by Advantage Life. Fund Managers of IDFs approved by Advantage Life must certify to Advantage Life that they do not and will not accept instructions from persons known to be affiliated with a Policy Owner, Assured or Beneficiary. Fund Managers may communicate historical performance, asset allocation, and other information about their IDFs to Policy Owners.

10.8 Death Benefits.

Advantage Life believes that the Death Benefit Proceeds received by the Beneficiary (or applied to repay Policy Loans) are exempt from U.S. federal income tax to the extent provided under Section 101 of the Code.

Various actions that an Owner may take with respect to a Policy, including but not limited to, changes in Death Benefits, the payment of Additional Premiums, Policy Loans, Withdrawals and a Surrender, or the

transfer of a Policy to another owner, may have U.S. federal income tax consequences depending upon the individual Owner's particular circumstances at the time such action is taken. In addition, special rules not discussed herein may apply to the ownership of a Policy or the receipt of Policy benefits by an Owner or Beneficiary that is a trust or corporation, or other form of Owner, depending upon their particular circumstances.

Owners are strongly urged to obtain professional tax advice with respect to the tax consequences of the acquisition, ownership and any proposed transfer or assignment of a Policy or any rights to a Policy.

10.9 Withdrawals, Surrenders and Policy Loans.

Withdrawals, Surrenders and Policy Loans may create tax liability to the Owner of a Policy, and the amount of such tax liability may vary depending upon the amount distributed, the Owner's tax basis in the Policy at the time of the distribution and whether the Policy is a MEC or not. Advantage Life will report all Policy distributions as required by the IRS in accordance with the instructions for the filing of Form 1099-R, which is addressed further in Section 10.12 below. Prospective purchasers of a Policy should obtain professional tax advice regarding the taxation of Withdrawals, Surrenders and Policy Loans.

10.10 Policy Loan Interest.

Interest paid on Policy Loans will generally not be deductible for U.S. federal income tax purposes; however, special rules permitting certain interest to be deducted may apply in very limited cases. Prospective Owners intending to fund Premium payments through borrowing are urged to consult their tax advisor.

10.11 U.S. State Premium Tax; U.S. Federal Excise Tax; Puerto Rico Premium Tax.

Certain states in the U.S. seek to impose state taxes on premiums paid by their residents to acquire life insurance policies even if their residents acquire the life insurance outside that state from an insurance company that does not do business in the state. The payment of any such state premium tax or self-procurement tax would be the responsibility of the Owner, not Advantage Life.

Purchases of Advantage Life Policies are not subject to the U.S. Federal Excise Tax under Code Section 4371.

Advantage Life is not obligated to pay Puerto Rico any premium tax on the Policy.

10.12 IRS Form 1099-R

Advantage Life will report all amounts returned to Policy Owners as required by the IRS in accordance with the instructions for the filing of Form 1099-R, *Distributions From Pensions, Annuities, Retirement or Profit-Sharing Plans, IRAs, Insurance Contracts, etc*. Prospective purchasers of a Policy should obtain professional tax advice regarding Form 1099-R and implications for the Owner.

10.13 Report of Foreign Bank and Financial Accounts ("FBAR")

Advantage Life believes that ownership of a Policy does not subject its Owner to the requirement to file FinCEN Form 114 (Report of Foreign Bank and Financial Accounts), commonly referred to as an "FBAR," with the Department of the Treasury. Prospective Policy Owners should obtain professional tax advice to confirm that there is no FBAR filing requirement with respect to their ownership of a Policy.

Prospective Policy Owners should consult with their tax advisor to verify that there is no FBAR filing requirement with respect to their Policy.

10.14 Foreign Account Tax Compliance Act ("FATCA").

The Foreign Account Tax Compliance Provisions of the Hiring Incentives to Restore Employment Act ("FATCA") requires "Foreign Financial Institutions" to report certain accounts held directly or indirectly by U.S. persons. Advantage Life believes that it is not a "Foreign Financial Institution" as defined within FATCA and thus is not subject to FATCA reporting requirements. The U.S. Treasury Department may change the regulations implementing FATCA in the future, including changes that would cause Advantage Life to be obliged to make reports to the U.S. Treasury Department under FATCA.

FATCA also requires the reporting of certain financial assets held outside of the U.S. to the IRS on Form 8938, *Statement of Specified Foreign Financial Assets*. Advantage Life does not believe that a Policy issued by Advantage Life is a foreign financial asset within the scope of reporting requirement under Form 8938. Prospective Policy Owners should obtain professional tax advice regarding FATCA and the Form 8938 filing requirement with respect to their Policy.

11.0 NON-U.S. TAX MATTERS – OTHER JURISDICTIONS

Prospective Owners who are subject to tax under the laws of jurisdictions other than Puerto Rico and the U.S. should obtain professional tax advice as to the tax treatment of an Advantage Life Policy under the laws of such other jurisdictions applicable to the acquisition, ownership or transfer of an Advantage Life Policy in their particular circumstances.

ADDENDUM A.
VARIABLE UNIVERSAL LIFE ASSURANCE POLICY

VARIABLE LIFE ASSURANCE POLICY

ISSUED BY: Advantage Life Puerto Rico A.I.

ISSUED TO: Click here to enter text.

POLICY NUMBER: ACLI _____ SAP

POLICY CURRENCY: United States Dollars ($)

INITIAL PREMIUM: $

ISSUE DATE:

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ADVANTAGE LIFE PUERTO RICO A.I. IS ORGANIZED UNDER CHAPTER 61 OF THE PUERTO RICO INSURANCE CODE. NO COVERAGE ISSUED BY THE COMPANY IS PROTECTED BY ANY GUARANTEE OR INSOLVENCY FUND IN PUERTO RICO.

Advantage Life Puerto Rico A.I.
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250 Muñoz Rivera Avenue
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Advantage Life Puerto Rico A.I.
American International Plaza, Suite 710
250 Muñoz Rivera Avenue
San Juan, Puerto Rico 00918
+1 (787) 705-2900
www.advantagelife.com

[Owner Name]
[Owner Address]
[Owner Address]

RE: Policy Number # ACLI _____ SAP

Advantage Life Puerto Rico A.I. ("Advantage Life", "We" or "us") is pleased to provide you with your Variable Life Assurance Policy ("Policy"). Please read the complete Policy document carefully and promptly notify us of any errors or omissions.

The Policy is offered, issued and delivered to you or your designated representative in San Juan, Puerto Rico from where payments will be made.

You may return the Policy to Advantage Life at our Home Office within ten days of receipt for a full refund of the Initial Premium paid. We will invest the Net Premium in the Segregated Assets Plan established for the Policy only after expiration of the ten-day "free look" period provided to you, unless you have waived that Policy inspection period in your Application.

If the Relevant Life Assured covered by the Policy dies, we will pay to the designated Beneficiary or Beneficiaries, the Death Benefit defined herein upon receipt of Satisfactory Proof of Death, subject to the terms of the Policy and provided that the Policy is in force on the date of death.

The value of your Policy will depend upon the investment performance of the Segregated Assets Plan established for the Policy. All Policy Investments are managed either by a qualified Investment Adviser nominated by you and approved by us or by Fund Managers of the Insurance Dedicated Funds(s) allocated by you. The Investments are held by Custodians nominated by you and approved by us or as selected by an Insurance Dedicated Fund.

We will deduct the costs of your Policy from the Segregated Assets Plan as these fees and charges become due as specified herein. Investment management fees, custody fees and other investment costs are deducted directly from the Segregated Assets Plan as they become due.

Your Policy 's features are explained in detail in the sections that follow. We have made every effort to make the Policy and its features easy to understand. If you have any questions about your Policy, please ask your advisor or contact us directly.

Thank you for placing your trust in Advantage Life.

_____

Name
Director

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DECLARATION

POLICY DETAILS	
POLICY NUMBER	ACLI _____ SAP
POLICY CURRENCY	UNITED STATES DOLLARS ($)
OWNER	
BENEFICIARY	
POLICY TYPE	SINGLE LIFE VARIABLE LIFE ASSURANCE POLICY
DEATH BENEFIT OPTION	OPTION _
SPECIFIED AMOUNT	$
MAXIMUM NET AMOUNT AT RISK	$
MEC/NON-MEC STATUS	
INITIAL PREMIUM	$
TARGET PREMIUM	$
ISSUE DATE	
EFFECTIVE DATE	
MATURITY DATE	
REPORTING DATE	QUARTERLY
MINIMUM TARGET PREMIUM	MINIMUM OF $2,000,000 IN TOTAL; AND $500,000 PER POLICY YEAR
MINIMUM POLICY VALUE	$100,000
WITHDRAWALS	MINIMUM OF $1,000

ASSURED DETAILS			
NAME	**GENDER**	**DATE OF BIRTH**	**AGE AT EFFECTIVE DATE**

UNDERWRITING FACTORS	
UNDERWRITING CLASSIFICATION	
NICOTINE CLASSIFICATION	
PERMANENT MORTALITY RATING	NONE
FLAT EXTRA CHARGE	NONE
COUNTRY OF RESIDENCE	

INVESTMENT AND ADVISOR DETAILS	
INVESTMENT ADVISER	
CUSTODIAN	
THIRD PARTY ADVISOR	

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POLICY FEES AND CHARGES	
ESTABLISHMENT FEE	
COST OF INSURANCE	AS DETERMINED BY SECTION 5.9 AND APPENDIX 2
ADMINISTRATION EXPENSE	__% OF THE SEGREGATED ASSETS PLAN VALUE AS OF PRIOR QUARTER VALUATION DATE. PRORATED FEES WILL BE CHARGED AT THE TIME OF ANY ADDITIONAL PREMIUM PAID ON A DATE OTHER THAN THE ANNIVERSARY DATE.
ANNUAL MINIMUM/ MAXIMUM ADMINISTRATION EXPENSE	MINIMUM AS DETERMINED BY SECTION 5.6 MAXIMUM NONE
MAINTENANCE EXPENSE	$900
DAC TAX CHARGE	NIL% OF INITIAL PREMIUM AND ADDITIONAL PREMIUM
CUSTODIAN REPORTING CHARGE	NIL; SUBJECT TO TERMS SET OUT IN SECTION 5.8
SURRENDER & WITHDRAWAL CHARGES	NONE
PERIODIC DEDUCTION PERIOD	I. FIRST PRO-RATED PERIODIC DEDUCTION DUE IN ADVANCE AS OF ISSUE DATE; AND II. QUARTERLY, IN ADVANCE THEREAFTER
PAYMENT DATE	I. POLICY ISSUE DATE; AND II. 1ST BUSINESS DAY OF THE CURRENT QUARTER THEREAFTER
POLICY LOAN INTEREST RATE	4.00%
LOAN COLLATERAL ACCOUNT CREDITING RATE	4.00%

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1.0 DEFINITIONS

Capitalized terms in the Policy have the meaning given to them in this section unless otherwise indicated or defined in the Policy.

33 Act means the U.S. Securities Act of 1933, as amended. 40 Act means the U.S. Investment Company Act of 1940.

Accredited Investor means:

- A natural person who has an individual net worth, or joint net worth with that person's spouse, in excess of $1 million (excluding the value of their personal residence);
- A natural person who has an individual income in excess of $200,000 in each of the two most recent years, or joint income with that person's spouse in excess of $300,000 in each of the two most recent years, and has a reasonable expectation of reaching the same income level in the current year;
- A trust that owns total assets in excess of $5 million, provided that the purchase is directed by a "sophisticated person" (defined in Rule 506(b)(2)(ii) under the 33 Act as a person who has such knowledge and experience in financial and business matters that he or she is capable of evaluating the merits and risks of purchasing such investment); and
- A corporation, partnership, or limited liability company that owns total assets in excess of $5 million or in which all of its equity owners are accredited investors.

Additional Premium means any cash amount paid or In-Kind contribution accepted by Advantage Life after the Issue Date and the receipt of the Initial Premium.

Administration Expense means the amount charged to the Policy for administration and is included in the Periodic Deduction. This charge is calculated and applied to the Segregated Assets Plan Value as of the Issue Date of the Policy based on the annualized rate and Periodic Deduction Period shown in the Declaration Page of the Policy. It may be subject to minimum and/or maximum amounts as shown the Declaration Page of the Policy.

Anniversary Date means the date one (1) year after the Effective Date and every annual anniversary thereafter.

Anti-Money Laundering or **AML** means the laws, regulations and directives of the Office of Foreign Asset Control of the U.S. Department of the Treasury ("OFAC") controlling payments.

Application means the application forms and supporting documentation as completed and submitted by the proposed Owner(s) and the proposed Assured(s) for the purpose of purchasing the Policy.

Assured and Life Assured means the individual(s) so named in the Declaration Page of the Policy whose death(s) determines the timing of when we will pay the Death Benefit in accordance with the terms and conditions of the Policy.

Attained Age means Issue Age plus the number of full years since the Effective Date.

Bank Account means the demand deposit account established for the Policy to which Net Premiums paid in cash will be credited; Periodic Deductions, Costs Attributable to the Policy Withdrawal Charges and Surrender Charge will be charged; and from where benefits paid in cash under the Policy will be paid.

Beneficiary means the natural or non-natural person(s) who has been designated by the Owner, and is entitled to receive the Death Benefit Proceeds under the Policy upon the death of the Relevant Life Assured and are collectively referred to as "Beneficiaries" if more than one Beneficiary.

Borrower means the party that has borrowed a portion of the Surrender Value on the terms and conditions provided in the Policy, Policy Loan Endorsement and Policy Loan Agreement.

Business Day means a day ending at 5:00 PM local time in the Commonwealth of Puerto Rico on which both our Home Office and banks are open for business.

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Code means the United States Internal Revenue Code of 1986, as amended.

Cost of Insurance means the annual mortality risk charge collected for that portion of the Death Benefit under the Policy represented by the Net Amount at Risk, which is generally based on the gender, Attained Age, Underwriting Classification, Nicotine Classification, Permanent Mortality Rating and/or Flat Extra Charge (if any) and country of residence of the Assured(s). This amount is due as of the Effective Date of the Policy and is included in the Periodic Deduction.

Costs Attributable to the Policy means any tax, expense or cost directly attributable to the Policy that is incurred by us, not currently based on our income and not otherwise charged as a Periodic Deduction. Such amounts include, but are not limited to, any tax on or deduction from a Premium, fees paid to third parties, lost income or loss of use of invested assets and would include any future income tax liability that becomes chargeable to the Segregated Assets Plan as a direct consequence of the operation of the Policy.

Currency means the currency of the Policy as shown in the Declaration Page of the Policy.

Custodian means the person or entity holding the Investments under a Custodian Account Agreement who is nominated by the Owner and appointed by Advantage Life as shown in the Declaration Page of the Policy, or is selected by an Insurance Dedicated Fund, or is a duly qualified successor of either.

Custodian Account Agreement means the agreement between Advantage Life and the Custodian.

Custodian Reporting Charge means an amount charged to the Policy where financial assets and/or Insurance Dedicated Funds are held for the Segregated Assets Plan with more than one Custodian. This charge is calculated and applied to the Segregated Assets Plan Value as of the Issue Date of the Policy based on the annualized rate and Periodic Deduction Period shown in the Declaration Page of the Policy.

DAC Tax means a charge imposed upon Advantage Life via tax accounting that requires capitalizing a percentage of each Premium paid whenever paid. We apply any such charge to each Premium paid only if such charge is shown in the Declaration Page of the Policy.

Death Benefit means the gross amount payable upon receipt by us of Satisfactory Proof of Death of the Relevant Life Assured while the Policy is in force.

Death Benefit Option means the option used to determine the Death Benefit as selected by the proposed Owner in the Application or as subsequently changed and as shown in the Declaration Page of the Policy or as recorded in an Endorsement attached to the Policy.

Death Benefit Proceeds means the proceeds payable to the Beneficiary upon receipt by us of Satisfactory Proof of Death of the Relevant Life Assured while the Policy is in force. Such proceeds will be equal to the Death Benefit, less any Outstanding Policy Debt, less any accrued and unpaid Periodic Deductions, Costs Attributable to the Policy, or any other costs that may apply to that Period, including any charges for the Period in which the death occurred.

Declaration Page means the pages of the Policy where the fees, charges, and terms and conditions applicable to the Policy are shown.

Effective Date means the effective date of Policy and is shown in the Declaration Page of the Policy. It determines the Policy Years and Policy Anniversary Dates.

Endorsement or Rider is a written modification to the Policy approved by us and attached to the Policy.

Establishment Fee means an amount deducted from the Initial Premium on the Issue Date and each Additional Premium when paid into the Policy. The applicable percentage amount is shown in the Declaration Page of the Policy.

Flat Extra Charge means a flat extra charge per $1,000 of Net Amount at Risk that may be applied where the Assured is classified as a Substandard Risk and is shown in the Declaration Page of the Policy.

Fund Manager means the person or entity rendering investment advice to an Insurance Dedicated Fund.

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General Account means the assets associated with the general business of Advantage Life that are separate from the assets held in the Segregated Assets Plan established for the Policy and all other policies.

Governing Law means the laws of the Commonwealth of Puerto Rico.

Grace Period means the thirty (30) day period during which the Policy continues after the occurrence of certain events that will cause the Policy to lapse, terminate or be surrendered unless the reason for imminent lapse is cured during such period.

Guarantee Fund or **Insolvency Fund** means a fund administered by a government and funded by assessments of licensed insurers which acts to protect Policyholders, claimants and beneficiaries of such insurers that have defaulted on benefit payments or become insolvent, by paying some portion of the unpaid benefits.

Guideline Premium Limitation means, as of any date, the sum of Premiums paid under the Policy may not exceed the guideline premium limitation defined within Section 7702(c) of the Code.

Home Office means our office location at American International Plaza, Suite 710, 250 Muñoz Rivera Avenue, San Juan, Puerto Rico 00918, or as updated and notified to the Owner.

Initial Premium means the first Premium for the Policy and is shown in the Declaration Page of the Policy.

In-Kind means either a Premium payment into the Policy or a benefit payment from the Policy via the transfer of an invested asset with a recent valuation or pricing, unless Advantage Life requires a more current valuation due to the possibility of a substantial change in valuation of the asset since the last valuation or pricing date.

IRS means the U.S. Internal Revenue Service.

Insurance Dedicated Fund or **IDF** means an investment fund that is not publicly traded, is designed to satisfy the diversification requirements under Section 817(h) of the Code on a "look-through" basis, is available for investment only for qualified insurance companies, receives investment advice from Fund Managers and holds Investment with selected Custodians. Policy Owners may provide us with: (i) a statement of their general investment objectives and guidelines to be transmitted to such Fund Managers; and (ii) any requests to allocate amongst Insurance Dedicated Funds.

Insurance Law means Chapter 61 of Act No. 77, as amended, known as the "Insurance Code of Puerto Rico" and the regulations adopted thereunder.

Investment Adviser means the person or entity nominated by the Owner and appointed by Advantage Life to render investment advice for the Policy and who is shown in the Declaration Page of the Policy, or a duly qualified successor.

Investment means any cash, financial asset, instrument, real property, precious metal, intellectual property or other valuable object held in the Segregated Assets Plan and are collectively referred to as "Investments".

Irrevocable Beneficiary means a person(s) designated as such in the Application who has rights greater than those of an ordinary Beneficiary.

Issue Age means the age at the Relevant Life Assured's last birthday on the Policy Effective Date.

Issue Date means the date shown in the Declaration Page of the Policy when all financial and contractual arrangements were completed and the Policy was issued to the Owner.

Joint Life Policy means a Policy in which the Death Benefit is payable on the last death to occur among two or more Life Assureds as shown in the Declaration Page of the Policy as jointly insured.

Life Insurance Qualification Test means the guideline premium requirements and the cash value corridor test set forth in Sections 7702(c) and (d) of the Code.

Loan Collateral Account means the part of our General Account that represents amounts transferred from the Segregated Assets Plan to be held as collateral for Policy Loans.

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Loan Collateral Account Crediting Rate means the rate of interest credited to you on the Loan Collateral Account as shown in the Endorsement issued at the time that the Loan Collateral Account is established.

Maintenance Expense means the amount charged to the Policy to compensate Advantage for its direct expenses incurred in respect of the Policy Bank Account and the operation of AML compliance program and is included in the Periodic Deduction. This charge is calculated and applied to the Segregated Assets Plan Value as of the Issue Date of the Policy based on the annualized rate and Periodic Deduction Period shown in the Declaration Page of the Policy.

Maturity Date means the date as shown in the Declaration Page of the Policy on which the Policy terminates if a Relevant Life Assured is still living and on which we pay out the Segregated Assets Plan Value. It may be extended upon request of the Owner.

Maximum Net Amount at Risk means the amount as shown in the Declaration Page of the Policy that represents the maximum Net Amount at Risk for the Policy. If the Net Amount at Risk exceeds this maximum, we reserve the right to reduce the Death Benefit and return Premium in order to reduce the Net Amount at Risk to the Maximum Net Amount at Risk.

MEC/Non-MEC Status means the qualification of the Policy at its Effective Date based upon the Initial Premium paid.

Minimum Policy Value means the minimum Segregated Assets Plan Value that must be maintained to keep the Policy in force and is shown in the Declaration Page of the Policy.

Minimum Required Death Benefit means the lowest Death Benefit that will qualify the Policy as life insurance under the Code.

Minimum Target Premium means minimum Premium commitment required by Advantage Life to offer the Policy to Qualified Purchasers and is shown in the Declaration Page of the Policy.

Modified Endowment Contract or **MEC** means the qualification assigned to a Policy that meets the definition ascribed in Section 7702A of the Code where any distributions may be taxed as ordinary income to the extent of any gain.

Net Amount at Risk or **NAR** means the amount of Death Benefit that is greater than the Segregated Assets Plan Value on the Quarterly Valuation Date or the day immediately preceding death.

Net Premium means the Initial Premium or an Additional Premium paid, less the Establishment Fee, Periodic Deduction and Costs Attributable to the Policy, which becomes part of the Segregated Assets Plan Value.

Net Surrender Value means the Surrender Value less any Outstanding Policy Debt as of the date of Surrender.

Nicotine Classification is the rating class for the Relevant Life Assured which will take into consideration the current and previous usage of nicotine products and is shown in the Declaration Page of the Policy.

Non-MEC means the qualification assigned to a Policy that is not a MEC.

Notification of Death means the first notification by the Owner, or authorized representation thereof, of the death of the Relevant Life Assured under the Policy, which may be in advance of Satisfactory Proof of Death.

Outstanding Policy Debt means the sum of all unpaid Policy Loans at the par value of the principal amount plus accrued and unpaid interest thereon at the Policy Loan Interest Rate.

Owner(s) or **Policy Owner(s)** means the natural or non-natural person(s) shown in the Declaration Page of the Policy or as subsequently changed and recorded in an Endorsement attached to the Policy.

Payment Date means the date in any Period that the Periodic Deduction, in whole or in part, is deducted from the Segregated Assets Plan in advance and paid to Advantage Life.

Period means that part of the calendar year that is used for the purposes of calculating the Cost of Insurance, Administration Expense, Maintenance Expense, Custodian Reporting Charge and Segregated Assets Plan Value. Such Periods may be annual, quarterly or monthly, as shown in the Declaration Page of the Policy.

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Periodic Deduction means the amount of Administration Expense, Maintenance Expense, Custodian Reporting Charge, Cost of Insurance and Costs Attributable to the Policy (if any) that on the applicable Payment Date, is deducted from the Segregated Assets Plan and includes any fees or charges due under or properly chargeable against the Policy throughout the Period. The first Periodic Deduction after the Effective Date may be pro-rated.

Permanent Mortality Rating means a Table Rating that may be applied where the Assured is classified as a Substandard Risk, which is designated by a Table Rating and is shown in the Declaration Page of the Policy.

Policy means this Variable Universal Life Assurance Policy.

Policy Loan means a loan obtained by the Owner from us in accordance with the Policy Loan provisions of the Policy.

Policy Loan Agreement means a form of agreement executed by the Owner and Advantage Life outlining the terms and conditions of a Policy Loan.

Policy Loan Interest Rate means the rate of interest charged to you on Policy Loans as shown in the Policy Loan Agreement.

Policy Statement means the periodic report to the Owner regarding Premium payments, quarterly deductions and Costs Attributable to the Policy and other pertinent information deemed relevant or required by law.

Policy Year means the one (1) year period commencing with the Effective Date and each Anniversary Date thereafter.

Premium means the cash amount paid or the In-Kind contribution to Advantage Life in exchange for the benefits under the Policy.

Qualified Purchaser means:

- A natural person who owns at least $5 million in qualifying investments, or in the aggregate owns and invests on a discretionary basis not less than $25 million in qualifying investments;
- A trust that holds more than $5 million in qualifying investments, and is owned directly or indirectly by or for two or more persons who are related as siblings or spouse (including former spouses), or direct lineal descendants by birth or adoption, spouses of such persons, the estates of such persons, or foundations, charitable organizations, or trusts established by or for the benefit of such persons;
- A trust in which the trustee or other person authorized to make decisions with respect to the trust, and each other person who has contributed assets to the trust, is a person who is a qualified purchaser;
- A trust that owns and invests on a discretionary basis not less than $25 million in qualifying investments;
- A corporation, partnership, or limited liability company that owns at least $5 million in qualifying investments and is owned directly or indirectly by or for two or more persons who are related as siblings or spouse (including former spouses), or direct lineal descendants by birth or adoption, spouses of such persons, the estates of such persons, or foundations, charitable organizations, or trusts established by or for the benefit of such persons;
- A corporation, partnership, or limited liability company that, acting for its own account, owns and invests or, acting for the accounts of other qualified purchasers, in the aggregate owns and invests on a discretionary basis not less than $25 million in qualifying investments; and
- A trust, corporation, partnership, or limited liability company formed specifically for the purpose of acquiring or holding a Policy, if the person or persons providing the funds to acquire the Policy are each qualified purchasers.

Quarterly Valuation Date means the last day of March, June, September and December in each year.

Reinstatement means any agreement made in our sole discretion to place a terminated Policy back into effect during the lifetime of the Relevant Life Assured under terms and conditions that we may offer at the time.

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Reinstatement Date means the date the Reinstatement of the Policy is effective, which is the later of when we approve any Reinstatement and when we receive the required Premium and any other required charges.

Relevant Life Assured means the person upon whose death the Death Benefit will be paid. For a Single Life Policy, the Relevant Life Assured is the sole Assured. For a Joint-Life Policy, the Relevant Life Assured is that Assured who is the last to die.

Reporting Period means the frequency at which Advantage Life will report Policy values to the Owner as shown in the Declaration Page of the Policy.

Satisfactory Proof of Death means the following have been submitted to Advantage Life:

- An original of the death certificate, order of a court of competent jurisdiction or statement of attending physician;
- A notice of death claim;
- The Policy; and
- Any other information that we may reasonably require to establish the validity of the claim.

Segregated Assets Plan means the arrangements we established pursuant to the Governing Law in order to segregate our assets and liabilities held in relation to your Policy from the assets and liabilities of all other policies and the assets and liabilities of Advantage Life's General Account.

Segregated Assets Plan Value means the total value of the Investments plus the Loan Collateral Account, if established held in your Segregated Assets Plan at any time.

Single Life Policy means a Policy in which the Death Benefit is payable on the death of the sole Life Assured.

Specified Amount means the minimum Death Benefit under the Policy while it remains in force. The initial Death Benefit is shown in the Declaration Page of the Policy. The Specified Amount may be changed upon your request and compliance with Policy provisions and with consideration given to applicable tax law.

Substandard Risk means an Underwriting Classification based on medical and/or non-medical factors where the Assured(s) is rated as a higher mortality risk and a Permanent Mortality Rating and/or a Flat Extra Charge is applied in calculating the annual Cost of Insurance charge.

Surrender means a voluntary return of the Policy to Advantage Life and the concurrent surrender by the Owner of all rights under the Policy prior to the Maturity Date during the lifetime of the Life Assured(s), at which time the Surrender Value is determined and paid to the Owner in cash, via In-Kind payment or a combination of cash and In-Kind payment.

Surrender Charge means the amount that will be subtracted from the Segregated Assets Plan Value and retained by Advantage Life upon the Surrender of the Policy. The applicable percentage is shown in the Declaration Page of the Policy.

Surrender Value means the Segregated Assets Plan Value less any accrued but unpaid Periodic Deduction, Surrender Charge, Withdrawal Charge or other fees, charges and expenses due to Advantage Life as of the date of Surrender.

Table Rating means a set of tables (A to P) where each table corresponds to an additional percentage increase over the unrated risk class Cost of Insurance rates.

Target Premium means total Premium commitment by the Owner under the Policy and is shown in the Declaration Page of the Policy.

Termination means the time that coverage under the Policy shall cease.

Underwriting Classification is the underwriting rating class for the Relevant Life Assured which will take into consideration the underwriting for medical, sports, avocation, foreign travel and country of residence, and is shown in the Declaration Page of the Policy.

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We, us, our and **Advantage Life** refer to Advantage Life Puerto Rico A.I.

Withdrawal means the withdrawal from the Policy during the lifetime of the Life Assured(s) of less than the total Segregated Assets Plan Value that is paid to the Owner in cash, via In-Kind payment or a combination of cash and In-Kind payment which will reduce the Surrender Value and may reduce the Death Benefit subject to the Death Benefit Option elected.

Withdrawal Charge means the amount that will be subtracted from the Segregated Assets Plan Value and retained by Advantage Life upon a Withdrawal from the Policy. The applicable percentage is shown in the Declaration Page of the Policy.

You and **your** refer to the Owner of the Policy.

2.0 GENERAL PROVISIONS

2.1 Entire Contract, Incontestability and Fraud.

This Policy is a legal contract between you and us. It is issued in reliance upon information and statements provided in the Application and upon receipt of payment of the Initial Premium.

The Policy, together with the Application, schedules and any supplements thereto, Endorsements, Riders, declarations of insurability and all written and oral statements made by you and/or the Assured(s) to us or our medical examiners – or any other statements or representations accepted in lieu of such statements – constitute the entire contract and supersede all prior written and oral agreements and discussions relating to the Policy. No change in this Policy will be valid unless it is in an Endorsement; or a Rider attached to this Policy and signed by one of our officers. No agent may change the Policy or waive any of its provisions.

We have relied on the statements made and such other documents in determining whether to issue the Policy and to agree to certain terms and conditions applicable to the Policy. These are considered representations and not warranties. If there is any material misrepresentation of fact in these or any other documents or statements, we can – at any time prior to the end of the incontestability period, and at any time if there is fraud – contest the validity of the Policy and the coverage hereunder, deny the benefits hereunder and declare the Policy void at our sole and absolute discretion.

In the absence of fraud, statements made in the Application and such other documents forming the Policy, whether in the original documents or with respect to any subsequent change, will be deemed true and incontestable as of one year from the latest of: the Issue Date; the Effective Date of the most recent Reinstatement of the Policy, the Effective Date of an increase in the Maximum Net Amount at Risk; or the date of any such subsequent change. In the case of fraud, we may contest the validity of the Policy at any time.

If the validity of the Policy is so contested:

(i) our obligation to pay the Death Benefit Proceeds will terminate as of the date we discover such fraud; and

(ii) the Surrender Value will be determined as of the next available Quarterly Valuation Date occurring after we discover such fraud and will be paid to the Owner on the same terms and conditions as a Surrender.

2.2 Modification of the Policy; Non-waiver

The Policy cannot be amended or modified, or its provisions waived or extended in any respect except with the written consent of Advantage Life signed by one of our officers. No agent may change the Policy or waive any of its provisions. Any waiver or failure to enforce any provision or breach of a provision of the Policy will not operate as a waiver of our right to subsequently enforce any provision or subsequent

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breach of such provision or any other provision. Policy modifications must be documented by an Endorsement or Rider.

Advantage Life reserves the sole right to modify the Policy at any time and from time to time without the prior consent of the Owner as Advantage Life so determines in its sole discretion to be necessary or appropriate to allow the Policy to qualify for certain U.S. federal income tax benefits, to qualify as a life insurance contract for all purposes under the Code or the Governing Law, or to not be considered a Modified Endowment Contract.

2.3 Termination of the Policy

Notwithstanding any potential negative tax or other consequence to you, your Beneficiary or Beneficiaries or any other person claiming an interest in or through the Policy, we have the right at our discretion to terminate the Policy at the end of the Grace Period upon any of the following events:

(i) if on any Quarterly Valuation Date after the first Policy Year, the Surrender Value is less than the Minimum Policy Value and the Grace Period ends without sufficient Additional Premium being paid; or

(ii) if the Relevant Life Assured dies and we pay the Death Benefit Proceeds; or

(iii) if you Surrender the Policy; or

(iv) if the Policy reaches its Maturity Date; or

(v) if in our opinion there is insufficient liquidity to pay the reasonably anticipated Periodic Deductions due under the Policy over the next Policy Year; or

(vi) if the continuing existence of the Policy would require Advantage Life, the Policy or the Segregated Assets Plan to become registered under applicable securities or other law; or

(vii) if an Owner, an Assured or any Beneficiary fails to timely provide us with any information we request to satisfy our obligations under applicable "Know Your Customer" or AML provisions or related or similar agreements or procedures and thirty (30) days pass without our receipt of such information; or

(viii) if in our reasonable opinion there is a continued disregard on the part of the Owner, or an Investment Adviser appointed to manage the Investments held in the Segregated Assets Plan, or a Fund Manager of an Insurance Dedicated Fund held in the Segregated Assets Plan to comply with diversification requirements of Section 817(h) of the Code or if any of them were to demonstrate conduct that we consider to represent investor control based upon precedents established in revenue rulings published by the IRS or then current interpretations thereof; or

(ix) if continuation of the Policy becomes unlawful or its economic purpose becomes substantially frustrated by revisions to the Code, securities law or Governing Law or the then current interpretations thereof.

Notice of Termination will be mailed to your last known address and the last known address of any assignee properly recorded with us in accordance with our established procedures. We will not be responsible if your last known address or that of any assignee is incorrect because we were not provided a written notice of a change of address in accordance with our established procedures at least ten (10) Business Days in advance of our mailing of any such Notice of Termination.

Payments upon Termination due to events described in Sections 2.3(vii) or 2.3(viii) above will be made on the same basis and terms as a Surrender of the Policy.

If the Relevant Life Assured dies during the Grace Period applicable to termination events described in Sections 2.3(vii) or 2.3(viii) above, any accrued and unpaid Periodic Deductions will be deducted from the Death Benefit Proceeds payable and the Death Benefit Proceeds payable for any death occurring during

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that Grace Period applicable to events described in Sections 2.3(vii) or 2.3(viii) above will be limited to the amount payable upon a Surrender and expressly will not include any payment attributable to any Net Amount at Risk.

2.4 Tax and Securities Laws of the United States

The Policy is intended to qualify as a life insurance contract under the Code and it shall be so construed. Each Owner should obtain professional tax advice with respect to the tax consequences of their acquisition, ownership and any proposed transfer or assignment of the Policy or any right to the Policy. Advantage Life does not guarantee, and has no liability for, U.S. federal or any local tax treatment of the Policy or transactions with respect to it.

We reserve the right but not the obligation to make changes to the Policy that we deem necessary or appropriate to cause the Policy to qualify for certain U.S. federal income tax benefits or to qualify under Governing Law as a life insurance contract.

The sale and any transfer of the Policy, disclosures regarding same, and the qualifications of a prospective Owner to purchase the Policy have been designed to exempt the Policy, Advantage Life and the Segregated Assets Plan from registration and prospectus delivery requirements that might otherwise apply to the Policy, Advantage Life and the Segregated Assets Plan under securities law. The prospective Owner should carefully review the Application materials and Informational Memorandum associated with the Policy.

2.5 Currency and Payments In-Kind

All Premiums and amounts payable under the Policy will normally be paid in cash in the Policy Currency or, in the case of payments In-Kind, will be valued in the Policy Currency. Upon agreement between Advantage Life and the payee, amounts may be paid via an In-Kind payment. We reserve the right to pay you or your Beneficiary In-Kind by transferring to you or your Beneficiary, assets held in the Segregated Assets Plan equal to the amount of the payment then due.

2.6 Notices, Applications, Requests, Elections or Proof

Any notice, Application, request, election or proof made by you or required under the Policy must be in writing, signed by you and received at our Home Office in accordance with our established procedures. Unless otherwise provided herein, all notices, requests, elections or proofs will become effective when received at our Home Office in a form acceptable to us, complete with all necessary information and required signatures, and as confirmed by us in writing to the last known address of the Owner.

2.7 Statements of Age, Sex or Nicotine Use; Adjustments

If the age, sex or nicotine use of any Relevant Life Assured has been misstated or misrepresented on the Application or otherwise, we reserve the right at our discretion to make adjustments to properly reflect the correct age, sex and nicotine use of such Relevant Life Assured. In that event, we can make an adjustment to the Death Benefit or Segregated Assets Plan Value and/or deduct an amount from the Segregated Assets Plan to reflect the prior underpayment due to such misstatement or misrepresentation.

2.8 Governing Law

The Policy will be governed by and construed in accordance with the laws of the Commonwealth of Puerto Rico including, without limitation, the Insurance Law but disregarding any principles of conflicts of laws. The Owner(s), all Life Assureds, the Beneficiary or Beneficiaries and all other persons claiming any benefit under, or any interest in, the Policy, as a condition to accepting benefits under this Policy, expressly consent and agree that the courts of the Commonwealth of Puerto Rico shall have exclusive jurisdiction over any disputes arising under, in respect of, or related to the Policy.

Advantage Life reserves the right to change its domicile country and thereby the Governing Law at any time in its discretion, without obtaining the consent of the Owner, so long as the laws of the new domicile provide for Segregated Assets Plan accounts or the functional equivalent.

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2.9 Non-Participating

The Policy is non-participating. It does not share in the profits or surplus of Advantage Life, and no dividends will be paid to the Policy or the Owner.

2.10 Gender and Plural

Words in the masculine include the feminine and neuter, where appropriate, and wherever the context of the Policy dictates, the plural includes the singular and the singular the plural.

2.11 No Minimum Benefit Required

The Policy, issued and delivered by Advantage Life in Puerto Rico and subject solely to the Governing Law, is not subject to any required minimum Death Benefit or Surrender Value and there are no minimum required coverages or benefits under the Policy.

2.12 Facility of Payments

If in the judgment of Advantage Life any payee is legally incapable of personally receiving and giving valid receipt of any payment due hereunder, or if conditions exist whereby a payee or any Beneficiary is under physical or mental constraint or duress, Advantage Life may refuse to make an payment to such payee or person in such case until a claim is filed with Advantage Life on behalf of a duly appointed guardian or other legal representative of such payee or person and is accepted by Advantage Life. In any event, Advantage Life may pay such amount or amounts to any person or institution whom, in the judgment of Advantage Life, is then contributing toward or providing care, support or general welfare for such payee or person. Any amount paid in accordance with this provision will completely discharge Advantage Life's obligation for the amount so paid.

2.13 Legality of Payments

Advantage Life complies with applicable AML and related laws and directives of the Office of Foreign Asset Control of the U.S. Department of the Treasury ("OFAC"). If any Policy Owner or any Beneficiary becomes subject to sanction by OFAC or other controlling authority, or if any payment by Advantage Life to a Policy Owner or any Beneficiary would otherwise violate applicable AML laws, rules or regulations, Advantage Life will withhold payments due to the Policy Owner or any Beneficiary until such time as Advantage Life is legally permitted to remit funds to the Policy Owner or the Beneficiary.

2.14 Abandonment

If, in order to pay any amounts due under the Policy to a Policy Owner or any Beneficiary, Advantage Life is unable to locate such person at the last available address of record provided by a Policy Owner or the Beneficiary, Advantage Life will proceed to judicially consign any amounts that are otherwise payable to such person in accordance with Governing Law.

3.0 POLICY OWNERSHIP, BENEFICIARY AND ASSIGNMENT

3.1 Policy Owner

Subject to the provisions in Section 3.4 below, during the life of the Relevant Life Assured, the Owner is entitled to exercise all rights and privileges under the Policy. These include naming a successor-Owner, changing the Beneficiary designation, assigning the Policy, taking Policy Loans, enjoying all Policy benefits, and exercising all Policy options. To exercise a right, the Owner does not need the consent of anyone who has only a conditional or future interest in the Policy.

If not the Assured, the Owner, where a natural person, should name a successor-Owner that will become the Owner if the Owner dies before the Relevant Life Assured. If the Owner dies before the Relevant Life Assured and no successor-Owner has been appointed, ownership will pass to the Owner's estate.

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No party to the Policy has the right to own or assign any right, title or interest to the assets held in the Segregated Assets Plan, which are owned by Advantage Life.

3.2 Beneficiary

The Beneficiary is the natural or non-natural person(s) who has been designated in the Application or in an Endorsement and is entitled to receive the benefits under the Policy upon the death of the Relevant Life Assured. The Owner names the original Beneficiary or Beneficiaries and any contingent Beneficiary in the Application which are recorded on the Declaration Page of the Policy at its Issue Date. If changed pursuant to Section 3.3 below, a new Beneficiary will be shown in the latest Endorsement recorded and issued by us. The interest of any Beneficiary is subject to that of any assignee.

Unless you choose an alternate payment plan acceptable to us, the Death Benefit Proceeds will be paid at the Relevant Life Assured's death in a lump sum to the Beneficiary or Beneficiaries. If the last Beneficiary dies before the Relevant Life Assured, the proceeds will be paid to any contingent Beneficiary.

If no Beneficiary survive(s) the Relevant Life Assured, the Owner or the Owner's estate becomes the Beneficiary and will be paid the proceeds, unless there is an Irrevocable Beneficiary, in which case the Death Benefit Proceeds will be paid to the estate of such Irrevocable Beneficiary pursuant to Section 7.6 below.

An Irrevocable Beneficiary has certain rights greater than those of an ordinary Beneficiary, such as the Irrevocable Beneficiary's consent being needed for any assignment of the Policy, a Policy Loan, or a Withdrawal or Surrender.

A Beneficiary that is a Borrower under a Policy Loan cannot be removed as a Beneficiary while that Policy Loan is outstanding.

3.3 Changing the Beneficiary

Subject to the provisions in Section 3.4 below and the right of an Irrevocable Beneficiary to remain a Beneficiary, the Owner may change the Beneficiary designation during the Relevant Life Assured's lifetime. We do not limit the number of changes that may be made. To make the change, we must receive at the Home Office a completed "Designation of Beneficiary" form and any other forms we require in accordance with our established procedures.

A change of Beneficiary designation will take effect as of the date we record it at the Home Office and issue the Endorsement. The change of Beneficiary designation will relate back to, and take effect as of, the date of the request, even if the Relevant Life Assured dies before the change is recorded, but without prejudice to Advantage Life with respect to any payment made or other action we have taken prior to Advantage Life's receipt and final processing of the request.

3.4 Assigning the Policy

This Policy may not be assigned without our prior written consent and the consent of any Irrevocable Beneficiary. We may withhold our consent in our absolute discretion for any or no reason. A signed copy of any approved assignment must be filed with our Home Office. We assume no responsibility for the validity of any assignment or acting upon any assignment that we believe in good faith to be valid that is later held to be invalid. An absolute assignment will be considered a change of ownership to the assignee, who shall become the new Owner under this Policy unless otherwise explicitly so stated in the approved assignment form.

The process of transferring ownership, changing or revoking a contingent Owner, or assignment of all or a portion of an Owner's rights under the Policy does not affect the status of any Beneficiary. Any change in Beneficiary must follow the standard procedures with respect to a change of Beneficiary designation as provided in the Policy.

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You are advised to seek legal advice with respect to the validity and legal or tax effect of any proposed assignment of the Policy or any rights hereunder. We will not be responsible for any loss or adverse tax result suffered as a consequence of any assignment found to be invalid or illegal or where such assignment otherwise adversely affects any person, including without limitation any Owner, Relevant Life Assured, Beneficiary or Beneficiaries or others.

4.0 PREMIUM PAYMENTS

4.1 Initial Premium

The Initial Premium as shown in the Declaration Page of the Policy must be paid in full and in free and clear funds on or before the delivery and the Issue Date of the Policy. Notwithstanding any other provision or agreement (written or oral), the Policy will not become effective, and no insurance coverage will take effect before the Initial Premium is received in full by us. If we agree to accept the Initial Premium In-Kind, it is considered received upon receipt of an acceptable valuation of, and clear title to, the assets taken In-Kind.

4.2 Additional Premium

Additional Premiums may be paid subsequent to Policy issuance upon approval of and acceptance by Advantage Life, at which time Advantage Life will amend the Policy to reflect any Additional Premiums.

We will not accept any Additional Premium such that the sum of Premiums paid under the Policy will exceed the Guideline Premium Limitation applicable to this Policy. Unless you have elected in writing that the Policy should be maintained as a Modified Endowment Contract, we will not accept any Additional Premium which would cause the Policy to become a Modified Endowment Contract.

Such excess payments will not be recorded as Additional Premiums and will be returned to you, with no interest or other income credited, within 45 days from the end of the Quarterly Valuation Date of the quarter within which the payment was made.

Where the Policy has Outstanding Policy Debt, any payments received will be allocated first against outstanding interest on any Policy Loan, then allocated as Policy Loan repayment and then any excess amount will be recorded as Additional Premium.

Any Additional Premium payments we reject will be returned to you and no interest or other income will be credited to such return of Additional Premium.

4.3 Target Premium; Minimum Target Premium

The Target Premium is total Premium commitment by the Owner as specified in the Application for the Policy which is relevant to the calculation of the Specified Amount under the Policy; the approach and extent of the underwriting of Assured under the Policy; and determination of applicable fees and charges under the Policy. The Target Premium is shown in the Declaration Page of the Policy.

Advantage Life requires a minimum Premium commitment, annually and in total to offer the Policy to Qualified Purchasers which is the Minimum Target Premium and is shown in the Declaration Page of the Policy. At its discretion, Advantage Life may accept an application where the Target Premium is below the Minimum Target Premium and in such cases, the Administration Expense will be subject an annual minimum amount as described in Section 5.6 below, which is titled “Administration Expense”.

4.4 Place of Premium Payment and Policy Delivery

The Initial Premium is payable in free and clear funds at our Home Office or as otherwise directed in writing by us. Upon request, a receipt signed by one of our officers will be available with respect to any accepted Initial Premium payment. Additional Premiums will be treated in the same way as the Initial Premium.

Advantage Life delivers Policies solely in Puerto Rico.

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4.5 In-Kind Premiums

Advantage Life may agree to accept an Initial Premium and Additional Premiums In-Kind, which will be considered received upon the receipt of an acceptable valuation of, and evidence of clear title to, the assets taken In-Kind.

4.6 Establishment Fee

Before the Initial Premium or Additional Premium paid is credited to the Segregated Assets Plan, any Establishment Fee due and the pro-rated Periodic Deduction are deducted from the payment received. The amount of the Establishment Fee applicable to Initial Premium and to Additional Premium is shown in the Declaration Page of the Policy and may be different for Additional Premium. Establishment Fees deducted under the Policy are compensation to us and are not credited to the Segregated Assets Plan.

4.7 Net Premium

Net Premium is the total amount credited to the Segregated Assets Plan following the payment of Initial Premium or Additional Premium, less the Establishment Fee, pro-rated Periodic Deduction, and any Costs Attributable to the Policy.

4.8 Company's Right to Deductions from the Segregated Assets Plan

We reserve the right to withdraw funds from the Segregated Assets Plan in an amount sufficient to pay charges, Costs Attributable to the Policy or Periodic Deductions that are properly due and payable under or from the Policy. We also reserve the right to hold an appropriate amount of funds within the Segregated Assets Plan in a separate liquid account to pay the annual cost of all such deductions.

4.9 Policy May be a Modified Endowment Contract

Under the current U.S. federal tax laws, Section 7702A of the Code defines a "Modified Endowment Contract" for federal tax purposes as a contract entered into on or after June 21, 1988 that fails to meet the "7-pay test." Any distributions thereunder may be taxed as ordinary income to the extent of any gain. This Policy will become a Modified Endowment Contract if the Premiums paid into the Policy fail to meet a 7-pay premium test as currently outlined in Section 7702A of the Code.

Should the Policy become a Modified Endowment Contract, Withdrawals or Surrenders, assignments, pledges, and Policy Loans under the Policy will be taxable to U.S. resident Owners to the extent of any gain under the Policy. A ten percent (10%) penalty tax may also apply to the taxable portion of any distribution made prior to the Assured reaching age 59 and one-half. The ten percent (10%) penalty tax does not apply currently if the Assured is disabled as defined under the Code or if the distribution is paid out in the form of a life annuity on the life of the Assured(s) and Beneficiary. Owners are urged to consult qualified tax advisors regarding the tax consequences of the Policy and their particular circumstances. Existing U.S. federal tax laws that can affect the Policy may change at any time.

The qualification of the Policy at its Effective Date based upon the Initial Premium paid is shown in the Declaration Page of the Policy.

5.0 POLICY STRUCTURE AND REPORTING

5.1 The Segregated Assets Plan

The Segregated Assets Plan has been established by us in respect of the Policy in compliance with the Governing Law. We own all of the assets held in the Segregated Assets Plan but are obligated to keep them separate and separately identifiable from the assets held for our General Account and for the Segregated Assets Plan of any other Policy issued by us.

All rights and interests in assets and property held within the Segregated Assets Plan will be determined in accordance with the Policy and Governing Law. Our liability and obligations under the Policy are limited

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to such assets and, in the event of exhaustion of such assets, there will be no recourse to assets which are held in the Segregated Assets Plan of any other Policy issued by us.

Under the terms of the Policy and the Governing Law, assets held in each Segregated Assets Plan are our legal property. You do not own or have any rights to any particular Investment held in the Segregated Assets Plan nor do you have the right to direct the particular Investments held in the Segregated Assets Plan other than the choice of allocation percentages to Insurance Dedicated Funds.

Income and realized and unrealized gains or losses from Investments are credited or charged to the Segregated Assets Plan without regard to income, deductions, gains or losses of Investments held in the Segregated Assets Plan of any other Policy issued by us or in our General Account.

The Segregated Assets Plan Value of the Policy on the Issue Date is:

(i) the Premium received by us on or before the Issue Date, minus

(ii) any deduction due on or before the Issue Date.

The Segregated Assets Plan Value on a Quarterly Valuation Date is equal to the total value of the Investments and Loan Collateral Account held in the Segregated Assets Plan, less any accrued and unpaid Periodic Deductions or Costs Attributable to the Policy, plus any Net Premium received on that Quarterly Valuation Date and not yet allocated to the Segregated Assets Plan.

The Investments are periodically valued based on the valuations reported to us by the Investment Adviser, Custodian or Insurance Dedicated Fund. We will rely for our reporting entirely on those valuations. We will not, and expressly disclaim any responsibility to, audit, monitor or otherwise review such valuations.

Periodic Deductions and Costs Attributable to the Policy will be applied on the basis of the most current, reasonable estimated valuation of the Investments. Subsequent material adjustments to such valuations may result in our truing-up and revising such fees or charges.

5.2 Investments

The Investments held in the Segregated Assets Plan are invested under the control and management of:

(i) an independent Investment Adviser nominated by the Owner and approved by Advantage Life; or

(ii) the Fund Manager of an Insurance Dedicated Fund selected by the Owner and approved by Advantage Life.

Appointed Investment Advisers manage Investments under guidelines agreed by us. The Owner may from time to time provide Advantage Life with an updated statement of general investment objectives or nomination of Investment Adviser. The Owner may allocate Premiums or Segregated Assets Plan Value amongst Insurance Dedicated Funds and may periodically provide Advantage Life with an updated statement of such allocations.

The value of the Segregated Assets Plan will increase or decrease depending on the performance of the Investments as well as Periodic Deductions and Costs Attributable to the Policy.

5.3 Investment Diversification

The assets of the Segregated Assets Plan must be managed in compliance with the diversification requirements of Section 817(h) of the Code and all regulations promulgated thereunder (as may be amended from time to time and any successor provision). Advantage Life will monitor the Segregated Assets Plan accordingly for compliance with the diversification requirements, but Advantage Life shall have no liability whatsoever for the failure of the Segregated Assets Plan to meet diversification requirements.

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5.4 Ownership and Control of Assets

We are the exclusive and absolute Owner of the Investments held in the Segregated Assets Plan. Under the Governing Law, the assets and liabilities held in the Segregated Assets Plan are legally separate and segregated from the assets and liabilities held in relation to other policies and segregated asset plans and from any of the assets and liabilities of Advantage Life. You have no beneficial or legal interest in any specific asset held in the Segregated Assets Plan. You do not have any right to direct the specific Investments within the Segregated Assets Plan or to direct the Investment Adviser regarding investment decisions with respect to any Investments or to direct the Fund Manager regarding investments within any Insurance Dedicated Funds held in the Segregated Assets Plan.

5.5 Investment Expenses

Fees and expenses with respect to the Investments are deducted in accordance with the terms of the agreement with the relevant Investment Adviser or Fund Manager (including any contractually required payments of indemnity) with respect to that particular Investment Adviser or Insurance Dedicated Fund. Fees and expenses paid to Investment Advisers, Custodians and Insurance Dedicated Funds are not part of the Periodic Deductions made by us. By requesting a specific Investment Adviser and/or Custodian or allocating assets to an Insurance Dedicated Fund, you thereby acknowledge and consent to the fees and expenses charged by them.

In addition to the Periodic Deductions and Costs Attributable to the Policy detailed in the Policy, any non-routine expenses that we incur with respect to the Policy (such as professional services fees, brokerage fees, special accounting fees, custodial fees, etc.) are charged against and deducted from the Segregated Assets Plan as incurred. Such expenses provided by third party service providers are billed to the Policy at their cost to us, without mark-up.

5.6 Administration Expense

The Administration Expense is a charge to the Policy for administration of the Policy. The Administration Expense will be calculated at the annualized rate, subject to annual minimum and maximum requirements, if any, as shown in the Declaration Page of the Policy and is disclosed in the Policy Statement made available to you. This charge is calculated and applied to the Segregated Assets Plan Value as of the Issue Date of the Policy and on the Periodic Deduction Period thereafter.

Where Target Premium is below Minimum Target Premium, an annual minimum Administration Expense will apply. The annual minimum amount will be calculated using the annualized rate applied to the amounts, annually and cumulatively by Policy Year as set out in the Minimum Target Premium shown in the Declaration Page of the Policy.

5.7 Maintenance Expense

The Maintenance Expense (if any) is a charge to the Policy to compensate Advantage for its direct expenses incurred for (i) the Bank Account established for the Policy; and (ii) the compliance program applied to the Policy in respect of applicable AML laws, rules and regulations. The Maintenance Expense will be calculated at the annualized rate shown in the Declaration Page of the Policy and is disclosed in the Policy Statement made available to you. This charge is calculated and applied to the Segregated Assets Plan Value as of the Issue Date of the Policy and on the Periodic Deduction Period thereafter.

5.8 Custodian Reporting Charge

The Custodian Reporting Charge is a charge to the Policy to compensate Advantage for its direct expenses where financial assets and/or Insurance Dedicated Funds are held for the Segregated Assets Plan with more than one Custodian. There is no charge where a single Custodian but for each additional Custodian, Advantage Life may apply an annual charge of $1,000.

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The Custodian Reporting Charge, if any, will be calculated at the annualized rate shown in the Declaration Page of the Policy and is disclosed in the Policy Statement made available to you. This charge is calculated and applied to the Segregated Assets Plan Value as of the Issue Date of the Policy and on the Periodic Deduction Period thereafter.

5.9 Cost of Insurance

The Cost of Insurance is based on the applicable Cost of Insurance rate and the Net Amount at Risk under the Death Benefit Option elected as shown in the Declaration Page of the Policy or as subsequently changed and recorded in an Endorsement attached to the Policy.

The Cost of Insurance rate is the mortality rate per $1,000 of Net Amount at Risk, which increases as the Assured ages. Our Net Amount at Risk is the amount of Death Benefit that is greater than the Segregated Assets Plan Value. The Net Amount at Risk decreases as the Segregated Assets Plan Value increases over time under the level Death Benefit Option A. Our Net Amount at Risk is equal to the Specified Amount under Death Benefit Option B.

Option A - Basic coverage: the Cost of Insurance is calculated as:

(i) the Death Benefit on the preceding Quarterly Valuation Date; less

(ii) the Segregated Assets Plan Value on the preceding Quarterly Valuation Date after all deductions have been taken; multiplied by

(iii) the applicable Cost of Insurance rate per $1,000 of insurance (as described in Section 5.10 below, which is titled "Cost of Insurance Rates"); divided by $1,000.

Option B - Basic coverage plus Segregated Assets Plan: the Cost of Insurance is calculated as:

(i) the Specified Amount on the preceding Quarterly Valuation Date; multiplied by

(ii) the applicable Cost of Insurance rate per $1,000 of insurance (as described Section 5.10 below, which is titled "Cost of Insurance Rates"); divided by $1,000.

The Cost of Insurance is included in the Periodic Deduction and is disclosed in the Policy Statement made available to you.

5.10 Cost of Insurance Rates

Cost of Insurance rates are generally based on Attained Age, gender, nicotine use, Underwriting Classification and country of residence of the Relevant Life Assured and the completed Policy Years from the Issue Date. If the Underwriting Classification of the Relevant Life Assured is assessed as a Substandard Risk, then a Permanent Mortality Rating or a Flat Extra Charge may be applied to the Cost of Insurance rates, which will increase the Cost of Insurance charge.

Where relevant, the Table Rating for the Permanent Mortality Rating and the Flat Extra Charge are shown in the Declaration Page of this Policy.

We reserve the right to change the Cost of Insurance rates, provided that the Cost of Insurance rates may not be increased by us over those rates shown in Appendix 2 of the Policy. Any increases in the Cost of Insurance rates are usually based on past experience and future expectation of net mortality costs, persistency, expenses and other relevant factors as determined by us.

5.11 Periodic Deduction

The Periodic Deduction is equal to the Administration Expense, Maintenance Expense, Custodian Reporting Charge, Cost of Insurance and Costs Attributable to the Policy (if any) and is deducted from the Segregated Assets Plan and paid to Advantage Life on the Payment Date shown in the Declaration Page of the Policy.

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Periodic Deductions are generally paid first by cash on hand from recently paid Net Premium and, if such Premium is insufficient to cover all of the Periodic Deductions, then by cash obtained from the Segregated Assets Plan. We may at our sole discretion instruct the Investment Adviser or Fund Manager to liquidate a portion of the Investments and to remit such amount to us for payment of the Periodic Deductions.

5.12 Costs Attributable to the Policy

We reserve the right to charge the Owner and withdraw funds from a Premium payment or the Segregated Assets Plan in the amount of any tax, expense or cost directly attributable to the Policy that is incurred by us, not currently based on our income and not otherwise charged as a Periodic Deduction. Such amounts include, but are not limited to, any tax on or deduction from Premium, fees paid to third parties, lost income or loss of use of invested assets and would include any future income tax liability that becomes chargeable to the Segregated Assets Plan.

If any premium tax or other tax is levied or assessed upon Advantage Life that is directly attributable to Premiums or the Segregated Assets Plan established for the Policy, the effective amount of such tax as determined by Advantage Life will be reimbursed from the assets of the Segregated Assets Plan.

These provisions are subject to change by Advantage Life in the future to reflect any applicable change in law or regulation or interpretations thereof.

5.13 Policy Statement

Within forty-five days after each Quarterly Valuation Date, a report will be made available to the Owner(s) that will show details for the most recent Reporting Period:

(i) Premiums received by us since the last report;

A. Periodic Deductions, Costs Attributable to the Policy and other costs since the last report; and

B. other pertinent information deemed relevant by us or as may be required by law.

(ii) The following values will be shown as of the most recent Quarterly Valuation Date:

A. Segregated Assets Plan Value;

B. Premiums paid since the Issue Date;

C. Withdrawals and Policy Loans since the Issue Date; and

D. Current Death Benefit.

5.14 Other Reports

The Owner may request a report illustrating future values of the Policy using projections based on historical results or a hypothetical interest rate. We may charge a reasonable fee for preparing this report.

6.0 POLICY LOANS

6.1 Policy Loans

After the first anniversary of the Policy Issue Date, you and/or each Beneficiary (in each case, a “Borrower”) may borrow against this Policy by assigning it to us as sole security on the terms and conditions provided herein and recorded in the Policy Loan Agreement (a “Policy Loan”). No Policy Loan may be made without the consent of all Irrevocable Beneficiary and the Owner. Outstanding Policy Debt is the sum of all unpaid Policy Loans plus accrued and unpaid interest thereon.

New Policy Loans will not be made to the extent such Policy Loan would, when combined with the then current amount of Outstanding Policy Debt, exceed ninety percent (90%) of the then current Surrender Value; or would cause the Net Surrender Value to be less than the Minimum Policy Value.

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Outstanding Policy Debt will be deducted as an offset against amount payable upon the death of the Relevant Life Assured, or on maturity or upon a Surrender.

6.2 Requesting a Policy Loan

At any time after the first Policy Year anniversary and prior to the death of the Relevant Life Assured, a Borrower may request one or more Policy Loans from us in accordance with our established procedures but no more than one Policy Loan may be requested per Policy Year. Upon receipt and approval by Advantage Life of a written request for a Policy Loan, we will liquidate a portion of the Investments held in the Segregated Assets Plan equal to the principal amount of the Policy Loan requested and transfer to a separately identified Loan Collateral Account held within our General Account. We are under no obligation to advance any Policy Loan amounts prior to receipt of cleared funds from the Investments being liquidated into the Loan Collateral Account.

The timing and amount available of Policy Loan may be significantly affected by the liquidity of the Investments, including without limitation, lock-ups, gates, market conditions and specific limitations on transfer or redemption. We do not guarantee any time period in which the Policy Loan will be paid to you. Certain penalties or other negative effects on the Investments held within the Segregated Assets Plan may result from liquidation of Investments to fund the Loan Collateral Account.

Advantage Life is required to hold current AML due diligence on each Borrower and will not enter into a Policy Loan until updated AML due diligence, if required is obtained by Advantage Life or its appointed due diligence agent. No Policy Loans may be disbursed to any person other than a Borrower who has presented AML due diligence information satisfactory to Advantage Life, in its sole discretion.

We will record the Policy Loan at the Home Office as being effective as of the date that the Policy Loan amount is advanced which will be the effective date of the Policy Loan Agreement that will document the terms and conditions of the Policy Loan.

6.3 Loan Collateral Account

On request for a Policy Loan by the Borrower, a separately identified Loan Collateral Account will be established as part of our General Account that represents amounts held as collateral for Policy Loans under this Policy. The initial amount of the Loan Collateral Account will be equal to the principal amount of the first Policy Loan to be advanced and interest will be credited to the Loan Collateral Account at the Loan Collateral Account Crediting Rate as described below which is not based upon the investment experience of the Investments held in the Segregated Assets Plan.

The accumulated balance on the Loan Collateral Account is held for the benefit of the Segregated Assets Plan for the Policy. Interest credited to the Loan Collateral Account will be transferred to the Segregated Assets Plan for the Policy on each Anniversary Date.

Interest is due and payable by the Borrower to Advantage Life for each Policy Loan at the Policy Loan Interest Rate as described below on each Anniversary Date. Accrued interest on a Policy Loan will be added to principal amount on the Policy Loan on the Policy Anniversary Date. If the interest is not paid by the Borrower, then an amount equal to the accrued interest will be transferred from the Segregated Assets Plan for the Policy to the Loan Collateral Account.

The Loan Collateral Account at par value of the principal amount plus the interest credited thereon at the Loan Collateral Account Crediting Rate shall be considered an asset of the Segregated Assets Plan for the Policy and the Loan Collateral Account value shall be included in the calculation of the Administration Expense for the Policy.

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6.4 Loan Collateral Account Crediting Rate

The Loan Collateral Account for the Policy will be credited interest daily at an annual effective interest rate applied to the principal amounts held as collateral for each Policy Loan which will equal the Loan Collateral Account Crediting Rate set forth in the Endorsement issued at the time of each Policy Loan.

6.5 Policy Loan Interest Rate

Outstanding Policy Debt for the Policy will accrue an interest charge daily at an annual effective interest rate applied to the principal amount for each Policy Loan which will equal the Policy Loan Interest Rate set forth in the Policy Loan Agreement issued for each Policy Loan.

The Policy Loan Interest Rate will be the lesser of:

(i) The Applicable Federal Rate associated with a loan with a term consistent with the expected term of the Policy Loan at the Policy's Issue Date, or

(ii) The Applicable Federal Rate associated with a loan with a term consistent with the expected term of the Policy Loan at the time of the Policy Loan.

Advantage Life's current Policy Loan Interest Rate at the Issue Date of the Policy is shown in the Declaration Page of the Policy but will be determined for each new Policy Loan under the Policy based upon our then current Policy Loan Interest Rate or as otherwise agreed with the Borrower and documented in the Policy Loan Agreement. The Loan Collateral Account Crediting Rate at the Issue Date of the Policy is shown in the Declaration Page of the Policy and will in all instances be equal to the Policy Loan Interest Rate.

Subject to adjustment at each subsequent Anniversary Date based upon our established procedures to review Policy Loan Interest Rates and any adjustment will be documented as an addendum to the relevant Policy Loan Agreement(s).

6.6 Repaying Outstanding Policy Debt

A Borrower can repay a Policy Loan in full or in part at any time prior to Termination. Such payments will reduce the Outstanding Policy Debt and are subject to minimum amounts and a maximum number of repayments that we may prescribe from time to time. Upon repayment of a Policy Loan, we will transfer an equal amount from the Loan Collateral Account to the Segregated Assets Plan for the Policy.

Pursuant to Section 4.2 above, any payments received from the Owner will be allocated first against outstanding interest on any Policy Loan, then allocated as Policy Loan repayment and then any excess amount will be recorded as Additional Premium.

If there is Outstanding Policy Debt at the time of Surrender of the Policy, the amount of Outstanding Policy Debt will be deducted from the Surrender Value payable hereunder to determine the Net Surrender Value.

If there is Outstanding Policy Debt at the time of death of the Relevant Life Assured or on the Maturity Date, the Outstanding Policy Debt will be offset against the Death Benefit payable to the Beneficiary and to determine the Death Benefit Proceeds or the amount payable on the Maturity Date.

6.7 Changes to Beneficiary Designations

No Borrower can be removed as a Beneficiary of the Policy or have their entitlement as a Beneficiary under the Policy reduced while a Policy Loan to them remains outstanding.

6.8 Policy Loan Processing Fee

We will charge a loan processing fee equal to $1,000 per Policy Loan disbursement which is deducted from Policy Loan proceeds at funding, or as set out in the relevant Policy Loan Agreement.

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7.0 DEATH BENEFIT

7.1 Death Benefit

Except as otherwise provided in the Policy, the Death Benefit under the Policy, upon our receipt of Satisfactory Proof of Death of the Relevant Life Assured while the Policy is in force, will be determined and paid under your chosen Death Benefit Option as shown in the Declaration Page of the Policy.

(i) Option A - Basic coverage: the Death Benefit will be the greater of:

A. the current Specified Amount as of the Quarterly Valuation Date preceding the Notification of Death; or

B. the value of the Segregated Assets Plan on the Quarterly Valuation Date immediately prior to the date of death of the Relevant Life Assured, multiplied by the specified percentages shown in Section 7702(d) of the Code and appearing below.

(ii) Option B - Basic coverage plus Segregated Assets Plan: the Death Benefit will be the greater of:

A. the current Specified Amount plus the Segregated Assets Plan Value as of the Quarterly Valuation Date preceding the Notification of Death; or

B. the value of the Segregated Assets Plan on the Quarterly Valuation Date immediately prior to the date of death of the Relevant Life Assured, multiplied by the specified percentages shown in Section 7702(d) of the Code and appearing below.

The specified percentages described in Section 7702 (d) of the Code are set out in the following table:

Assured's *Age	Applicable Percentage	Assured's *Age	Applicable Percentage	Assured's *Age	Applicable Percentage	Assured's *Age	Applicable Percentage
40 or less	250	50	185	60	130	70	115
41	243	51	178	61	128	71	113
42	236	52	171	62	126	72	111
43	229	53	164	63	124	73	109
44	222	54	157	64	122	74	107
45	215	55	150	65	120	75-90	105
46	209	56	146	66	119	91	104
47	203	57	142	67	118	92	103
48	197	58	138	68	117	93	102
49	191	59	134	69	116	94	101
						95-100	100

* Assured's Age means the Attained Age at the beginning of the Policy Year.

7.2 Minimum Required Death Benefit

The Policy has a Minimum Required Death Benefit to ensure that the Policy will continue to qualify as life insurance under the Code. The Minimum Required Death Benefit is the Segregated Asset Plan Value as of the last Quarterly Valuation Date multiplied by the applicable percentage for Assured's Attained Age as set forth in Section 7.1 of the Policy. We will monitor the Policy for any required increase to the Death Benefit to ensure that it is never less than the Minimum Required Death Benefit.

We may refuse Additional Premium payments or return Premium payments that would cause the sum of Premiums paid under the Policy to exceed the Guideline Premium Limitation applicable to this Policy.

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7.3 Death Benefit Proceeds

Upon receipt of Notification of Death, Advantage will liquidate the Investments held under the Segregated Assets Plan as soon as practicable and hold the redemption proceeds as a cash deposit pending the receipt of the Satisfactory Proof of Death.

Subject to Advantage's approval, should you request that all or part of the Death Benefit is paid as an In-kind benefit or under alternative arrangements as described under Section 7.7 then Advantage will not liquidate the liquidate the identified Investments.

The Death Benefit Proceeds payable to the Beneficiary, upon our receipt of Satisfactory Proof of Death of the Relevant Life Assured while the Policy is in force, will equal:

(i) the Death Benefit; minus

(ii) Outstanding Policy Debt; minus

(iii) any Periodic Deductions or Costs Attributable to the Policy that may apply up through the date of our receipt of Satisfactory Proof of Death of the Relevant Life Assured.

Regardless of the method of payment of the Death Benefit Proceeds, the related costs of liquidation and/or transfer, as well as fluctuations in value of Investments attributable to the period between (i) the Segregated Asset Plan Value on the Quarterly Valuation Date immediately preceding the date of death of the Relevant Life Assured; and (ii) the liquidation of the Investments held in the Segregated Assets Plan after the Relevant Life Assured's date of death, will be offset against (or will be an increase of, as appropriate) the Death Benefit Proceeds payable by us.

Advantage Life is required to conduct AML due diligence prior to the payment of any Death Benefit Proceeds to any Beneficiary. No Death Benefit Proceeds may be disbursed to any person until satisfactory AML due diligence information has been presented to Advantage Life, as determined by it in its sole discretion.

7.4 Election of Coverage Type

We offer two alternative types of coverage as follows. The coverage that applies to this Policy is shown in the Declaration Page of the Policy:

(i) Single Life. The Death Benefit Proceeds of a Single Life Policy are payable on the death of the Assured named in the Declaration Page of the Policy and the Policy terminates; or

(ii) Joint-Life. The Death Benefit Proceeds of a Joint Life Policy are payable only on the last death to occur among the multiple Assureds named in the Declaration Page of the Policy, who will be the Relevant Life Assured. No Death Benefit Proceeds are payable upon the death of an Assured other than the Relevant Life Assured under a Joint-Life Policy. Upon payment of the Death Benefit Proceeds on the death of the Relevant Life Assured under a Joint Life Policy, the Policy terminates and all our obligations thereunder are satisfied in full.

7.5 Suicide

If any Life Assured commits suicide (assisted or otherwise), while sane or insane, within two years from:

(i) the Issue Date,

(ii) the Effective Date of the most recent Reinstatement of the Policy, or

(iii) an increase in the Maximum Net Amount at Risk,

then all coverage under the Policy will be void ab initio. In such circumstances, the Death Benefit Proceeds are not payable and such event will be treated as a Surrender of the Policy.

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7.6 Determination of Proper Recipient of Death Benefit Proceeds

We will pay the Death Benefit Proceeds to the Beneficiary or Beneficiaries if such person(s) survives the Relevant Life Assured. If there is more than one Beneficiary, the Death Benefit Proceeds will be paid to such Beneficiaries in the percentages shown in the Declaration Page of the Policy or as otherwise provided in accordance with our established policies and procedures. If no Beneficiary survives the Relevant Life Assured, the Death Benefit Proceeds will be paid to the Owner, if living, or to the estate of the last Owner, if not living; provided that, if a Beneficiary is designated an Irrevocable Beneficiary, the Death Benefit Proceeds will be paid to the estate of such Irrevocable Beneficiary. If the Death Benefit Proceeds are payable to the estate of a deceased person, Commonwealth of Puerto Rico probate and administration may be required under certain circumstances. Payment of the Death Benefit Proceeds constitutes a full discharge by us of our obligations under the Policy.

7.7 Payment of Death Benefit Proceeds

We will at all times have the discretion to pay all or any part of the Death Benefit Proceeds in cash or In-Kind or a combination thereof with the assets held in the Segregated Assets Plan. We may, but are under no obligation to, give due consideration to a written request of the recipient of the Death Benefit Proceeds regarding whether to pay the Death Benefit Proceeds in cash or In-Kind or a combination thereof. Alternatively, the Death Benefit Proceeds may be paid in accordance with such other arrangements as may be agreed in writing between us and the recipient of the Death Benefit Proceeds.

7.8 Annuity Option

We may at our sole and absolute discretion offer the recipient of the Death Benefit Proceeds an election to have the Death Benefit Proceeds applied towards the purchase of an annuity then being offered by us; however, we make no representation or guarantee that we will offer any such annuity option.

7.9 Changing the Death Benefit Option

After the first Policy Year the Owner may elect to change the Death Benefit Option shown in the Declaration Page of the Policy or as subsequently changed and recorded by an Endorsement attached to the Policy, as follows:

(i) Change from Option A to Option B. The new Specified Amount will be the Specified Amount prior to the change less the Segregated Assets Plan Value as of the Effective Date of the change, but not less than zero.

(ii) Change from Option B to Option A. The new Specified Amount will be the Death Benefit amount as of the Effective Date of the change.

A change in Death Benefit Option will be made such that the Death Benefit remains the same on the Effective Date of the change. This is usually accomplished by changing the Specified Amount or the Net Amount at Risk, which can change the Cost of Insurance.

Only one change of the Death Benefit Option is permitted each Policy Year. A change of the Death Benefit Option will be effective once approved by us, but no later than the next Quarterly Valuation Date, unless you, with our agreement, request a later date. Such a change in Death Benefit Option will be shown in an Endorsement recorded and issued by us.

For a change in Death Benefit Option, we may require evidence of insurability satisfactory to us in our sole discretion.

We may refuse a change in Death Benefit Option if such change would reduce the Death Benefit below the Minimum Required Death Benefit based upon the Guideline Premium Limitation for the Policy and the sum of Premiums paid under the Policy.

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7.10 Changing the Specified Amount

After the first Policy Year the Owner may request a change in the Specified Amount shown in the Declaration Page of the Policy or as subsequently changed and recorded by an Endorsement attached to the Policy.

At the Effective Date of the change, the Specified Amount may be increased or decreased by agreement of Advantage Life and the Owner so that the Net Amount at Risk remains unchanged, does not exceed the Maximum Net Amount at Risk, or does not cause the Policy to become a Modified Endowment Contract.

Only one change in the Specified Amount is permitted each Policy Year. The change will be effective once we approve it unless you, with our agreement, request a later date. Such a change in Specified Amount will be shown in an Endorsement recorded and issued by us.

We will require evidence of insurability satisfactory to us in our sole discretion for any increase in Specified Amount. Any increase granted and the evidence of such insurability will become incontestable after the increase has been in force during the Assured's life for one year from the date of such increase.

We may refuse a decrease in Specified Amount if such change would reduce the Death Benefit below the Minimum Required Death Benefit based upon the Guideline Premium Limitation for the Policy and the sum of Premiums paid under the Policy. We may also refuse such a decrease if it may cause the Policy to become a Modified Endowment Contract, unless you agree in writing that the Policy may be maintained as a Modified Endowment Contract.

8.0 POLICY WITHDRAWALS, SURRENDER AND REINSTATEMENT

8.1 Withdrawals from or Surrender of the Policy

Beginning one year after the Policy Issue Date and prior to the Relevant Life Assured's death, and except as otherwise provided herein, you may request by written notice to us at our Home Office a Withdrawal from or Surrender of the Policy in accordance with our established procedures. The written consent of the Irrevocable Beneficiary (if any) is required for any Withdrawal or Surrender. A Withdrawal will result in a permanent reduction in the Segregated Assets Plan Value, the Surrender Value and possibly the Death Benefit of the Policy.

All coverage under the Policy will immediately terminate upon our receipt of a Surrender request.

Advantage Life is required to conduct AML due diligence prior to the making of any Withdrawal or Surrender payments. No Withdrawal or Surrender payments may be disbursed to any person until satisfactory AML due diligence information has been presented to Advantage Life, as determined by it in its sole discretion.

8.2 Withdrawal

Any request to withdraw less than the entire Surrender Value is a Withdrawal request. A Withdrawal is subject to the following conditions:

(i) A Withdrawal may only be made after the first Policy Year.

(ii) Withdrawals must be made in even increments as shown in the Declaration Page of the Policy.

(iii) The maximum amount of a Withdrawal, combined with all Outstanding Policy Debt, is limited to the lesser of:

A. ninety percent (90%) of the Surrender Value; or

B. an amount that will result in the Segregated Assets Plan Value being at least $100,000 more than the Minimum Policy Value as of the close of business on the Effective Date of the Withdrawal.

SPECIMEN

(iv) A Withdrawal is irrevocable.

(v) A request for a Withdrawal must be made to us in writing in a form approved by us.

(vi) A Withdrawal Charge will be deducted from the amount withdrawn, if applicable.

(vii) We reserve the right to restrict the number of Withdrawals made in any one Policy Year.

(viii) A Withdrawal may not be paid back into the Policy except as Additional Premium, which will be subject to the usual terms and conditions applicable to acceptance of Additional Premium.

Immediately after any Withdrawal, there must be sufficient liquidity to cover the Periodic Deductions, as estimated at our sole discretion, for at least one Policy Year or the Withdrawal may, at our option, be converted into a Surrender of the Policy.

8.3 Surrender

Upon Surrender of the Policy, we will pay an amount equal to the lesser of the Surrender Value or the Net Surrender Value to the Owner. Where there is no Outstanding Policy Debt, then the Surrender Value will equal the Net Surrender Value.

8.4 Surrender Value

The Surrender Value is the maximum amount payable to the Owner upon a Surrender, or due to cumulative Withdrawals, and is calculated as:

(i) Segregated Assets Plan Value; less

(ii) any accrued and unpaid Periodic Deduction, Withdrawal Charge or Surrender Charge; less

(iii) any accrued and unpaid Costs Attributable to the Policy.

The value of the Investments held in the Segregated Assets Plan for the purposes of determining the Surrender Value will be the net proceeds received by us from the liquidation after deduction of expenses arising from the redemption or liquidation of the Investments.

8.5 Net Surrender Value

The Net Surrender Value is calculated as:

(i) Surrender Value; less

(ii) any Outstanding Policy Debt.

8.6 Surrender and Withdrawal Charges

A Withdrawal Charge is payable to us on a Withdrawal and a Surrender Charge is payable to us on a Surrender, each at the rate shown in the Declaration Page of the Policy.

8.7 Postponement of Payments

Upon receipt and approval by us of a Withdrawal, Surrender or Policy Loan request, we will initiate the process to liquidate all or a portion of the Investments held in the Segregated Assets Plan to fund the payment requested. To the extent practical, we will attempt to honor any reasonable requests by the Investment Adviser that particular Investment be liquidated in order to fund the request.

We reserve the right at our sole discretion to make partial payments as net proceeds from the liquidation of Investments become available to us. Under no circumstances will we be obligated to make any Withdrawal, Surrender or Policy Loan payment until we have received in free and clear funds the net proceeds from the liquidation of Investments in an amount sufficient to permit payment of the amounts due, after payment of all deductions then due and payable in respect of the Policy.

SPECIMEN

You acknowledge that the timing and amounts needed for such requested payments may be significantly affected by the notice and liquidity restrictions of the Investments, including without limitation, lock-ups, entry and exit dates, as well as limitations on transfer or redemption. We do not guarantee any time period in which the requested payment amount will be paid to you.

8.8 Reinstating the Policy

If the Relevant Life Assured is living and an application is made within one year from the beginning of a Grace Period, we may, but are not required to, permit you to seek Reinstatement of the Policy. You have no right to reinstate the Policy. Any Reinstatement must be during the lifetime of the Relevant Life Assured and is subject to our sole discretion and the terms and conditions that we offer you at such time.

To apply for Reinstatement, you must send evidence satisfactory to us that each Relevant Life Assured is insurable in accordance with our then current rules, procedures and regulations. The Effective Date of Reinstatement will be the later of:

(i) The date of the written approval of the Reinstatement by us during the lifetime of the Relevant Life Assured; and

(ii) Receipt by us of the required Premium and any other Reinstatement charges.

If the Policy is reinstated, you will have to pay all Periodic Deductions that would have been due if the Policy had not terminated including, without limitation, those for the period from the date of Termination of the Policy to the date of Reinstatement.

We will not reinstate this Policy after there has been a Surrender.

SPECIMEN

APPENDIX 1 – POLICY APPLICATION

SPECIMEN

APPENDIX 2 – GUARANTEED COST OF INSURANCE RATES

Age	Male Non Smoker	Male Smoker	Age	Male Non Smoker	Male Smoker
20	0.85	0.87	61	5.50	13.53
21	0.85	0.90	62	6.11	15.10
22	0.83	0.93	63	6.81	16.82
23	0.82	0.96	64	7.57	18.72
24	0.82	1.00	65	8.39	20.79
25	0.79	1.01	66	9.26	22.98
26	0.68	1.01	67	10.22	25.27
27	0.62	1.00	68	11.29	27.73
28	0.60	0.98	69	12.53	30.43
29	0.56	0.98	70	14.00	33.48
30	0.54	1.00	71	15.74	36.94
31	0.58	1.05	72	17.79	40.76
32	0.62	1.13	73	20.15	44.87
33	0.68	1.21	74	22.82	49.13
34	0.79	1.30	75	25.76	53.41
35	0.92	1.41	76	28.99	57.63
36	1.06	1.54	77	32.56	61.83
37	1.20	1.69	78	36.57	66.12
38	1.31	1.87	79	41.17	70.67
39	1.39	2.12	80	46.51	75.62
40	1.46	2.38	81	52.61	80.88
41	1.55	2.65	82	59.59	87.59
42	1.65	2.90	83	67.68	96.33
43	1.75	3.12	84	77.08	106.24
44	1.81	3.28	85	87.97	117.49
45	1.87	3.46	86	100.52	130.12
46	1.94	3.68	87	114.82	144.09
47	2.01	3.92	88	130.65	159.06
48	2.10	4.19	89	147.67	174.61
49	2.20	4.49	90	165.49	190.37
50	2.33	4.84	91	183.56	205.84
51	2.52	5.23	92	201.54	220.80
52	2.76	5.68	93	218.93	234.91
53	3.01	6.17	94	234.91	247.51
54	3.27	6.73	95	251.60	260.93
55	3.52	7.37	96	271.03	277.49
56	3.75	8.09	97	291.89	295.83
57	3.99	8.91	98	314.26	316.19
58	4.25	9.84	99	337.68	338.24
59	4.57	10.91	100	360.89	360.89
60	4.97	12.13			

* The rates shown are annual rated per $1,000 of insurance. These rates apply to the standard policy, gender and nicotine status distinct. If this Policy is issued with tabular and/or other rating adjustments, they are shown on the Declaration page of this Policy.

SPECIMEN

APPENDIX 2 – GUARANTEED COST OF INSURANCE RATES (CONTINUED)

Age	Female Non Smoker	Female Smoker	Age	Female Non Smoker	Female Smoker
20	0.32	0.32	61	4.05	11.12
21	0.32	0.32	62	4.44	12.32
22	0.32	0.33	63	4.89	13.64
23	0.32	0.36	64	5.37	15.07
24	0.32	0.40	65	5.90	16.62
25	0.32	0.40	66	6.47	18.28
26	0.32	0.41	67	7.08	20.05
27	0.34	0.41	68	7.76	21.90
28	0.37	0.43	69	8.55	23.89
29	0.39	0.46	70	9.47	26.10
30	0.41	0.49	71	10.56	28.39
31	0.43	0.53	72	11.84	30.76
32	0.48	0.57	73	13.33	33.34
33	0.56	0.68	74	15.06	36.18
34	0.65	0.82	75	17.05	39.32
35	0.74	0.95	76	19.33	42.81
36	0.84	1.12	77	21.98	46.67
37	0.92	1.30	78	25.11	50.93
38	0.99	1.47	79	28.88	56.12
39	1.02	1.60	80	33.33	62.65
40	1.03	1.72	81	38.08	70.25
41	1.04	1.82	82	43.00	78.82
42	1.04	1.93	83	48.65	87.98
43	1.04	2.04	84	56.44	96.80
44	1.05	2.15	85	65.39	107.44
45	1.07	2.32	86	74.27	119.91
46	1.11	2.54	87	84.46	132.13
47	1.17	2.79	88	96.08	145.29
48	1.24	3.06	89	108.89	159.16
49	1.33	3.36	90	122.74	173.36
50	1.45	3.69	91	137.63	187.79
51	1.60	4.07	92	153.74	202.59
52	1.78	4.47	93	170.57	217.02
53	2.00	4.93	94	188.05	230.91
54	2.24	5.43	95	208.15	246.51
55	2.47	5.99	96	231.56	264.46
56	2.70	6.63	97	257.15	283.13
57	2.92	7.35	98	284.78	302.14
58	3.16	8.15	99	314.07	320.95
59	3.41	9.03	100	342.18	342.18
60	3.7	10.02			

* The rates shown are annual rated per $1,000 of insurance. These rates apply to the standard policy, gender and nicotine status distinct. If this Policy is issued with tabular and/or other rating adjustments, they are shown on the Declaration page of this Policy.

SPECIMEN

EXHIBIT N -
APPLICATION FOR VUL POLICY

3cStructures LLC

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Advantage Insurance

VARIABLE LIFE ASSURANCE POLICY
ENTITY OWNER

APPLICATION DOCUMENTS

Advantage Life Assurance I.I.
Advantage Life Puerto Rico A.I.
American International Plaza, Suite 710
250 Muñoz Rivera Avenue
San Juan, Puerto Rico 00918

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Each prospective purchaser of any of our products or services should consult his or her own legal counsel, accountant or other professional advisor for advice concerning the various legal, tax and economic considerations relating to Advantage's products and services and offshore investment generally. Advantage can give no guarantee that tax relief or other tax benefits will be available or that the current tax treatment of the products or services described will remain unchanged in the future in the jurisdiction where the prospective purchaser is resident or of which the prospective purchaser is a citizen. The information is provided for information only and should not form the basis of any investment decision. While Advantage has taken all reasonable care to ensure that the information is accurate as at the date of its publication, Advantage does not warrant the accuracy, completeness or timeliness of such information, and neither Advantage nor any of its affiliates, directors, officers, employees or agents accepts any liability to any person or entity who relies upon such information for any direct, indirect, special, consequential, punitive or incidental damages or any other damages or losses of whatsoever kind.

Advantage Insurance

APPLICATION
VARIABLE LIFE ASSURANCE

COMPANIES • FOUNDATIONS • PARTNERSHIPS • TRUSTS

This is an **Application** to purchase a Variable Life Assurance Policy ("**Policy**") **Advantage** to a legal entity other than a natural person ("Applicant"). Applicants should review the Policy's **Summary of Terms** with care prior to completing the Application. Advantage may decline to issue the Policy for any reason. As and when issued, the Policy will rely on the statements in the Application and will become effective upon payment of the initial premium as set out in Section 1 of the Application.

The Application consists of multiple forms, which together with the supporting documentation provided, form the completed Application and become part of the Policy upon issuance. Additional forms which may be required to complete the Application are:

- ☐ **Consent of Life Assured** (one for each Life Assured)
- ☐ **Designation of Individual Beneficiaries** (for multiple or contingent beneficiaries)

Insurance companies are required by law and regulation to obtain and maintain client **Due Diligence** information about **Policy Owners** and **Beneficiaries**, including affiliated entities and related persons. To meet this requirement, you will be asked to provide certain Due Diligence information and supporting documentation. Also, please note that at any time before or after Policy issuance, Advantage may request additional information and/or documentation from Policy Owners, Beneficiaries, affiliated entities and related persons to satisfy client Due Diligence requirements.

Advantage requires third party verification and certification of the authenticity of supporting documents provided. Wherever possible, the certification should be completed by a licensed **Notary** utilizing a raised seal or ink stamp consistent with international standards for document authentication and identity verification. The requirements are set out separately in **Due Diligence Requirements - Entities & Legal Arrangements**.

The Application is intended to be completed electronically in PDF format using the fillable fields provided. The final version must be printed, signed in ink and submitted in hard copy form by the Applicant to Advantage. The act of completing this Application may be restricted in certain jurisdictions. Applicants should seek professional advice in their home jurisdiction prior to purchasing this Policy.

1 Policy Details

INITIAL PREMIUM AMOUNT:	**POLICY TYPE:** ☐ Single Life ☐ Joint Life (Last to Die) ☐ Joint Life (First to Die)	**DEATH BENEFIT OPTION:** ☐ Type A ☐ Type B
CURRENCY:		
SPECIFIED AMOUNT APPLIED FOR:		

2 Applicant (Policy Owner)

In addition to the information below, the Applicant should provide complete supporting documentation as set out in **Due Diligence Requirements - Entities & Legal Arrangements.**

LEGAL NAME:	**ENTITY TYPE:**
REGISTERED ADDRESS:	
CITY:	**PROVINCE/STATE:**
POSTAL/ZIP CODE:	**COUNTRY:**
MAILING ADDRESS: (If different from Registered Address)	
CITY:	**PROVINCE/STATE:**
POSTAL/ZIP CODE:	**COUNTRY:**
CONTACT PERSON:	**EMAIL:**
POSITION/TITLE:	**PHONE:**
SOURCE OF FUNDS: (Please describe in detail the origin of the funds to be used to purchase the policy)	
TAX JURISDICTIONS: (List all Countries and relevant Tax ID/Reference # for which you have tax reporting and/or filing obligations. Provide the relevant IRS W8/W9 as appropriate)	

3 Life / Lives Assured

Complete based upon Single or Joint Life basis as indicated in Section 1.
Each **Life Assured** listed must complete the **Consent of Life Assured** form.

	SURNAME	FIRST NAME	MIDDLE NAME(S)	DATE OF BIRTH (dd/mm/yyyy)
1				
2				
3				

4 Beneficiary

IS THE BENEFICIARY THE POLICY OWNER? ☐ **YES** ☐ **NO** If **Yes**, proceed to Section 5.

ARE THERE INDIVIDUAL BENEFICIARIES? ☐ **YES** ☐ **NO** If **Yes**, complete the **Designation of Individual Beneficiaries** form.
If **No**, please complete below:

Each Entity or Legal Arrangement who is a **Policy Beneficiary** must provide the following information to verify its identity:

- Certified copies of the documents as set out in **Due Diligence Requirements - Entities & Legal Arrangements**

Prior to receiving any benefit payment, each **Policy Beneficiary** will be asked to provide updated Due Diligence information.

LEGAL NAME:	**ENTITY TYPE:**
REGISTERED ADDRESS:	
CITY:	**PROVINCE/STATE:**
POSTAL/ZIP CODE:	**COUNTRY:**
MAILING ADDRESS: (If different from Registered Address)	
CITY:	**PROVINCE/STATE:**
POSTAL/ZIP CODE:	**COUNTRY:**
CONTACT PERSON:	**EMAIL:**
POSITION/TITLE:	**PHONE:**
RELATIONSHIP TO POLICY OWNER:	**PERCENTAGE (%) OF PROCEEDS:** 0.00%
IS THIS BENEFICIARY DESIGNATION IRREVOCABLE?	☐ **YES** ☐ **NO**
IS THIS BENEFICIARY POLITICALLY EXPOSED?	☐ **YES** ☐ **NO**

If **Yes**, please provide details:

5 Investment Advisor Nominee

The initial appointment and continuing engagement of the Investment Advisor is governed by an investment advisory agreement entered into between the Investment Advisor and Advantage. The investment advisory agreement is available to Policy Owners upon request.

COMPANY NAME:	**WEBSITE:**
CONTACT PERSON:	
PHONE:	**EMAIL:**
CORRESPONDENCE ADDRESS:	
CITY:	**PROVINCE/STATE:**
POSTAL/ZIP CODE:	**COUNTRY:**

6 Investment Custodian Nominee

The initial appointment and continuing engagement of the Investment Custodian is governed by a custodial services agreement entered into between the Investment Custodian and Advantage. The custodial services agreement is available to Policy Owners upon request.

IS THE CUSTODIAN ALSO THE INVESTMENT ADVISOR? ☐ **YES** ☐ **NO**	If **No**, please complete below:
COMPANY NAME:	**WEBSITE:**
CONTACT PERSON:	
PHONE:	**EMAIL:**
CORRESPONDENCE ADDRESS:	
CITY:	**PROVINCE/STATE:**
POSTAL/ZIP CODE:	**COUNTRY:**

7 Third Party Advisor(s)

	COMPANY	CONTACT PERSON	EMAIL	PHONE
1				
2				
3				

8 Authorization to Disclose Policy Information

I/We, the **Applicant**, hereby confirm the following entity or person is authorized to receive information regarding this Policy including the Application, Policy issued, duplicate Policy statements and any other reports about the Policy provided by Advantage, as set forth below:

COMPANY/PERSON:	
CONTACT PERSON:	
PHONE:	**EMAIL:**
CORRESPONDENCE ADDRESS:	
CITY:	**PROVINCE/STATE:**
POSTAL/ZIP CODE:	**COUNTRY:**
PROVIDE DUPLICATE STATEMENTS?	☐ **YES** ☐ **NO**
ADDITIONAL INSTRUCTIONS:	

9 Declarations

On behalf of the Applicant, I/we (as authorized signatory(ies) of the Applicant) affirm that:

1. The Applicant is permitted under any applicable insurance laws, currency exchange controls or any other binding restrictions or regulations to complete this Application and to purchase the referenced Policy;
2. The signatories are duly authorized to complete and submit the Application on behalf of the Applicant;
3. All monies and other assets held by the Applicant were not obtained through any illegal or improper means;
4. The Applicant holds all right, title, and proven claim in or to all of its assets, unless otherwise disclosed in this Application;
5. The Applicant has adequate funds on hand to discharge all of its obligations as the same fall due and is not bankrupt;
6. There are no civil suits, actions or claims pending or ordered against the Applicant by a court of competent jurisdiction;
7. There are no known criminal convictions or criminal charges pending against the Applicant in any jurisdiction;
8. The information I/we provide in this Application is accurate and complete and I/we have not knowingly withheld any material information about the Applicant or Beneficiary(ies);
9. I/We authorize Advantage to seek references and any additional information or reports that may be necessary for Advantage to complete its Due Diligence of the Applicant;
10. I/We authorize Advantage to share such information about the Applicant prior to and after the purchase of this Policy with such persons, regulatory bodies or other entities where it is legally required to do so;
11. I/We authorize Advantage to share such information about the Policy and its related parties, prior to and after the purchase of this Policy, with such entities where it is required to do so in order to establish and/or maintain a relationship for the investment of Policy Assets;
12. In relation to any information provided, I/we release Advantage from any applicable confidentiality rules or obligations;
13. The Applicant has in the past and intends in the future to file timely and accurate tax returns and other tax documents in any jurisdiction where legally required to do so;
14. I/We understand the tax consequences of purchasing this Variable Life Assurance Policy, as advised by reputable tax counsel;
15. I/We understand that the death benefit payable under this Policy is variable and is not guaranteed as to a fixed amount; and
16. I/We understand this Application is non-binding until accepted by Advantage and the Policy is issued to the Policy Owner.

10 Additional Information (Please use additional pages as necessary)

SIGNATURE(S)

APPLICANT ▸		DATE ▸ (dd/mm/yyyy)	
SIGNATURE(S) ▸ Names & Titles		LOCATION ▸	

GENERAL REQUIREMENTS

Insurance companies are required by law and regulation to obtain and maintain client **Due Diligence** information about **Beneficiaries** including affiliated entities and related persons. To meet this requirement, you are asked to provide certain Due Diligence information and supporting documentation. Also, please note that at any time before or after Policy issuance Advantage may request additional information and/or documentation from Beneficiaries, affiliated entities and related persons to satisfy client Due Diligence requirements.

Advantage requires third party verification and certification of the authenticity of supporting documents provided. Wherever possible, the certification should be completed by a licensed **Notary** utilizing a raised seal or ink stamp consistent with international standards for document authentication and identity verification. Each person who is a **Policy Beneficiary** must provide the following information to verify his or her identity pursuant to **Due Diligence** requirements:

- ☐ Certified copy of **Government issued ID (must include photo & signature)**; and
- ☐ Certified copy of **proof of residential address**

For individual beneficiaries under the age of eighteen, an original or certified copy of the birth certificate is acceptable if Government issued photo ID is unavailable. Proof of residential address should be provided for the parent or guardian of the minor beneficiary.

Prior to receiving any benefit payment, each **Policy Beneficiary** may be asked to provide additional information.

Is this Designation a continuation of the Application? ☐ **YES** ☐ **NO** If **Yes**, please indicate % allocated therein: 0.00%

I/We the Policy Owner hereby name the following Beneficiaries:

A		
	SURNAME:	**FIRST NAME:**
	MIDDLE NAME(S):	**OTHER LEGAL NAME(S):**
GENDER: ☐ **M** ☐ **F**		**DATE OF BIRTH:** (dd/mm/yyyy)
COUNTRY OF BIRTH:		**NATIONALITY(IES):**
REGISTERED ADDRESS:		
CITY:		**PROVINCE/STATE:**
POSTAL/ZIP CODE:		**COUNTRY:**
RELATIONSHIP TO POLICY OWNER:		**PERCENTAGE (%) OF PROCEEDS:** 0.00%
IS THIS BENEFICIARY DESIGNATION IRREVOCABLE? If **Yes**, please provide details:		☐ **YES** ☐ **NO**
IS THIS A CONTINGENT BENEFICIARY? If **Yes**, please provide details:		☐ **YES** ☐ **NO**
IS THIS BENEFICIARY POLITICALLY EXPOSED? If **Yes**, please provide details:		☐ **YES** ☐ **NO**

B		
	SURNAME:	**FIRST NAME:**
	MIDDLE NAME(S):	**OTHER LEGAL NAME(S):**
GENDER: ☐ **M** ☐ **F**		**DATE OF BIRTH:** (dd/mm/yyyy)
COUNTRY OF BIRTH:		**NATIONALITY(IES):**
REGISTERED ADDRESS:		
CITY:		**PROVINCE/STATE:**
POSTAL/ZIP CODE:		**COUNTRY:**
RELATIONSHIP TO POLICY OWNER:		**PERCENTAGE (%) OF PROCEEDS:** 0.00%
IS THIS BENEFICIARY DESIGNATION IRREVOCABLE? If **Yes**, please provide details:		☐ **YES** ☐ **NO**
IS THIS A CONTINGENT BENEFICIARY? If **Yes**, please provide details:		☐ **YES** ☐ **NO**
IS THIS BENEFICIARY POLITICALLY EXPOSED? If **Yes**, please provide details:		☐ **YES** ☐ **NO**

C		
	SURNAME:	**FIRST NAME:**
	MIDDLE NAME(S):	**OTHER LEGAL NAME(S):**
GENDER: ☐ M ☐ F		**DATE OF BIRTH:** (dd/mm/yyyy)
COUNTRY OF BIRTH:		**NATIONALITY(IES):**
REGISTERED ADDRESS:		
CITY:		**PROVINCE/STATE:**
POSTAL/ZIP CODE:		**COUNTRY:**
RELATIONSHIP TO POLICY OWNER:		**PERCENTAGE (%) OF PROCEEDS:** 0.00%
IS THIS BENEFICIARY DESIGNATION IRREVOCABLE? If **Yes**, please provide details:		☐ **YES** ☐ **NO**
IS THIS A CONTINGENT BENEFICIARY? If **Yes**, please provide details:		☐ **YES** ☐ **NO**
IS THIS BENEFICIARY POLITICALLY EXPOSED? If **Yes**, please provide details:		☐ **YES** ☐ **NO**

D		
	SURNAME:	**FIRST NAME:**
	MIDDLE NAME(S):	**OTHER LEGAL NAME(S):**
GENDER: ☐ M ☐ F		**DATE OF BIRTH:** (dd/mm/yyyy)
COUNTRY OF BIRTH:		**NATIONALITY(IES):**
REGISTERED ADDRESS:		
CITY:		**PROVINCE/STATE:**
POSTAL/ZIP CODE:		**COUNTRY:**
RELATIONSHIP TO POLICY OWNER:		**PERCENTAGE (%) OF PROCEEDS:** 0.00%
IS THIS BENEFICIARY DESIGNATION IRREVOCABLE? If **Yes**, please provide details:		☐ **YES** ☐ **NO**
IS THIS A CONTINGENT BENEFICIARY? If **Yes**, please provide details:		☐ **YES** ☐ **NO**
IS THIS BENEFICIARY POLITICALLY EXPOSED? If **Yes**, please provide details:		☐ **YES** ☐ **NO**

Signature(s)

I/We certify that the preceding information is accurate and complete and that I/we have not knowingly withheld or falsified any material information regarding the designated Beneficiaries;

I authorize Advantage to share such information about the Policy and its related parties, prior to and after the purchase of this Policy, with such entities where it is required to do so in order to establish and/or maintain a relationship for the investment of Policy Assets; and in relation to any information provided, I release Advantage from any applicable confidentiality rules or obligations.

POLICY OWNER ▸ Names & Titles		DATE ▸ (dd/mm/yyyy)	
SIGNATURE(S) ▸		LOCATION ▸	

Advantage
Insurance

Additional Information

GENERAL REQUIREMENTS

Insurance companies are required by law and regulation to obtain and maintain client **Due Diligence** information about **Policy Owners** and **Beneficiaries**, including affiliated entities and related persons. To meet this requirement, you will be asked to provide certain Due Diligence information and supporting documentation. Also, please note that at any time before or after Policy issuance, Advantage may request additional information and/or documentation from Policy Owners, Beneficiaries, affiliated entities and related persons to satisfy client Due Diligence requirements.

Advantage requires third party verification and certification of the authenticity of supporting documents provided. Wherever possible, the certification should be completed by a licensed **Notary** utilizing a raised seal or ink stamp consistent with international standards for document authentication and identity verification.

For Companies:

- ☐ A **structure chart, corporate overview** and certified **Authorized Signatory** list
- ☐ For listed companies provide: stock symbol and name and location of Exchange
- ☐ For regulated companies that are not listed provide: evidence of regulation; and
  - For all Authorized Signatories:
    - ☐ Certified copy of **Government issued ID (must include photo and signature)**
    - ☐ Certified copy of **proof of residential address**
- ☐ For all other companies, provide:
  - Certified copies of the following **Constitutional** documents:
  - ☐ **Certificate of Incorporation** or equivalent
  - ☐ **Memorandum and Articles of Association, By-Laws, Operating Agreement** or equivalent
  - ☐ **Registers of Directors/Managers/Officers and Members** or equivalent
- ☐ Certified copy of **Certificate of Good Standing** or equivalent
- For all Directors, Managers, Authorized Signatories and owners with ≥10% interest:
  - For individuals:
    - ☐ Certified copy of **Government issued ID (must include photo and signature)**
    - ☐ Certified copy of **proof of residential address**
    - If an Entity or other Legal Arrangement: **Due Diligence** information as outlined in this form for the relevant type

For Partnerships:

- ☐ A **structure chart, overview** and certified **Authorized Signatory** list
- Certified copies of the following **Constitutional** documents:
  - ☐ **Partnership Agreement**
  - ☐ **Commercial Registry listing**, if the Partnership is required to list with a local registry
- ☐ Certified copy of **Certificate of Good Standing** or equivalent
- **Due Diligence** information for the General Partners and all Authorized Signatories:
  - For individuals:
    - ☐ Certified copy of **Government issued ID (must include photo & signature)**
    - ☐ Certified copy of **proof of residential address**
- If an Entity or other Legal Arrangement: **Due Diligence** information as outlined in this form for the relevant type

For Trusts:

- ☐ A **structure chart, overview** and certified **Authorized Signatory** list
- Certified copies of the following **Constitutional** documents:
  - ☐ **Trust Deed**
- For all Authorized Signatories:
  - ☐ Certified copy of **Government issued ID (must include photo & signature)**
  - ☐ Certified copy of **proof of residential address**
- **Due Diligence** information for the Settlor:
  - ☐ Complete the **Due Diligence Requirements: Individual** form
  - ☐ Certified copy of **Government issued ID (must include photo & signature)**
  - ☐ Certified copy of **proof of residential address**
- **Due Diligence** information for Trustees, Protectors and Enforcers:
  - ☐ For Trustees, Protectors and Enforcers which are Regulated Entities, provide evidence of regulation
  - ☐ For all other Trustees, Protectors and/or Enforcers please provide:
  - ☐ If an Entity or other Legal Arrangement: **Due Diligence** information as outlined in this form for the relevant type
  - If Individuals:
    - ☐ Certified copy of **Government issued ID (must include photo & signature)**
    - ☐ Certified copy of **proof of residential address**

For Foundations:

- ☐ A **structure chart, overview** and certified **Authorized Signatory** list
- Certified copies of the following **Constitutional** documents:
  - ☐ **Deed of Formation** or equivalent
  - ☐ **Articles of Association** or equivalent
  - ☐ **Commercial Registry listing**, if the Foundation is required to list with a local registry
  - ☐ **Registers of Foundation Board/Council Members/Officials and Protector** (if any)
- ☐ Certified copy of the **Certificate of Good Standing** or equivalent
- **Due Diligence** for the Foundation Board/Council Members/Officials, all Authorized Signatories, and Protector (if any):
  - If Individuals:
    - ☐ Certified copy of **Government issued ID (must include photo & signature)**
    - ☐ Certified copy of **proof of residential address**
- ☐ If an Entity or other Legal Arrangement: **Due Diligence** information as outlined in this form for the relevant type
- **Due Diligence** for the Founder:
  - ☐ Complete the **Due Diligence Requirements: Individual form**
  - ☐ Certified copy of **Government issued ID (must include photo & signature)**
  - ☐ Certified copy of **proof of residential address**

GENERAL REQUIREMENTS

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1 Identification

SURNAME:	**FIRST NAME:**
MIDDLE NAME(S):	**OTHER/PRIOR LEGAL NAME(S):**
RELATIONSHIP TO POLICY:	**DATE OF BIRTH:** (dd/mm/yyyy)

☐ **I AM A U.S. PERSON**

☐ **I AM NOT A U.S. PERSON**

If required, I intend to file appropriate tax returns, as advised by reputable tax counsel.

2 Background

		YES	NO
A.	Have you ever changed your legal name?	☐	☐
B.	Have you been adjudicated bankrupt by a court in any jurisdiction?	☐	☐
C.	Have you ever been charged or convicted of a serious criminal offense?	☐	☐
D.	Have you ever been charged or convicted of a serious financial crime (including tax fraud)?	☐	☐
E.	Are you currently the subject of a formal inquiry, investigation or disciplinary process by a governmental, professional or regulatory body?	☐	☐
F.	Have you ever been censured or disciplined by any licensing or regulatory authority, had a professional license suspended or revoked, or been subject to a Cease and Desist order?	☐	☐
G.	Has any entity or legal arrangement, during which time you acted as a director, shareholder, manager, officer or controller ever:		
	1. been charged or convicted of a serious criminal offense?	☐	☐
	2. been charged or convicted of a financial crime (including tax fraud)?	☐	☐
	3. been adjudicated bankrupt?	☐	☐
	4. had its authorization revoked or been subject to a Cease and Desist Order?	☐	☐
H.	Is any entity or legal arrangement, where you act as a director, shareholder, manager, officer or controller currently the subject of a formal inquiry, investigation or disciplinary process by a governmental, professional or regulatory body?	☐	☐
I.	Are or were you or any member of your immediate family considered to be a Politically Exposed Person?	☐	☐

If you answered **Yes** to any of the above questions, please provide details:

3 Affidavit

I _____ a citizen of _____
NAME JURISDICTION

residing at _____
PLACE OF PERMANENT RESIDENCE

Make oath and say as follows:

(1) I am a person of good character and integrity;

(2) All monies and other assets held by me were not obtained through any illegal or improper means;

(3) I hold all right, title, and proven claim in or to all of my assets;

(4) I have adequate funds on hand to discharge all of my obligations as the same fall due;

(5) To the best of my knowledge, there are no civil suits or actions or claims against me personally or in any other capacity, pending or current.

SIGNATURE ▸			
NAME ▸		DATE ▸ (dd/mm/yyyy)	

On this day, _____ of _____, 20 ____, _____ personally appeared before me.
DAY MONTH YEAR NAME

_____ is personally known (or proved to me on the basis of satisfactory
NAME

evidence) to be the identical person named in and who executed the above, and acknowledged that such person executed it as such person's voluntary act and deed.

WITNESS my hand and official seal

NOTARY PUBLIC /

JUSTICE OF THE PEACE /

OTHER ▸

If "OTHER", please state Capacity

_____

EXHIBIT O -
1035 EXCHANGE FORM

3cStructures LLC

THIS DOCUMENT AND THE CONTENTS HEREIN ARE PROPRIETARY, CONFIDENTIAL AND SOLELY FOR INSTITUTIONAL PURPOSES.

NO PART OF THE INFORMATION REFLECTED IN THIS DOCUMENT MAY BE DISCLOSED IN ANY MANNER TO A THIRD PARTY WITHOUT THE PRIOR WRITTEN CONSENT OF 3CSTRUCTURES LLC.

• A Section 1035 Exchange •

This assignment form ("Assignment") may be used to initiate a full or partial exchange, from a single surrendering institution. Complete a separate form for each institution that will be surrendering assets.

1 Old Policy

OWNER:	**INSURER:**
POLICY NO.:	**INSURED:**
RETURN OF POLICY: (Full Exchanges only)	☐ The original policy is attached ☐ I cannot find my policy (you will be required to complete a lost policy indemnification form

2 1035 Exchange

Please select one of the relevant options:

☐ **FULL**	☐ **PARTIAL $**	☐ **PARTIAL %**
EXISTING POLICY LOANS:	☐ **YES** ☐ **NO**	If **Yes**, please attach current statement and loan documents

3 Advantage Issuing Company ("Advantage")

COMPANY NAME:

4 Assignment

1. The Owner hereby absolutely assigns and transfers all rights, title and interest in and to that portion of the policy or contract being surrendered as described above (the "Old Policy") including, without limitation, the rights to surrender that portion of its cash value stated above and to receive a corresponding portion of the surrender proceeds, to Advantage (the "Company") for the sole purpose of effecting an exchange of life insurance policies or annuity contracts under Section 1035 of the Internal Revenue Code of 1986, as amended (the "Code"). Further, the Owner and the Company agree to the assignment of a corresponding portion of rights, obligations and liabilities to the Company including any a corresponding portion of Policy Loans and a corresponding portion of related Collateral Assignments made by the Owner in connection with the Old Policy;
2. In consideration of receipt of the surrender proceeds from the Old Policy, the Company agrees to issue, subject to its rules, a life insurance policy or annuity contract (the "New Policy") described in the application for the New Policy that has been submitted to the Company. The Owner understands that the New Policy will not take effect until such time as the Company receives the entire surrender proceeds of the Old Policy from the original carrier described above (the "Insurer");
3. The Owner understands that this Assignment shall be effective as of the date the Company, as assignee, accepts this Assignment. The Owner also understands that the Company will not accept this Assignment unless the Company has approved the application for the New Policy;
4. The Owner understands that the Company is furnishing this form and participating in this Assignment as an accommodation to the Owner and that the Company assumes no responsibility or liability for the tax treatment of this Assignment under Section 1035 of the Internal Revenue Code or otherwise;
5. The Owner understands and agrees that he/she may have to continue to pay premiums to the Insurer for the Old Policy until the date the Old Policy is deemed surrendered by the Insurer. The Owner further understands and agrees that the Company is not obligated to pay and will not pay any premiums on the Old Policy and will not be liable to any person if the Old Policy lapses for nonpayment of premiums or otherwise. The Owner understands that if the Old Policy does lapse it can be reinstated only if its terms permit and only under the conditions therein. The Owner also understands that if the Old Policy lapses, this transaction may not qualify as a Section 1035 exchange;
6. If the New Policy is an interest sensitive policy or variable contract with a fixed rate option, the Owner understands that the crediting rate for the New Policy may differ from the rate in effect at the time the application for the New Policy is submitted to the Company;

7. The Company's liability under the New Policy is expressly conditioned upon the receipt of the surrender proceeds of the Old Policy. If the Company does not receive the entire surrender proceeds of the Old Policy within four (4) months of the date the Company accepts this Assignment, the Company may elect to absolutely assign its rights under this Assignment back to the Owner and the Owner will accept such assignment. If this occurs:
   (a) coverage under the Old Policy may no longer be in force, in which case the Owner shall have the right to the surrender proceeds of the Old Policy, and any other policy values and rights;
   (b) coverage under the New Policy will be provided only if the Company receives the first contract premium; and
   (c) this Assignment may not qualify as a tax-free exchange under Section 1035 of the Code;
8. The Owner warrants that the Old Policy is currently in force and is not subject to any prior assignment, irrevocable beneficiary designation, proceedings in bankruptcy, federal tax levy or collection proceedings resulting from an unpaid assessment or any other legal action;
9. Except in the limited circumstances set forth above, the Owner has absolutely no right under this Assignment to receive the surrender proceeds of the Old Policy and no option to receive cash or other property instead of receiving the New Policy. If, for any reason, the Insurer erroneously remits the surrender proceeds to the Owner, the Owner agrees to immediately remit the proceeds over to the Company;
10. The Owner has specifically requested the Company to participate in this Assignment and the transaction contemplated herein and understands and agrees that:
    (a) the Company and its representatives make no representations, and have no responsibility nor liability, regarding the Owner's tax treatment under Section 1035 or any other provision of the Code;
    (b) the Company does not guarantee the validity or sufficiency of the assignment; and
    (c) it is the intent of the Company to surrender the Old Policy to the Insurer, and that any delay by the Insurer in paying the surrender proceeds so that they can be applied to the New Policy is beyond the control of the Company; and
11. The Owner agrees to execute any additional documents necessary to affect the purpose of this Assignment and the transaction contemplated herein.

SIGNATURE (Owner)			
OWNER ▸		DATE ▸	DD/MMM/YYYY
IRREVOCABLE BENEFICIARY ▸ (if required)		NAME & TITLE ▸	

SIGNATURE(S) (Company)			
ACCEPTED BY ▸		DATE ▸	DD/MMM/YYYY
NAME & TITLE ▸			